ENGLISH FOR WORK / ENGLISH FOR BANKING OPERATIONS TEAMS

Banking Operations English

Trace the transaction. Explain the status. Protect the record.



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Eight practical lessons. Eleven extended conversations.
Vocabulary, phrase banks, guided speaking, and explained answers.

Revised 2026 edition / Upper-intermediate to advanced

Your route through the book

01 Account Opening and KYC, page 4

Clarify an account-opening requirement, distinguish ownership from signing authority, and give a useful next step.

02 AML Monitoring and Suspicious Activity, page 17

Write a neutral internal handoff and preserve confidential reporting boundaries.

03 Loan Operations and Documentation, page 32

Escalate a document mismatch without silently changing the evidence or authorizing a drawdown.

04 Payment Operations and Exceptions, page 45

Give a payments-queue handoff with reconciled counts, clear stage labels, and no unsupported settlement claim.

05 Fraud Operations and Customer Escalation, page 59

Correct conflicting service messages while separating dispute intake, investigation, temporary credit, and the final outcome.

06 Operational Risk and Controls, page 72

Explain a reconciliation break, correct a misleading control status, and preserve evidence for the next reviewer.

07 Audit and Regulatory Exams, page 88

Respond to an evidence request with exact scope, honest availability, and traceable period coverage.

08 Customer Complaints and Fair Treatment, page 101

Investigate a historical fee question using the applicable period, product, transaction, and waiver conditions.

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Suggested study range: B2-C1. This is an editorial study range, not a certified proficiency assessment.

Make each status word earn its place

Banking records distinguish requests, reviews, authorizations, postings, and settlements. These conversations practice explaining those stages while protecting confidential information and preserving the actual evidence behind a customer or control decision.

Name the unresolved item

A pending application or exception needs a specific reason and next step. Identify the missing document or verification without guessing the facts or promising approval.
"The ownership information requested for this application remains incomplete."

Do not turn an alert into an accusation

A monitoring alert starts a review; it does not prove wrongdoing. Describe observed activity and its source, preserve uncertainty, and use authorized confidential channels.
"The activity differs from the recorded profile; its explanation has not been established."

Separate review from resolution

Examined, corrected, authorized, released, and settled describe different stages. A reviewed queue item may still require action, and a signed control record may still contain an unresolved exception.
"Thirty items were reviewed; that does not mean thirty were resolved."

Answer the actual customer question

Explain the relevant transaction, date, amount, and next contact. Distinguish an interim credit or status update from a final outcome without withholding applicable rights or inventing deadlines.
"I will check the terms applicable on the transaction date, not assume today's schedule settles the charge."

Professional boundaries

All banks, customers, accounts, transactions, figures, and local procedures are fictional. This book teaches professional English, not banking, legal, financial, compliance, or investigation advice. Actual obligations depend on the product, jurisdiction, facts, and current requirements. No exercise authorizes an account opening, fund transfer, record alteration, or disclosure of confidential reporting information.

A Read the situation

LESSON 01 / ACCOUNT OPENING AND KYC

Clarify an account-opening requirement, distinguish ownership from signing authority, and give a useful next step.

Explain the missing ownership information without promising approval

Application A62 is the first business-account application by Northbank Design at this fictional bank. Its authorized-signatory details are supplied, but the ownership information requested for the applicable customer review is incomplete. Applicant representative Ken asks officer Zoya to open the account immediately and finish the review later. Under the stated local process, this application cannot be approved until the required review is complete. Zoya will provide the specific outstanding-information list through the verified secure channel and arrange a review-status update Thursday at 11:00. Neither complete documents nor that update guarantee approval.

People: Ken, Applicant representative; Zoya, Account-opening officer.

Read the record

Choose one answer per question using the facts above.

1. What is missing from A62?

A. Requested ownership information
B. All authorized-signatory details
C. The applicant's business name
D. A previously approved payment

2. What does the local process require before approval here?

A. Automatic acceptance after a status call
B. Completion of the required review
C. Only the applicant's urgent request
D. A promise to provide records later

3. What does Thursday at 11:00 represent?

A. Confirmation that ownership is verified
B. A review-status update
C. Guaranteed account approval
D. A funds-transfer deadline

Answers and explanations, page 130

B Vocabulary in use

CORE TERMS

Know Your Customer (KYC)
Processes used to understand and verify relevant customer information.

complete KYC checks

customer due diligence (CDD)
Assessment of customer identity, relationship purpose, and relevant risk under applicable requirements.

conduct customer due diligence

ownership structure
The arrangement of ownership interests in an entity.

document the ownership structure

legal entity
An organization recognized as a distinct person under applicable law.

identify the legal entity

beneficial owner
An individual meeting the applicable ownership or control definition for the review.

identify the beneficial owner

authorized signatory
A person permitted to act or sign for an account under its mandate.

verify the authorized signatory

Customer Identification Program (CIP)
A U.S. bank program for obtaining and verifying required customer identity information.

follow the Customer Identification Program

control person
An individual meeting the applicable responsibility or control criterion.

identify the control person

account mandate
Instructions defining who may operate an account and under what authority.

review the account mandate

identity verification
Checking identity using the applicable evidence and process.

complete identity verification

documentary verification
Verification using specified documents.

perform documentary verification

non-documentary verification
Verification using appropriate methods other than specified identity documents.

assess non-documentary verification

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

Know Your Customer (KYC) KNOW YOUR CUSTOMER (KYC)

complete KYC checks

Keep the meaning precise: Processes used to understand and verify relevant customer information.

authorized signatory AUTHORIZED SIGNATORY

verify the authorized signatory

Keep the meaning precise: A person permitted to act or sign for an account under its mandate.

B Precision and professional shorthand

EXTEND YOUR RANGE

nature and purpose

The intended role and use of the customer relationship.

establish the nature and purpose

customer risk profile

The assessed characteristics relevant to the customer's risk context.

maintain the customer risk profile

source of wealth

The origin of a person's or entity's overall accumulated wealth.

distinguish source of wealth

account application

A request to establish an account with supplied supporting information.

review the account application

verification status

The current stage of checking relevant information.

report verification status

exception review

Authorized assessment of a proposed departure from a stated process.

request an exception review

expected activity

The anticipated account use relevant to understanding the relationship.

describe expected activity

source of funds

The origin of money involved in a relationship or transaction.

clarify the source of funds

onboarding

The process of establishing a new customer relationship.

coordinate customer onboarding

outstanding requirement

A requested or applicable condition that has not yet been satisfied.

identify an outstanding requirement

risk-based procedure

A process calibrated to relevant assessed risks and applicable requirements.

apply a risk-based procedure

approval authority

The defined power to approve a specified action or relationship.

confirm approval authority

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

non-documentary verification NON-DOCUMENTARY VERIFICATION

assess non-documentary verification

Keep the meaning precise: Verification using appropriate methods other than specified identity documents.

source of wealth SOURCE OF WEALTH

distinguish source of wealth

Keep the meaning precise: The origin of a person's or entity's overall accumulated wealth.

C Phrases that move the work forward

Identify the application

We are reviewing business-account application A62.

Name the gap

The requested ownership information remains incomplete.

State the local condition

This application requires the review to be complete before approval.

Avoid an override promise

I cannot bypass the required review.

Protect the submission

Use the verified secure channel for the requested records.

Explain the context

Requirements must be assessed for this customer and application.

Check authority

Any exception requires the applicable authorized review.

Limit the commitment

That is an update appointment, not an approval guarantee.

Name the supplied information

We have the authorized-signatory details.

Separate roles

Signing authority and beneficial ownership are different questions.

Recognize urgency

I understand that you want to begin using the account promptly.

Make the request specific

I will provide the outstanding-information list.

Avoid unnecessary repetition

We will identify what remains missing rather than request everything again.

Keep stages distinct

Complete documents do not automatically mean approved onboarding.

Give the next contact

We will update the review status Thursday at 11:00.

Close constructively

Send the specified information so the relevant review can continue.

Precision in real exchanges

Purpose: Separate roles
Useful wording: Signing authority and beneficial ownership are different questions.

Purpose: State the local condition
Useful wording: This application requires the review to be complete before approval.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which explanation is accurate?

A. Every entity has identical ownership requirements.
B. We have signatory details, but the requested ownership information is incomplete.
C. A signatory is always the only beneficial owner.
D. Urgency proves that review is unnecessary.

2. What can Zoya promise?

A. An exception without authorized assessment
B. A specific missing-information list and a Thursday status update
C. Guaranteed approval after any document upload
D. Immediate use before required review

3. A colleague needs the term for this meaning: An organization recognized as a distinct person under applicable law. Which term fits?

A. verification status
B. customer risk profile
C. account mandate
D. legal entity

D Choose the response that fits / continued

4. Rebuild the exchange from "Explain the missing ownership information without promising approval". Ken: "Could you open the account now? We can promise to send the remaining information later." Zoya: [missing response] Ken: "Please send a specific list. Our records team needs to know which ownership details are missing and which documents you already hold." Which response belongs in the gap?

A. The requested ownership structure information is incomplete. We have the signatory details, but those answer a different question. I will identify the precise outstanding items rather than ask you to resend the entire application.

B. Thank you. The eventual decision remains with the relevant approval authority. We can make the process understandable and keep the next contact reliable while preserving the required review and the actual account status.

C. Under this local process, the required customer due diligence review must be complete before this application can be approved. I cannot replace that step with a promise that the information will arrive later.

D. An authorized signatory is not necessarily a beneficial owner. We need the information relevant to each role under this application's review. One person's signing authority does not establish the full ownership position.

Answers and explanations, page 130

One useful distinction

An authorized signatory can operate an account under its mandate without necessarily being its beneficial owner. Supplying signatory details does not automatically answer the ownership question requested in this application.

E Conversation

Explain the missing ownership information without promising approval

Explain the missing ownership information without promising approval

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

ownership structure / risk-based procedure / approval authority / verification status / account application / authorized signatory / exception review / outstanding requirement / customer due diligence / nature and purpose

01 **Ken:** We supplied the people authorized to sign. Why is A62 still pending? We need to start using the business account this week.

02 **Zoya:** The requested [1] _____ information is incomplete. We have the signatory details, but those answer a different question. I will identify the precise outstanding items rather than ask you to resend the entire application.

03 **Ken:** Our director can sign for the company. Does identifying her also settle the ownership question?

04 **Zoya:** An [2] _____ is not necessarily a beneficial owner. We need the information relevant to each role under this application's review. One person's signing authority does not establish the full ownership position.

05 **Ken:** Could you open the account now? We can promise to send the remaining information later.

06 **Zoya:** Under this local process, the required [3] _____ review must be complete before this application can be approved. I cannot replace that step with a promise that the information will arrive later.

E Conversation / continued

07 **Ken:** Please send a specific list. Our records team needs to know which ownership details are missing and which documents you already hold.

08 **Zoya:** I will send the [4] _____ list through the verified secure channel. It will distinguish what we hold from what remains needed. That should help your team provide the relevant records without unnecessary duplication.

09 **Ken:** Are these requirements identical for every company and every account? A colleague said the rules had changed for some account openings.

10 **Zoya:** They depend on the applicable rules and [5] _____. Current requirements and relief must be assessed in context. This is your first business-account application here; I should not generalize its requirements to every additional account or entity.

Conversation continues on the next page.

Explain the missing ownership information without promising approval

CONVERSATION / CONTINUED

11 **Ken:** The upload screen says complete. Does that mean submitted, verified, or approved? Those would mean different things to my team.

12 **Zoya:** The [6] _____ remains separate from document receipt. Supplying information allows the review to continue. It does not establish that every item has been verified or that the application has been approved.

13 **Ken:** Uploading does not mean the account is ready. Who can review a possible exception?

14 **Zoya:** Any [7] _____ must follow the applicable authorized process. I cannot approve a bypass in this conversation. If a relevant question needs escalation, I will route it rather than invent an exception.

15 **Ken:** The form also asks how we expect to use the account. That is separate from identifying who owns or signs for the company.

16 **Zoya:** Yes. The [8] _____ of the relationship helps establish the relevant customer context. Provide the requested factual description; do not choose an answer merely because you think it will make the review faster.

17 **Ken:** When will I hear from you? An accurate pending status would still help our planning.

18 **Zoya:** We will update the [9] _____ status Thursday at eleven hundred. That is a communication appointment, not an approval guarantee. We will identify any continuing information gap or review step rather than imply a decision we do not have.

Explain the missing ownership information without promising approval / continued

19 **Ken:** I will use the verified channel, supply the specified ownership records, and keep the distinction between submission and approval clear internally.

20 **Zoya:** Thank you. The eventual decision remains with the relevant [10] _____. We can make the process understandable and keep the next contact reliable while preserving the required review and the actual account status.

CHECK THE GAPS

1. ownership structure / **2.** authorized signatory / **3.** customer due diligence / **4.** outstanding requirement / **5.** risk-based procedure / **6.** verification status / **7.** exception review / **8.** nature and purpose / **9.** account application / **10.** approval authority

Why these answers fit, page 131

F Check accuracy and scope

Explain the missing ownership information without promising approval

Return to the case

Application A62 is the first business-account application by Northbank Design at this fictional bank. Its authorized-signatory details are supplied, but the ownership information requested for the applicable customer review is incomplete. Applicant representative Ken asks officer Zoya to open the account immediately and finish the review later. Under the stated local process, this application cannot be approved until the required review is complete. Zoya will provide the specific outstanding-information list through the verified secure channel and arrange a review-status update Thursday at 11:00. Neither complete documents nor that update guarantee approval.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. Which statement improperly generalizes the case?

A. This is the customer's first account application here.

B. The local process requires the stated review.

C. Requirements depend on applicable rules and risk-based procedures.

D. Every additional account always requires identical new ownership collection.

2. What does a completed information package establish by itself?

A. Every identity is already verified.

B. Every risk is eliminated.

C. Account use is authorized without a decision.

D. Information is supplied for review, not automatic approval.

Answers and explanations, page 133

Listen for the distinction

Swap roles for turns 11-20; separate document receipt, verification, and approval.

Explain the requirement without making a universal legal claim

A customer may see repeated information requests as unnecessary. Describe the actual gap in this application and the authorized review route. Do not claim every entity or every additional account has identical requirements, and do not confuse signing authority with ownership.

F Say it / transfer to a new case

Clarify another account application

Application B14 has signatory details but lacks the requested ownership chart. Hana will coordinate the review. The next status update is Monday at 10:00; approval is not guaranteed.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

Hana / B14 / ownership chart / Monday at 10:00

01 **Officer:** The application reference is [1] _____.

02 **Applicant:** The missing document is the [2] _____.

03 **Officer:** The review coordinator is [3] _____.

04 **Applicant:** The next status update is [4] _____.

CHECK THE GAPS

1. B14 / **2.** ownership chart / **3.** Hana / **4.** Monday at 10:00

Why these answers fit, page 133

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "Explain the missing ownership information without promising approval". Ken: "Uploading does not mean the account is ready. Who can review a possible exception?" Zoya: [missing response] Ken: "The form also asks how we expect to use the account. That is separate from identifying who owns or signs for the company." Which response belongs in the gap?

A. An authorized signatory is not necessarily a beneficial owner. We need the information relevant to each role under this application's review. One person's signing authority does not establish the full ownership position.

B. The verification status remains separate from document receipt. Supplying information allows the review to continue. It does not establish that every item has been verified or that the application has been approved.

C. Under this local process, the required customer due diligence review must be complete before this application can be approved. I cannot replace that step with a promise that the information will arrive later.

D. Any exception review must follow the applicable authorized process. I cannot approve a bypass in this conversation. If a relevant question needs escalation, I will route it rather than invent an exception.

Answers and explanations, page 134

A Read the situation

LESSON 02 / AML MONITORING AND SUSPICIOUS ACTIVITY

Write a neutral internal handoff and preserve confidential reporting boundaries.

> **An unusual-activity alert is a question, not a verdict**
>
> Monitoring analyst Sam receives alert T82 because recent transfers differ from the activity recorded in a business customer profile. The transaction records are available, but the business purpose and explanation for the change have not been established. A draft note says the customer is laundering money. Reviewer Aisha asks Sam to replace that conclusion with the observed difference and open questions, then follow the authorized Anti-Money Laundering (AML) review route. No reporting decision is supplied in this case. Suspicious Activity Report (SAR) information and its existence or nonexistence must not be disclosed through unauthorized channels.

People: Sam, Monitoring analyst; Aisha, AML reviewer.

Read the record

Choose one answer per question using the facts above.

1. What does T82 identify?

A. A confirmed harmless explanation
B. Activity differing from the recorded customer profile
C. A proven money-laundering offense
D. A completed reporting decision

2. What is wrong with the draft note?

A. It preserves uncertainty.
B. It limits access to authorized reviewers.
C. It states wrongdoing as established without the supporting finding.
D. It identifies an alert reference.

3. What reporting decision is supplied?

A. None
B. A confirmed SAR filing
C. A confirmed decision never to file
D. Public disclosure to the customer

Answers and explanations, page 135

B Vocabulary in use

CORE TERMS

Anti-Money Laundering (AML)

Measures addressing the misuse of financial services to conceal or facilitate illicit funds.

conduct an AML review

Bank Secrecy Act (BSA)

A U.S. framework of financial recordkeeping and reporting requirements.

assess applicable BSA requirements

transaction monitoring

Review of financial activity for patterns requiring attention under the applicable process.

perform transaction monitoring

monitoring alert

A signal identifying activity for further review.

investigate a monitoring alert

customer profile

Recorded information about a customer and the relevant relationship context.

compare the customer profile

observed activity

Transactions or conduct actually recorded or identified.

describe observed activity

business purpose

The commercial reason given or established for activity.

clarify the business purpose

unusual activity

Activity differing from an expected or relevant pattern and requiring context.

assess unusual activity

suspicious activity

Activity meeting the relevant concern or reporting assessment under applicable requirements.

evaluate suspicious activity

Suspicious Activity Report (SAR)

A confidential report made under applicable suspicious-activity reporting requirements.

protect SAR confidentiality

alert disposition

The recorded outcome of an alert review.

document the alert disposition

case escalation

Referral of a matter to the appropriate review level.

coordinate case escalation

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

Anti-Money Laundering (AML) ANTI-MONEY LAUNDERING (AML)

conduct an AML review

Keep the meaning precise: Measures addressing the misuse of financial services to conceal or facilitate illicit funds.

observed activity OBSERVED ACTIVITY

describe observed activity

Keep the meaning precise: Transactions or conduct actually recorded or identified.

B Precision and professional shorthand

EXTEND YOUR RANGE

supporting records

Documents or data relevant to assessing the observed activity.

preserve supporting records

source attribution

Identification of where information came from.

retain source attribution

contextual information

Background needed to interpret the observed facts.

obtain contextual information

review rationale

The documented reasoning for an assessment or next step.

explain the review rationale

confidentiality restriction

A limit on access or disclosure of protected information.

observe confidentiality restrictions

need-to-know basis

Access limited to those requiring information for an authorized role.

share on a need-to-know basis

transaction narrative

A clear description of relevant transaction facts and context.

prepare a transaction narrative

risk indicator

Information potentially relevant to assessing a concern.

evaluate a risk indicator

corroborating evidence

Additional information supporting or challenging an interpretation.

review corroborating evidence

reporting decision

A determination under the applicable process about required reporting.

distinguish the reporting decision

authorized channel

An approved route for transmitting relevant information.

use an authorized channel

neutral description

Factual wording without an unsupported adverse or favorable conclusion.

use a neutral description

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

case escalation CASE ESCALATION

coordinate case escalation

Keep the meaning precise: Referral of a matter to the appropriate review level.

contextual information CONTEXTUAL INFORMATION

obtain contextual information

Keep the meaning precise: Background needed to interpret the observed facts.

C Phrases that move the work forward

Identify the item
We are reviewing monitoring alert T82.

Describe the observation
The transfers differ from the activity recorded in the customer profile.

Name the missing context
The business purpose has not been established.

Remove the unsupported finding
Do not describe money laundering as proven.

Preserve the concern
The difference still requires review.

Avoid premature reassurance
We have not established a harmless explanation either.

Link the evidence
Attach the relevant transaction references through the authorized channel.

Attribute the source
Separate system records from unverified explanations.

Keep the note neutral
Describe the observed activity and open questions.

Use the review route
Escalate through the applicable AML process.

Separate reporting
An alert review is not itself a reporting decision.

Protect confidentiality
Do not disclose SAR information through unauthorized channels.

Restrict distribution
Share the handoff only on a need-to-know basis.

Avoid an irrelevant proxy
An accent or nationality is not evidence of wrongdoing.

Record the rationale
Explain why the matter needs further context.

Close the handoff
Keep facts, uncertainty, review action, and reporting status distinct.

Precision in real exchanges

Purpose: Remove the unsupported finding
Useful wording: Do not describe money laundering as proven.

Purpose: Preserve the concern
Useful wording: The difference still requires review.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which internal note fits the case?

A. T82 identifies transfers differing from the profile; business purpose unestablished; referred for authorized review.

B. The customer is proven to be laundering money.

C. The alert is harmless because the customer sounded polite.

D. A SAR has been filed because an alert exists.

2. What should the reviewer not use as proof?

A. Verified account context

B. Documented business-purpose evidence

C. The customer's accent or nationality

D. Relevant transaction records

3. A colleague needs the term for this meaning: A signal identifying activity for further review. Which term fits?

A. monitoring alert

B. suspicious activity

C. confidentiality restriction

D. source attribution

D Choose the response that fits / continued

4. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "If I remove the accusation, how do I make clear that the concern still needs review?" Aisha: [missing response] Sam: "The transaction records and profile are available. Any explanation we receive later should be distinguished from what the system already records." Which response belongs in the gap?

A. That supports case escalation through the approved process. Make clear what you observed and what assessment is still needed. Referral status must not be presented as an outcome that has already been reached.

B. Keep protected information in the appropriate authorized channel. Customer communication must follow its authorized process without revealing confidential reporting information. Do not use a convenient shared field as a shortcut around access restrictions.

C. No. A reporting decision is separate from an alert. No reporting decision is recorded in this handoff. Do not infer filing or nonfiling status from the presence of T82 or from this review conversation.

D. Preserve the unusual activity concern without choosing either outcome. Neutral wording can be precise about why review is needed while leaving the explanation open. It does not require us to pretend the difference is irrelevant.

Answers and explanations, page 135

> **One useful distinction**
>
> An alert is not proof of criminal conduct and does not itself establish a reporting decision. A review can preserve concern without asserting wrongdoing or assuming that the activity has an innocent explanation.

E Conversation

An unusual-activity alert is a question, not a verdict

An unusual-activity alert is a question, not a verdict

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

authorized channel / neutral description / unusual activity / confidentiality restriction / reporting decision / source attribution / review rationale / case escalation / business purpose / alert disposition

01 **Sam:** Alert T82 shows transfers that differ from the recorded customer profile. My draft says the customer is laundering money, but the explanation is still unknown.

02 **Aisha:** Use a [1] _____. The alert identifies a difference requiring review. It does not establish wrongdoing, and our note should not supply a conclusion that the available evidence has not established.

03 **Sam:** I can identify the relevant transactions and the profile used for comparison. I cannot yet explain the business reason for the change.

04 **Aisha:** State that the [2] _____ has not been established. That is different from saying no legitimate purpose exists. We need context, not an accusation based on an empty explanatory field.

05 **Sam:** If I remove the accusation, how do I make clear that the concern still needs review?

06 **Aisha:** Preserve the [3] _____ concern without choosing either outcome. Neutral wording can be precise about why review is needed while leaving the explanation open. It does not require us to pretend the difference is irrelevant.

E Conversation / continued

07 **Sam:** The transaction records and profile are available. Any explanation we receive later should be distinguished from what the system already records.

08 **Aisha:** Maintain [4] _____ for each item. Separate recorded transactions, customer information, and unverified explanations. Otherwise, a later reader may mistake an assertion or assumption for a fact established by the original records.

09 **Sam:** I will send the factual handoff to the authorized AML reviewer. Does the existence of an alert itself mean a report has been filed?

10 **Aisha:** No. A [5] _____ is separate from an alert. No reporting decision is recorded in this handoff. Do not infer filing or nonfiling status from the presence of T82 or from this review conversation.

Conversation continues on the next page.

An unusual-activity alert is a question, not a verdict

CONVERSATION / CONTINUED

11 **Sam:** An unrelated colleague asked whether a SAR exists. Bank employment alone does not authorize that disclosure.

12 **Aisha:** Correct. Observe the [6] _____ on SAR information, including whether a report exists. Employment alone does not create permission. Use the applicable authorized process for any request involving protected reporting information.

13 **Sam:** The customer-facing team may still need help with an ordinary service question. We should not put reporting information into a general customer note.

14 **Aisha:** Keep protected information in the appropriate [7] _____. Customer communication must follow its authorized process without revealing confidential reporting information. Do not use a convenient shared field as a shortcut around access restrictions.

15 **Sam:** The handoff should say why we need another review. I can name the profile difference and the missing business-purpose explanation.

16 **Aisha:** Document the [8] _____. Tie it to relevant activity and missing context, not the customer's accent, nationality, or an impression of their personality. Those are not substitutes for evidence of wrongdoing.

17 **Sam:** I will list the alert, records, profile comparison, sources, and unresolved explanation, without asserting a criminal finding.

18 **Aisha:** That supports [9] _____ through the approved process. Make clear what you observed and what assessment is still needed. Referral status must not be presented as an outcome that has already been reached.

An unusual-activity alert is a question, not a verdict / continued

19 **Sam:** When the authorized review is complete, its actual result can be recorded with the supporting rationale and the appropriate confidentiality controls.

20 **Aisha:** Yes. The [10] _____ must reflect the completed assessment, not a guess made to clear the queue. Keep the evidence, review stage, and any protected reporting information distinct throughout the record.

CHECK THE GAPS

1. neutral description / **2.** business purpose / **3.** unusual activity / **4.** source attribution / **5.** reporting decision / **6.** confidentiality restriction / **7.** authorized channel / **8.** review rationale / **9.** case escalation / **10.** alert disposition

Why these answers fit, page 136

F Check accuracy and scope

An unusual-activity alert is a question, not a verdict

Return to the case

Monitoring analyst Sam receives alert T82 because recent transfers differ from the activity recorded in a business customer profile. The transaction records are available, but the business purpose and explanation for the change have not been established. A draft note says the customer is laundering money. Reviewer Aisha asks Sam to replace that conclusion with the observed difference and open questions, then follow the authorized Anti-Money Laundering (AML) review route. No reporting decision is supplied in this case. Suspicious Activity Report (SAR) information and its existence or nonexistence must not be disclosed through unauthorized channels.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. Which disclosure is inappropriate through an unauthorized channel?

A. The assigned internal alert reference to its authorized reviewer
B. Relevant records sent through the approved review route
C. A neutral handoff within the permitted team
D. Whether a SAR exists for the customer

2. What should the record preserve?

A. The alert score alone without the profile comparison
B. The transaction totals without their dates or sources
C. The reviewer's preferred explanation without its verification status
D. Sources, observed facts, uncertainty, and the review rationale

Answers and explanations, page 138

Listen for the distinction

Swap roles for turns 11-20, maintaining the confidential-reporting boundary.

Separate a system signal from a human conclusion

An alert can feel authoritative because a system produced it. Explain the actual observation and the missing context without treating the signal as proof. Keep the handoff factual and avoid using customer nationality, accent, or unfamiliarity as a substitute for relevant evidence.

F Say it / transfer to a new case

Complete a neutral alert handoff

Alert U19 identifies activity differing from a recorded profile. Its business purpose is unconfirmed. Noor owns the authorized review. No reporting decision is supplied.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

U19 / Noor / decision / unconfirmed

01 **Analyst:** The alert reference is [1] _____.

02 **Reviewer:** The business purpose remains [2] _____.

03 **Analyst:** The assigned reviewer is [3] _____.

04 **Reviewer:** This alert alone does not establish a reporting [4] _____.

CHECK THE GAPS

1. U19 / **2.** unconfirmed / **3.** Noor / **4.** decision

Why these answers fit, page 138

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "The customer-facing team may still need help with an ordinary service question. We should not put reporting information into a general customer note." Aisha: [missing response] Sam: "The handoff should say why we need another review. I can name the profile difference and the missing business-purpose explanation." Which response belongs in the gap?

A. Keep protected information in the appropriate authorized channel. Customer communication must follow its authorized process without revealing confidential reporting information. Do not use a convenient shared field as a shortcut around access restrictions.

B. Maintain source attribution for each item. Separate recorded transactions, customer information, and unverified explanations. Otherwise, a later reader may mistake an assertion or assumption for a fact established by the original records.

C. No. A reporting decision is separate from an alert. No reporting decision is recorded in this handoff. Do not infer filing or nonfiling status from the presence of T82 or from this review conversation.

D. That supports case escalation through the approved process. Make clear what you observed and what assessment is still needed. Referral status must not be presented as an outcome that has already been reached.

Answers and explanations, page 139

Review 1 / Meaning and context

Use language from the lessons you have completed. Choose one answer per question.

> **Case file**
>
> Revisit "Account Opening and KYC" and "AML Monitoring and Suspicious Activity". Choose precise terminology, then reconstruct the missing responses using both neighboring turns. The final two questions also revisit earlier conversations.

1. A colleague needs the term for this meaning: The arrangement of ownership interests in an entity. Which term fits?

A. ownership structure
B. outstanding requirement
C. control person
D. expected activity

2. A colleague needs the term for this meaning: Activity differing from an expected or relevant pattern and requiring context. Which term fits?

A. review rationale
B. Anti-Money Laundering (AML)
C. supporting records
D. unusual activity

3. Rebuild the exchange from "Explain the missing ownership information without promising approval". Ken: "Are these requirements identical for every company and every account? A colleague said the rules had changed for some account openings." Zoya: [missing response] Ken: "The upload screen says complete. Does that mean submitted, verified, or approved? Those would mean different things to my team." Which response belongs in the gap?

A. We will update the account application status Thursday at eleven hundred. That is a communication appointment, not an approval guarantee. We will identify any continuing information gap or review step rather than imply a decision we do not have.
B. I will send the outstanding requirement list through the verified secure channel. It will distinguish what we hold from what remains needed. That should help your team provide the relevant records without unnecessary duplication.
C. They depend on the applicable rules and risk-based procedure. Current requirements and relief must be assessed in context. This is your first business-account application here; I should not generalize its requirements to every additional account or entity.
D. The requested ownership structure information is incomplete. We have the signatory details, but those answer a different question. I will identify the precise outstanding items rather than ask you to resend the entire application.

Review 1 / Meaning and context / continued

4. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "I will list the alert, records, profile comparison, sources, and unresolved explanation, without asserting a criminal finding." Aisha: [missing response] Sam: "When the authorized review is complete, its actual result can be recorded with the supporting rationale and the appropriate confidentiality controls." Which response belongs in the gap?

A. That supports case escalation through the approved process. Make clear what you observed and what assessment is still needed. Referral status must not be presented as an outcome that has already been reached.

B. Maintain source attribution for each item. Separate recorded transactions, customer information, and unverified explanations. Otherwise, a later reader may mistake an assertion or assumption for a fact established by the original records.

C. Keep protected information in the appropriate authorized channel. Customer communication must follow its authorized process without revealing confidential reporting information. Do not use a convenient shared field as a shortcut around access restrictions.

D. No. A reporting decision is separate from an alert. No reporting decision is recorded in this handoff. Do not infer filing or nonfiling status from the presence of T82 or from this review conversation.

Answers and explanations, page 170

A Read the situation

LESSON 03 / LOAN OPERATIONS AND DOCUMENTATION

Escalate a document mismatch without silently changing the evidence or authorizing a drawdown.

> **A checked condition points to the wrong agreement version**
>
> Loan package L73 uses approved agreement version 3. The operations checklist marks condition C4 complete, but the attached supporting certificate refers to agreement version 2. The team has not established whether that certificate satisfies C4 for version 3. Operations officer Ravi and documentation reviewer Mae must correct the status and obtain an authorized assessment. Under the stated local process, the affected drawdown is not authorized while this condition remains unresolved. The mismatch alone does not prove that the entire loan is invalid. Neither participant may edit the certificate reference or mark the condition satisfied merely to meet a requested funding date.

People: Ravi, Loan operations officer; Mae, Documentation reviewer.

Read the record

Choose one answer per question using the facts above.

1. Which agreement version governs this package?

A. Version 2 because it appears on the certificate
B. Both versions interchangeably until funding
C. Whichever version was attached most recently
D. Approved version 3

2. What does the supporting certificate reference?

A. Version 3
B. Every agreement ever issued
C. No agreement at all
D. Version 2

3. What is the affected drawdown status under the stated process?

A. Permanently cancelled by this conversation
B. Not authorized while C4 remains unresolved
C. Automatically authorized by the checked box
D. Already paid in full

Answers and explanations, page 140

B Vocabulary in use

CORE TERMS

loan facility
An agreed arrangement providing borrowing subject to specified terms.

administer a loan facility

loan agreement
The contract establishing the borrowing terms and obligations.

review the loan agreement

drawdown
Use or disbursement of funds under a loan facility.

authorize a drawdown

condition precedent
A condition that must be satisfied or appropriately waived before a specified action.

verify a condition precedent

supporting certificate
A document certifying specified information relevant to a requirement.

examine a supporting certificate

approved version
The document issue authorized for the relevant purpose.

identify the approved version

document discrepancy
A mismatch between documents or their references.

record a document discrepancy

execution copy
The version prepared or used for formal signing.

confirm the execution copy

executed document
A document signed or otherwise completed as required for its execution.

retain the executed document

amendment
A documented change to an existing agreement.

review an amendment

waiver
An authorized relinquishment or modification of a requirement under applicable terms.

confirm a waiver

consent
Permission given by the relevant party for a specified action.

obtain the required consent

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

loan facility LOAN FACILITY

administer a loan facility

Keep the meaning precise: An agreed arrangement providing borrowing subject to specified terms.

approved version APPROVED VERSION

identify the approved version

Keep the meaning precise: The document issue authorized for the relevant purpose.

B Precision and professional shorthand

EXTEND YOUR RANGE

covenant

A contractual undertaking or restriction.

monitor a covenant

collateral

Property or rights supporting repayment under an agreed arrangement.

identify the collateral

facility agent

A party coordinating specified administrative functions under a facility agreement.

contact the facility agent

document index

A list linking required documents to their identifiers and locations.

maintain the document index

exception log

A record of unresolved departures or discrepancies.

update the exception log

release authorization

Approval allowing a specified disbursement or action to proceed.

verify release authorization

security document

A document establishing or recording relevant collateral rights.

verify the security document

guarantor

A party undertaking specified obligations relating to another party's debt.

confirm the guarantor

conditions checklist

A record tracking requirements and their evidence or status.

update the conditions checklist

version control

Management of document issues and their applicable status.

maintain version control

funding request

A request for a loan disbursement under the applicable arrangement.

review the funding request

document retention

Preservation of records under the relevant requirements.

follow document-retention requirements

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

consent CONSENT

obtain the required consent

Keep the meaning precise: Permission given by the relevant party for a specified action.

facility agent FACILITY AGENT

contact the facility agent

Keep the meaning precise: A party coordinating specified administrative functions under a facility agreement.

C Phrases that move the work forward

Name the package
We are reviewing loan package L73.

State the conflicting reference
The certificate refers to version 2.

Correct the checklist
C4 should not be marked complete on this evidence alone.

Limit the conclusion
This mismatch does not by itself invalidate the whole loan.

Keep funding status explicit
The affected drawdown is not authorized while the condition remains unresolved.

Respect the deadline without inventing authority
I understand the requested funding date, but the evidence still needs review.

Avoid assumed equivalence
Similar wording does not prove that the documents are interchangeable.

Track the exception
Leave the discrepancy visible until its actual resolution is recorded.

Identify the approved issue
The package uses agreement version 3.

Locate the affected condition
The mismatch concerns condition C4.

Preserve the document
Do not edit the certificate reference.

Request authorized review
Please assess whether the certificate satisfies C4 for version 3.

Distinguish a waiver
A request to overlook the issue is not an approved waiver.

Link the references
Record the package, condition, and both version identifiers.

Keep the next action clear
Obtain the relevant documentation decision through the authorized route.

Close the handoff
Report the reviewed evidence and authorization status separately.

Precision in real exchanges

Purpose: Locate the affected condition
Useful wording: The mismatch concerns condition C4.

Purpose: Correct the checklist
Useful wording: C4 should not be marked complete on this evidence alone.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which checklist correction is supported?

A. Mark every loan condition permanently invalid.

B. Leave C4 complete because funding is urgent.

C. Mark C4 unresolved pending authorized assessment of the version mismatch.

D. Change the certificate text without recording it.

2. Which statement invents a waiver?

A. The certificate refers to version 2.

B. The approved agreement is version 3.

C. An authorized assessment is required.

D. The client wants funding today, so C4 is waived.

3. A colleague needs the term for this meaning: A condition that must be satisfied or appropriately waived before a specified action. Which term fits?

A. exception log

B. condition precedent

C. executed document

D. collateral

D Choose the response that fits / continued

4. Rebuild the exchange from "A checked condition points to the wrong agreement version". Ravi: "The team wants funding today. Can I change the certificate's version number to match?" Mae: [missing response] Ravi: "I will correct the checklist status and note the exact package and condition. The requested funding date will remain a request, not an authorization." Which response belongs in the gap?

A. Preserve the supporting certificate as received. Do not edit its reference to make the checklist look consistent. We need the relevant assessment and any properly issued replacement or other authorized resolution.

B. Record the document discrepancy. We have not established whether that certificate satisfies C4 for version 3. A completed checkbox does not remove the conflicting reference or supply the missing assessment.

C. It is not an established waiver. Satisfaction and waiver are different concepts, and each needs its proper basis. We cannot convert the client's proposal into an approved waiver merely by changing the label.

D. Keep the drawdown status explicit. Under this local process, the affected drawdown is not authorized while C4 remains unresolved. A deadline does not establish permission to release the funds.

Answers and explanations, page 140

> **One useful distinction**
>
> The certificate mismatch leaves C4 unresolved; it does not automatically invalidate the entire facility. Satisfaction, waiver, and release authorization are different decisions, each requiring its applicable authority and evidence.

E Conversation

A checked condition points to the wrong agreement version

A checked condition points to the wrong agreement version

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

document discrepancy / version control / funding request / drawdown / condition precedent / release authorization / document index / waiver / exception log / supporting certificate

01 **Ravi:** C4 is checked complete in L73, but its certificate refers to agreement version 2. The approved package uses version 3.

02 **Mae:** Record the [1] _____. We have not established whether that certificate satisfies C4 for version 3. A completed checkbox does not remove the conflicting reference or supply the missing assessment.

03 **Ravi:** C4 may be unchanged, but I have not checked. Who can assess whether this certificate still satisfies it?

04 **Mae:** That needs authorized review of the [2] _____ and supporting evidence. Similar wording is not enough for us to declare satisfaction. Equally, the mismatch alone does not prove that the whole facility is invalid.

05 **Ravi:** The team wants funding today. Can I change the certificate's version number to match?

06 **Mae:** Preserve the [3] _____ as received. Do not edit its reference to make the checklist look consistent. We need the relevant assessment and any properly issued replacement or other authorized resolution.

E Conversation / continued

07 **Ravi:** I will correct the checklist status and note the exact package and condition. The requested funding date will remain a request, not an authorization.

08 **Mae:** Keep the [4] _____ status explicit. Under this local process, the affected drawdown is not authorized while C4 remains unresolved. A deadline does not establish permission to release the funds.

09 **Ravi:** Someone suggested calling the issue waived because the client agrees to provide another certificate later. That does not sound like an authorized decision.

10 **Mae:** It is not an established [5] _____. Satisfaction and waiver are different concepts, and each needs its proper basis. We cannot convert the client's proposal into an approved waiver merely by changing the label.

Conversation continues on the next page.

A checked condition points to the wrong agreement version

CONVERSATION / CONTINUED

11 **Ravi:** I will send the document references to the appropriate reviewer. We should keep both versions available so the question can be assessed accurately.

12 **Mae:** Maintain [6] _____. Identify version 3 as the approved agreement and version 2 as the certificate's reference. That distinction lets the reviewer understand the actual issue instead of guessing which document we meant.

13 **Ravi:** I will flag C4 rather than mark the entire facility defective. We have identified one reference mismatch, not reviewed every document.

14 **Mae:** Use the [7] _____ to identify C4 and the pending assessment. Keep the scope precise. We have a document-reference question affecting a condition, not evidence that every part of the facility is defective.

15 **Ravi:** Once the reviewer decides what is needed, I will link that decision to the evidence. I will not remove the old certificate from the record.

16 **Mae:** Update the [8] _____ so the decision and supporting material are traceable. If a replacement is issued, its identity and status need to be clear without erasing the document that prompted the question.

17 **Ravi:** Would satisfying or appropriately waiving C4 automatically authorize release of the funds?

18 **Mae:** Check the separate [9] _____ requirements. Resolving this condition does not automatically establish every other required approval. Report the document decision and funding status separately so nobody infers permission from a narrower update.

A checked condition points to the wrong agreement version / continued

19 **Ravi:** My handoff will show L73, C4, approved version 3, the certificate's version 2 reference, the unresolved status, and the authorized review request.

20 **Mae:** Good. Keep the [10] _____ visible as well, but do not let its urgency replace the evidence. The next team needs the actual condition and authorization status, not a reassuring checkbox unsupported by the record.

CHECK THE GAPS

1. document discrepancy / **2.** condition precedent / **3.** supporting certificate / **4.** drawdown / **5.** waiver / **6.** version control / **7.** exception log / **8.** document index / **9.** release authorization / **10.** funding request

Why these answers fit, page 141

F Check accuracy and scope

A checked condition points to the wrong agreement version

Return to the case

Loan package L73 uses approved agreement version 3. The operations checklist marks condition C4 complete, but the attached supporting certificate refers to agreement version 2. The team has not established whether that certificate satisfies C4 for version 3. Operations officer Ravi and documentation reviewer Mae must correct the status and obtain an authorized assessment. Under the stated local process, the affected drawdown is not authorized while this condition remains unresolved. The mismatch alone does not prove that the entire loan is invalid. Neither participant may edit the certificate reference or mark the condition satisfied merely to meet a requested funding date.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. What should happen to the original certificate?

A. Treat it as proof of every other condition.

B. Preserve it with its actual reference and obtain the necessary assessment.

C. Silently replace its version number.

D. Delete it so the mismatch cannot be seen.

2. What does resolving a document question not automatically establish?

A. The existence of the original mismatch

B. A separate release authorization unless the applicable process provides it

C. The value of identifying correct versions

D. The need to record the decision

Answers and explanations, page 143

Listen for the distinction

Swap roles for turns 11-20; distinguish satisfaction, waiver, and release authorization.

A precise challenge can protect the working relationship

A checked box can be mistaken for an established fact, especially near a funding deadline. Identify the exact reference mismatch and its consequence for the current task. Challenge the evidence politely without accusing the preparer or claiming a wider legal conclusion.

F Say it / transfer to a new case

Identify another document mismatch

Package N26 uses approved agreement version 5. The certificate supporting condition D2 refers to version 4. Satisfaction is unresolved, and the affected drawdown is not authorized under the stated process.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

D2 / 4 / N26 / 5

01 **Officer:** The package reference is [1] _____.

02 **Reviewer:** The approved agreement version is [2] _____.

03 **Officer:** The certificate refers to version [3] _____.

04 **Reviewer:** The affected condition is [4] _____.

CHECK THE GAPS

1. N26 / **2.** 5 / **3.** 4 / **4.** D2

Why these answers fit, page 143

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "A checked condition points to the wrong agreement version". Ravi: "I will flag C4 rather than mark the entire facility defective. We have identified one reference mismatch, not reviewed every document." Mae: [missing response] Ravi: "Once the reviewer decides what is needed, I will link that decision to the evidence. I will not remove the old certificate from the record." Which response belongs in the gap?

A. Use the exception log to identify C4 and the pending assessment. Keep the scope precise. We have a document-reference question affecting a condition, not evidence that every part of the facility is defective.

B. Update the document index so the decision and supporting material are traceable. If a replacement is issued, its identity and status need to be clear without erasing the document that prompted the question.

C. It is not an established waiver. Satisfaction and waiver are different concepts, and each needs its proper basis. We cannot convert the client's proposal into an approved waiver merely by changing the label.

D. Maintain version control. Identify version 3 as the approved agreement and version 2 as the certificate's reference. That distinction lets the reviewer understand the actual issue instead of guessing which document we meant.

Answers and explanations, page 144

A Read the situation

LESSON 04 / PAYMENT OPERATIONS AND EXCEPTIONS

Give a payments-queue handoff with reconciled counts, clear stage labels, and no unsupported settlement claim.

Reviewed is not the same as resolved

At 10:00 local time, a fixed queue snapshot contains 45 payment exceptions. Thirty have been reviewed: 24 are resolved under the queue process, and six await the required authorization. Fifteen have not yet been reviewed. There are no other categories in this snapshot. Supervisor Bea asks analyst Colin whether all items are resolved. Colin must report 24 resolved and 21 still open, while distinguishing the review rate from the resolution rate. A resolved queue exception does not itself confirm that the underlying payment has settled. The team will provide another status snapshot at 11:00; resolution of every item is not promised.

People: Bea, Payments supervisor; Colin, Payments analyst.

Read the record

Choose one answer per question using the facts above.

1. How many exceptions are resolved?

A. 30
B. 45
C. 15
D. 24

2. How many exceptions remain open?

A. 30
B. 21
C. 15
D. 6

3. What does 11:00 represent?

A. Guaranteed settlement of every payment
B. Automatic authorization for six items
C. A promise that every exception is resolved
D. The next queue snapshot

Answers and explanations, page 145

B Vocabulary in use

CORE TERMS

payment instruction
A request specifying a transfer of funds.

validate a payment instruction

payment rail
The system or network through which a payment is processed.

identify the payment rail

Automated Clearing House (ACH)
A network supporting specified electronic credit and debit transfers.

process an ACH payment

wire transfer
A funds transfer through the relevant wire-payment system.

track a wire transfer

real-time gross settlement (RTGS)
Settlement of individual transfers in real time under the relevant system.

distinguish RTGS processing

payment exception
An item requiring attention outside the normal processing path.

investigate a payment exception

exception queue
A collection of payment items awaiting specified review or action.

monitor the exception queue

queue snapshot
The queue's recorded status at a particular time.

timestamp the queue snapshot

reviewed item
An item examined under the review process, possibly still unresolved.

count reviewed items

resolved exception
An exception meeting the queue's defined resolution condition.

record a resolved exception

pending authorization
A state awaiting required approval.

identify pending authorization

unreviewed item
An item not yet examined under the stated process.

prioritize unreviewed items

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

payment instruction PAYMENT INSTRUCTION

validate a payment instruction

Keep the meaning precise: A request specifying a transfer of funds.

payment exception PAYMENT EXCEPTION

investigate a payment exception

Keep the meaning precise: An item requiring attention outside the normal processing path.

B Precision and professional shorthand

EXTEND YOUR RANGE

originator

The party initiating the payment under the relevant arrangement.

identify the originator

routing information

Details directing the payment through the relevant institutions or system.

validate routing information

cut-off time

A deadline for a specified processing cycle or service.

verify the cut-off time

settlement

The discharge of the payment obligation through the relevant system.

verify settlement status

repair

Correction of a payment instruction through authorized procedures.

route a payment repair

beneficiary

The intended recipient of a payment.

verify beneficiary details

value date

The date used for value or funds treatment under the relevant payment arrangement.

confirm the value date

payment release

The authorized sending of a payment to its next processing stage.

confirm payment release

return

A payment sent back under the applicable process.

investigate a payment return

duplicate payment

A payment instruction or execution repeating another unintentionally or without the intended basis.

review a possible duplicate payment

B Precision and professional shorthand / continued

resolution rate

The proportion of the defined population meeting the resolution condition.

calculate the resolution rate

review rate

The proportion of the defined population examined under the review process.

calculate the review rate

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

unreviewed item UNREVIEWED ITEM

prioritize unreviewed items

Keep the meaning precise: An item not yet examined under the stated process.

cut-off time CUT-OFF TIME

verify the cut-off time

Keep the meaning precise: A deadline for a specified processing cycle or service.

C Phrases that move the work forward

Timestamp the report
This is the queue snapshot at 10:00 local time.

State completed review
Thirty items have been reviewed.

Name the remaining reviewed items
Six reviewed items await authorization.

Reconcile the open count
Twenty-one exceptions remain open.

Report the review rate
The review rate is approximately 66.7%.

Avoid a settlement claim
Queue resolution does not confirm payment settlement.

Avoid silent relabeling
Do not count reviewed items as resolved.

Limit the commitment
That is a reporting time, not a promise to resolve every item.

Give the population
There are 45 exceptions in this snapshot.

Separate the resolved group
Twenty-four are resolved under the queue process.

State the unreviewed group
Fifteen have not yet been reviewed.

Explain the arithmetic
Six awaiting authorization plus fifteen unreviewed equals twenty-one.

Report the resolution rate
The resolution rate is approximately 53.3%.

Keep authority explicit
The six items still require the relevant authorization.

Give the next contact
The next snapshot will be provided at 11:00.

Close the handoff
Keep the counts and stage labels attached to the same timestamp.

Precision in real exchanges

Purpose: Separate the resolved group
Useful wording: Twenty-four are resolved under the queue process.

Purpose: Name the remaining reviewed items
Useful wording: Six reviewed items await authorization.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which breakdown reconciles to 45?

A. 24 resolved, six awaiting authorization, fifteen unreviewed
B. 30 resolved, six awaiting authorization, fifteen unreviewed
C. 24 resolved and fifteen open, with six omitted
D. 45 resolved and fifteen unreviewed

2. Which rate is approximately 66.7%?

A. Review rate
B. Resolution rate
C. Settlement rate
D. Return rate

3. A colleague needs the term for this meaning: A funds transfer through the relevant wire-payment system. Which term fits?

A. repair
B. wire transfer
C. routing information
D. reviewed item

D Choose the response that fits / continued

4. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "How many exceptions are still open in total? I initially thought only the fifteen unreviewed items remained." Colin: [missing response] Bea: "I want a clear percentage as well as counts. Thirty divided by forty-five is approximately sixty-six point seven percent." Which response belongs in the gap?

A. Yes. Pending authorization is an open status here. Those six items cannot be called resolved simply because someone examined them. The review found another step that has not yet been completed.

B. No. The queue snapshot contains forty-five items at ten hundred local time. Thirty were reviewed, but only twenty-four are resolved. Six reviewed items still await authorization, and fifteen remain unreviewed.

C. There are twenty-one. Each unreviewed item belongs in the open group, along with the six awaiting authorization. Fifteen plus six gives twenty-one; counting only untouched items would understate the remaining work.

D. They do not establish settlement. Exception resolution and payment settlement are different states. We need the relevant payment records before making a statement about the underlying transfer's completion or customer receipt.

Answers and explanations, page 145

One useful distinction

Thirty reviewed out of 45 is approximately 66.7%; 24 resolved out of 45 is approximately 53.3%. The difference is six reviewed items awaiting authorization. Open items total 21, not just the 15 unreviewed.

E Conversation

Reviewed is not the same as resolved

Reviewed is not the same as resolved

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

review rate / cut-off time / resolved exception / unreviewed item / exception queue / settlement / Pending authorization / payment release / resolution rate / queue snapshot

01 **Bea:** The report says thirty items reviewed. Can I tell the morning meeting that the exception queue is cleared?

02 **Colin:** No. The [1] _____ contains forty-five items at ten hundred local time. Thirty were reviewed, but only twenty-four are resolved. Six reviewed items still await authorization, and fifteen remain unreviewed.

03 **Bea:** I had read thirty reviewed as thirty finished. Show the six awaiting approval separately so the meeting does not repeat that mistake.

04 **Colin:** Yes. [2] _____ is an open status here. Those six items cannot be called resolved simply because someone examined them. The review found another step that has not yet been completed.

05 **Bea:** How many exceptions are still open in total? I initially thought only the fifteen unreviewed items remained.

06 **Colin:** There are twenty-one. Each [3] _____ belongs in the open group, along with the six awaiting authorization. Fifteen plus six gives twenty-one; counting only untouched items would understate the remaining work.

E Conversation / continued

07 **Bea:** I want a clear percentage as well as counts. Thirty divided by forty-five is approximately sixty-six point seven percent.

08 **Colin:** That is the [4] _____. The resolution rate uses twenty-four, not thirty, as the numerator. Both can be useful, but the label must match the status being counted.

09 **Bea:** Twenty-four divided by forty-five gives approximately fifty-three point three percent. We should not substitute the larger review percentage.

10 **Colin:** Correct. The [5] _____ describes the queue's defined resolved state. It does not mean that the same percentage of all payment value has moved, because this snapshot counts items rather than money.

Conversation continues on the next page.

Reviewed is not the same as resolved

CONVERSATION / CONTINUED

11 **Bea:** Do the twenty-four resolved exceptions establish that those payments have reached their final destination? The meeting may ask about customer impact.

12 **Colin:** They do not establish [6] _____. Exception resolution and payment settlement are different states. We need the relevant payment records before making a statement about the underlying transfer's completion or customer receipt.

13 **Bea:** The approver expects to act shortly. I will leave those six open until the actual decision, even if it arrives before the meeting.

14 **Colin:** Right. A [7] _____ must meet the stated condition, not an expectation. Keep the approval dependency explicit until its actual status changes under the authorized process.

15 **Bea:** If we report a processing deadline, we should specify which system and stage it concerns. There is no universal time for every payment.

16 **Colin:** Exactly. A [8] _____ belongs to a particular service or cycle. This snapshot gives no applicable cut-off or settlement confirmation, so we must not invent one to make the update sound complete.

17 **Bea:** Let us provide another snapshot at eleven hundred. That gives the team a clear next contact without promising that all items will disappear.

18 **Colin:** Agreed. We can report any verified [9] _____ information separately if available. Eleven hundred is our next information update, not an authorization event or a guarantee that every open exception will be resolved.

19 **Bea:** My headline will say forty-five total, twenty-four resolved, six reviewed awaiting authorization, and fifteen unreviewed, all as of ten hundred.

20 **Colin:** That accurately describes the [10] _____. The three exclusive groups reconcile to forty-five, and the open count is twenty-one. Keep those counts with the timestamp so readers do not combine this snapshot with a later number.

CHECK THE GAPS

1. queue snapshot / **2.** Pending authorization / **3.** unreviewed item / **4.** review rate / **5.** resolution rate / **6.** settlement / **7.** resolved exception / **8.** cut-off time / **9.** payment release / **10.** exception queue

Why these answers fit, page 146

F Check accuracy and scope

Reviewed is not the same as resolved

Return to the case

At 10:00 local time, a fixed queue snapshot contains 45 payment exceptions. Thirty have been reviewed: 24 are resolved under the queue process, and six await the required authorization. Fifteen have not yet been reviewed. There are no other categories in this snapshot. Supervisor Bea asks analyst Colin whether all items are resolved. Colin must report 24 resolved and 21 still open, while distinguishing the review rate from the resolution rate. A resolved queue exception does not itself confirm that the underlying payment has settled. The team will provide another status snapshot at 11:00; resolution of every item is not promised.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. Which statement improperly strengthens the evidence?

A. Twenty-four exceptions are resolved.
B. Six reviewed exceptions remain open.
C. Fifteen items are unreviewed.
D. All 24 underlying payments have settled because their exceptions are resolved.

2. What must the next report preserve?

A. A guarantee that authorization will occur by 11:00
B. A common timestamp, denominator, and distinct stage labels
C. The highest percentage without its definition
D. An invented settlement confirmation

Answers and explanations, page 148

Listen for the distinction

Swap roles for turns 11-20; distinguish resolving an exception from settling a payment.

Give the denominator with the good news

A busy manager may hear thirty reviewed as thirty finished. State the full population and the mutually exclusive status groups. Recognize completed review work without letting a positive headline hide items that still need authorization or examination.

F Say it / transfer to a new case

Reconcile another queue snapshot

A fixed snapshot has 20 exceptions. Twelve are reviewed: nine resolved and three awaiting authorization. Eight are unreviewed. There are no other categories.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

60% / eleven / 45% / nine

01 **Analyst:** The resolved count is [1] _____.

02 **Supervisor:** The open count is [2] _____.

03 **Analyst:** The review rate is [3] _____.

04 **Supervisor:** The resolution rate is [4] _____.

CHECK THE GAPS

1. nine / **2.** eleven / **3.** 60% / **4.** 45%

Why these answers fit, page 148

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "The approver expects to act shortly. I will leave those six open until the actual decision, even if it arrives before the meeting." Colin: [missing response] Bea: "If we report a processing deadline, we should specify which system and stage it concerns. There is no universal time for every payment." Which response belongs in the gap?

A. That is the review rate. The resolution rate uses twenty-four, not thirty, as the numerator. Both can be useful, but the label must match the status being counted.

B. Yes. Pending authorization is an open status here. Those six items cannot be called resolved simply because someone examined them. The review found another step that has not yet been completed.

C. No. The queue snapshot contains forty-five items at ten hundred local time. Thirty were reviewed, but only twenty-four are resolved. Six reviewed items still await authorization, and fifteen remain unreviewed.

D. Right. A resolved exception must meet the stated condition, not an expectation. Keep the approval dependency explicit until its actual status changes under the authorized process.

Answers and explanations, page 149

Review 2 / Meaning and context

Use language from the lessons you have completed. Choose one answer per question.

> **Case file**
>
> Revisit "Loan Operations and Documentation" and "Payment Operations and Exceptions". Choose precise terminology, then reconstruct the missing responses using both neighboring turns. The final two questions also revisit earlier conversations.

1. A colleague needs the term for this meaning: Use or disbursement of funds under a loan facility. Which term fits?

A. execution copy
B. security document
C. drawdown
D. version control

2. A colleague needs the term for this meaning: The queue's recorded status at a particular time. Which term fits?

A. settlement
B. queue snapshot
C. payment instruction
D. originator

3. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "I will send the factual handoff to the authorized AML reviewer. Does the existence of an alert itself mean a report has been filed?" Aisha: [missing response] Sam: "An unrelated colleague asked whether a SAR exists. Bank employment alone does not authorize that disclosure." Which response belongs in the gap?

A. That supports case escalation through the approved process. Make clear what you observed and what assessment is still needed. Referral status must not be presented as an outcome that has already been reached.
B. No. A reporting decision is separate from an alert. No reporting decision is recorded in this handoff. Do not infer filing or nonfiling status from the presence of T82 or from this review conversation.
C. Keep protected information in the appropriate authorized channel. Customer communication must follow its authorized process without revealing confidential reporting information. Do not use a convenient shared field as a shortcut around access restrictions.
D. Preserve the unusual activity concern without choosing either outcome. Neutral wording can be precise about why review is needed while leaving the explanation open. It does not require us to pretend the difference is irrelevant.

Review 2 / Meaning and context / continued

4. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "Let us provide another snapshot at eleven hundred. That gives the team a clear next contact without promising that all items will disappear." Colin: [missing response] Bea: "My headline will say forty-five total, twenty-four resolved, six reviewed awaiting authorization, and fifteen unreviewed, all as of ten hundred." Which response belongs in the gap?

A. Correct. The resolution rate describes the queue's defined resolved state. It does not mean that the same percentage of all payment value has moved, because this snapshot counts items rather than money.

B. Exactly. A cut-off time belongs to a particular service or cycle. This snapshot gives no applicable cut-off or settlement confirmation, so we must not invent one to make the update sound complete.

C. Agreed. We can report any verified payment release information separately if available. Eleven hundred is our next information update, not an authorization event or a guarantee that every open exception will be resolved.

D. Yes. Pending authorization is an open status here. Those six items cannot be called resolved simply because someone examined them. The review found another step that has not yet been completed.

Answers and explanations, page 173

A Read the situation

LESSON 05 / FRAUD OPERATIONS AND CUSTOMER ESCALATION

Correct conflicting service messages while separating dispute intake, investigation, temporary credit, and the final outcome.

Give one accurate explanation of the disputed-transaction process

Customer June disputes a $380 debit-card transaction posted on 7 September to her U.S. consumer account. The bank received her notice on 9 September. One agent told her to resolve it with the merchant first; another said a police report was required before an investigation could begin. Specialist Amir must correct those barriers under the applicable electronic-fund-transfer error-resolution process, preserve the original notice date, and identify the information still needed. No final finding or credit decision is supplied. Applicable investigation, provisional-credit, and notice requirements must be checked promptly; a later handoff does not restart the notice date or justify delay.

People: June, Customer; Amir, Disputes specialist.

Read the record

Choose one answer per question using the facts above.

1. What is the original notice date?

A. 9 September
B. 7 September
C. The date Amir happens to read the file
D. A future date after merchant contact

2. Which barriers must Amir correct in this case?

A. Checking applicable requirements promptly
B. Requiring merchant resolution or a police report before beginning the applicable investigation
C. Recording the transaction amount
D. Preserving the original notice

3. What outcome has been established?

A. A guaranteed permanent refund
B. A confirmed finding that June authorized the transaction
C. A final denial because she lacks a police report
D. No final finding or credit decision is supplied.

Answers and explanations, page 150

B Vocabulary in use

CORE TERMS

electronic fund transfer (EFT)
A transfer of funds through electronic means within the applicable framework.

identify the electronic fund transfer

Regulation E
A U.S. regulation implementing consumer electronic-fund-transfer protections.

apply the relevant Regulation E process

unauthorized transaction
A transaction the customer did not make or permit, subject to the applicable definition.

report an unauthorized transaction

disputed transaction
A transaction challenged by the customer for a stated reason.

record the disputed transaction

notice of error
A customer's communication identifying an alleged error under the applicable process.

preserve the notice of error

notice date
The date the relevant recipient received the error report.

retain the original notice date

posting date
The date a transaction is recorded to the account.

distinguish the posting date

merchant
The seller or service provider associated with a card transaction.

identify the merchant

investigation
Examination of relevant facts to determine the dispute outcome.

begin the applicable investigation

provisional credit
A temporary account credit while the relevant investigation continues.

explain provisional credit

final credit
A credit made permanent under the completed decision.

distinguish final credit

debit-card dispute
A challenge relating to a debit-card transaction.

handle a debit-card dispute

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

electronic fund transfer (EFT) ELECTRONIC FUND TRANSFER (EFT)

identify the electronic fund transfer

Keep the meaning precise: A transfer of funds through electronic means within the applicable framework.

notice date NOTICE DATE

retain the original notice date

Keep the meaning precise: The date the relevant recipient received the error report.

B Precision and professional shorthand

EXTEND YOUR RANGE

error resolution

The process for investigating and addressing alleged account errors.

follow error-resolution requirements

written confirmation

A written account confirming a previously reported matter when applicable.

explain written-confirmation requirements

supporting information

Relevant details or records assisting the investigation.

request supporting information

transaction descriptor

The displayed text identifying a transaction or merchant entry.

check the transaction descriptor

case reference

The identifier assigned to the dispute or review.

provide the case reference

handoff

Transfer of responsibility or information between service teams.

document the handoff

interim update

A progress communication before the final decision.

provide an interim update

final finding

The determination reached after the relevant investigation.

explain the final finding

notification requirement

An obligation to communicate specified information under the applicable process.

verify notification requirements

customer authentication

Verification of the customer's identity through the approved process.

complete customer authentication

sensitive credential

Secret information used to access or authorize account activity.

protect sensitive credentials

process correction

An action fixing an inaccurate instruction or handling step.

record the process correction

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

debit-card dispute DEBIT-CARD DISPUTE

handle a debit-card dispute

Keep the meaning precise: A challenge relating to a debit-card transaction.

case reference CASE REFERENCE

provide the case reference

Keep the meaning precise: The identifier assigned to the dispute or review.

C Phrases that move the work forward

Acknowledge the conflict
You received two different process explanations.

Preserve the notice
The bank received your report on 9 September.

Avoid restarting the clock
This handoff does not change the original notice date.

Request relevant facts
Please confirm the transaction descriptor and what you dispute.

Keep authentication safe
Use the approved verification process; do not share a PIN or one-time code here.

Separate temporary and final credit
Provisional credit does not establish the final outcome.

Respect applicable requirements
We need to check the investigation and credit requirements promptly.

Correct the record
Document the earlier conflicting instructions and the process correction.

Correct the barriers
We should not make those prerequisites to initiating the applicable investigation.

Separate the posting date
The transaction posted on 7 September.

Identify the amount
The disputed debit-card amount is $380.

Avoid repeated intake
I will check what the file already contains.

Explain the review
The investigation will assess the relevant facts.

Avoid a premature guarantee
No permanent refund decision is supplied in the current record.

Explain a real next step
I will identify the missing information and responsible review team.

Close clearly
Keep the original notice, investigation status, and credit status separate.

Precision in real exchanges

Purpose: Separate the posting date
Useful wording: The transaction posted on 7 September.

Purpose: Avoid restarting the clock
Useful wording: This handoff does not change the original notice date.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which message corrects the process?

A. We will preserve your 9 September notice and not require those prerequisites to begin the applicable investigation.

B. Your notice begins only after a police report.

C. Merchant refusal automatically ends the bank's role.

D. The handoff erases your original report date.

2. What does provisional credit mean?

A. Permission to ignore investigation requirements

B. Temporary credit distinct from a final decision

C. A guaranteed permanent refund in every case

D. Proof that the customer committed fraud

3. A colleague needs the term for this meaning: A transaction challenged by the customer for a stated reason. Which term fits?

A. notification requirement

B. investigation

C. disputed transaction

D. supporting information

D Choose the response that fits / continued

4. Rebuild the exchange from "Give one accurate explanation of the disputed-transaction process". June: "I can confirm the amount and merchant description. Please check my first report so this does not become a new intake each time." Amir: [missing response] June: "I did not make or permit this transaction. Will you record that without assuming the result before the investigation?" Which response belongs in the gap?

A. Provisional credit is different from a final credit or finding. We need to check the applicable credit requirements and timing promptly. Required protections are not optional.

B. I will review the transaction descriptor and your recorded explanation. We need relevant missing information. A familiar merchant name alone does not answer the dispute.

C. Yes. We will record the alleged unauthorized transaction and investigate the relevant facts. We must consider your report properly. The file contains no final finding.

D. Correct. Customer authentication must follow the approved process. Protect sensitive credentials and use the verified channel for any relevant documents. This message does not need secret access details.

Answers and explanations, page 150

> **One useful distinction**
>
> For this U.S. consumer electronic-transfer dispute, do not require merchant resolution or a police report before initiating the applicable investigation. Preserve the original 9 September notice; an internal handoff does not create a new notice date.

E Conversation

Give one accurate explanation of the disputed-transaction process

Give one accurate explanation of the disputed-transaction process

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

process correction / Provisional credit / handoff / transaction descriptor / unauthorized transaction / notice date / error resolution / written confirmation / interim update / Customer authentication

01 **June:** I reported the three-hundred-eighty-dollar debit on September ninth. One agent said to resolve it with the merchant; another demanded a police report.

02 **Amir:** Those conflicting instructions need a [1] _____. For this consumer electronic-transfer dispute, we should not require merchant resolution or a police report before beginning the applicable investigation. I will record and correct that explanation.

03 **June:** The charge posted on September seventh. Does your involvement today mean my report date changes to today?

04 **Amir:** No. We must preserve the original [2] _____ of September ninth. September seventh is the posting date. An internal transfer between teams does not change when the bank received your notice or justify restarting the process.

05 **June:** I can confirm the amount and merchant description. Please check my first report so this does not become a new intake each time.

06 **Amir:** I will review the [3] _____ and your recorded explanation. We need relevant missing information. A familiar merchant name alone does not answer the dispute.

E Conversation / continued

07 **June:** I did not make or permit this transaction. Will you record that without assuming the result before the investigation?

08 **Amir:** Yes. We will record the alleged [4] _____ and investigate the relevant facts. We must consider your report properly. The file contains no final finding.

09 **June:** Another message mentioned temporary credit. Does that mean the bank has already decided to give me the money permanently?

10 **Amir:** [5] _____ is different from a final credit or finding. We need to check the applicable credit requirements and timing promptly. Required protections are not optional.

Conversation continues on the next page.

Give one accurate explanation of the disputed-transaction process

CONVERSATION / CONTINUED

11 **June:** I understand that the outcome is open, but I need the team to follow the correct timetable rather than leave the case pending indefinitely.

12 **Amir:** Agreed. The applicable [6] _____ process governs investigation, credit, and communication requirements. We must check the actual case conditions and original notice date rather than replace them with a convenient internal target.

13 **June:** Please explain any written-confirmation requirement clearly. Another vague instruction should not block the investigation.

14 **Amir:** Any [7] _____ request must be explained accurately under the applicable process. It should identify what is needed and its significance, without recreating the improper police-report or merchant-resolution prerequisite you were given.

15 **June:** Before discussing account details, I will use the bank's verified service route. I will not share a PIN or one-time code in this conversation.

16 **Amir:** Correct. [8] _____ must follow the approved process. Protect sensitive credentials and use the verified channel for any relevant documents. This message does not need secret access details.

17 **June:** Please include the original notice and corrected advice in the handoff. I do not want to argue about the police report again.

18 **Amir:** I will document the [9] _____ with those facts and the remaining information needs. The next reviewer should see the amount, posting date, notice date, reported concern, and process correction without having to reconstruct the conversation.

Give one accurate explanation of the disputed-transaction process / continued

19 **June:** Then an update will tell me the actual review and credit status, rather than imply that either temporary credit or a new contact decides the outcome.

20 **Amir:** Exactly. An [10] _____ should explain the actual status and next step. Keep investigation, provisional credit, and the final decision distinct, and make sure communication follows the applicable requirements rather than another unsupported promise.

CHECK THE GAPS

1. process correction / **2.** notice date / **3.** transaction descriptor / **4.** unauthorized transaction / **5.** Provisional credit / **6.** error resolution / **7.** written confirmation / **8.** Customer authentication / **9.** handoff / **10.** interim update

Why these answers fit, page 151

F Check accuracy and scope

Give one accurate explanation of the disputed-transaction process

Return to the case

Customer June disputes a $380 debit-card transaction posted on 7 September to her U.S. consumer account. The bank received her notice on 9 September. One agent told her to resolve it with the merchant first; another said a police report was required before an investigation could begin. Specialist Amir must correct those barriers under the applicable electronic-fund-transfer error-resolution process, preserve the original notice date, and identify the information still needed. No final finding or credit decision is supplied. Applicable investigation, provisional-credit, and notice requirements must be checked promptly; a later handoff does not restart the notice date or justify delay.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. Which date is the posting date?

A. No date is supplied
B. 7 September
C. 9 September
D. The handoff date

2. Which request should Amir avoid?

A. Reviewing information already in the file
B. Asking June to disclose a PIN or one-time code in this conversation
C. Asking what transaction she disputes
D. Checking the recorded descriptor

Answers and explanations, page 153

Listen for the distinction

Swap roles for turns 11-20; distinguish temporary credit, investigation, and final findings.

Repair the process explanation before adding another request

A customer who has heard contradictory instructions may distrust even an accurate next step. Acknowledge the conflict, preserve the original report, and explain which information genuinely helps the review. Do not make the customer repeat an unnecessary prerequisite to receive a consistent answer.

F Say it / transfer to a new case

Preserve another original notice

A consumer disputes a $240 debit-card transaction posted on 2 May. The bank received notice on 4 May. A later internal handoff occurs on 6 May. No final finding is supplied.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

240 / 4 May / 2 May / 6 May

01 **Specialist:** The disputed amount is [1] _____ dollars.

02 **Customer:** The posting date was [2] _____.

03 **Specialist:** The original notice date remains [3] _____.

04 **Customer:** The internal handoff occurred on [4] _____.

CHECK THE GAPS

1. 240 / **2.** 2 May / **3.** 4 May / **4.** 6 May

Why these answers fit, page 153

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "Give one accurate explanation of the disputed-transaction process". June: "Please explain any written-confirmation requirement clearly. Another vague instruction should not block the investigation." Amir: [missing response] June: "Before discussing account details, I will use the bank's verified service route. I will not share a PIN or one-time code in this conversation." Which response belongs in the gap?

A. Any written confirmation request must be explained accurately under the applicable process. It should identify what is needed and its significance, without recreating the improper police-report or merchant-resolution prerequisite you were given.

B. Agreed. The applicable error resolution process governs investigation, credit, and communication requirements. We must check the actual case conditions and original notice date rather than replace them with a convenient internal target.

C. Exactly. An interim update should explain the actual status and next step. Keep investigation, provisional credit, and the final decision distinct, and make sure communication follows the applicable requirements rather than another unsupported promise.

D. Those conflicting instructions need a process correction. For this consumer electronic-transfer dispute, we should not require merchant resolution or a police report before beginning the applicable investigation. I will record and correct that explanation.

Answers and explanations, page 154

A Read the situation

LESSON 06 / OPERATIONAL RISK AND CONTROLS

Explain a reconciliation break, correct a misleading control status, and preserve evidence for the next reviewer.

> **A sign-off cannot erase an unmatched balance**
>
> The 30 June reconciliation shows a $250,000 general-ledger balance and a $248,750 subledger balance on the same stated basis, leaving a $1,250 difference. The cause is unconfirmed. A control record has been signed as fully reconciled, although the unmatched item remains under investigation. Analyst Tess and controller Omar must correct that description through the traceable review process. The local procedure permits a reviewer to acknowledge a documented open exception, but not to label an unresolved difference fully matched. No journal adjustment or write-off has been approved. A timing difference is only one possible explanation, not an established fact.

People: Tess, Reconciliation analyst; Omar, Operations controller.

Read the record

Choose one answer per question using the facts above.

1. What is the unmatched amount?

A. $248,750
B. $2,500
C. $1,250
D. $250,000

2. What is established about the cause?

A. It is an approved write-off.
B. It remains unconfirmed.
C. It is definitely a timing difference.
D. It is proven fraud.

3. What does the local procedure allow?

A. A balancing journal without approval
B. Acknowledgment of a documented open exception without calling it fully matched
C. An unsupported fully reconciled label
D. Automatic write-off of every small difference

Answers and explanations, page 155

B Vocabulary in use

CORE TERMS

general ledger (GL)
The main accounting record of balances and entries.

reconcile the general ledger

subledger
A detailed record supporting a general-ledger balance.

compare the subledger

reconciliation
Comparison of records to identify and explain differences.

perform a reconciliation

reconciling item
A difference requiring explanation or resolution between compared records.

investigate a reconciling item

unmatched balance
An amount not yet matched or explained on the comparison basis.

report an unmatched balance

timing difference
A difference arising from when related events are recorded, if established.

substantiate a timing difference

journal entry
An accounting entry recording a transaction or adjustment.

review a journal entry

adjustment
A change to accounting records under the appropriate basis and authority.

authorize an adjustment

write-off
Removal of a recorded amount under the applicable accounting decision.

approve a write-off

supporting schedule
A detailed record explaining a reported balance.

retain the supporting schedule

control sign-off
A recorded review or approval with a specified meaning.

qualify the control sign-off

preparer
The person producing a record or reconciliation.

identify the preparer

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

general ledger (GL) GENERAL LEDGER (GL)

reconcile the general ledger

Keep the meaning precise: The main accounting record of balances and entries.

timing difference TIMING DIFFERENCE

substantiate a timing difference

Keep the meaning precise: A difference arising from when related events are recorded, if established.

B Precision and professional shorthand

EXTEND YOUR RANGE

reviewer

The person checking the work under the relevant process.

identify the reviewer

maker-checker control

A process in which one person prepares and another independently checks the relevant action.

apply a maker-checker control

exception aging

The length of time an unresolved item has remained open.

monitor exception aging

control deficiency

A weakness in control design or operation under the relevant assessment.

assess a control deficiency

audit trail

Records allowing an action or decision to be traced.

preserve the audit trail

segregation of duties

Separation of incompatible responsibilities to reduce risk.

maintain segregation of duties

control exception

A departure or unresolved condition identified in a control process.

document a control exception

root-cause analysis

Examination of the underlying reason for a problem.

conduct root-cause analysis

operational loss

Loss arising from relevant operational events or failures.

record an operational loss

reperformance

Independently repeating a procedure to evaluate its result.

arrange reperformance

B Precision and professional shorthand / continued

evidence reference

A link or identifier connecting a conclusion to supporting material.

add an evidence reference

resolution owner

The person accountable for coordinating an item's resolution.

assign a resolution owner

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

preparer PREPARER

identify the preparer

Keep the meaning precise: The person producing a record or reconciliation.

exception aging EXCEPTION AGING

monitor exception aging

Keep the meaning precise: The length of time an unresolved item has remained open.

C Phrases that move the work forward

State the comparison

The ledger shows $250,000 and the subledger $248,750.

Confirm the basis

Both balances use the same stated comparison basis.

Calculate the difference

The unmatched amount is $1,250.

Preserve the unknown

The cause has not been confirmed.

Avoid a convenient label

Timing is a possible explanation, not an established one.

Correct the control description

Fully reconciled is not supported while this difference remains unexplained.

Recognize permitted acknowledgment

The reviewer can acknowledge a documented open exception.

Separate correction and resolution

Fixing the label does not resolve the balance difference.

Protect the evidence

Preserve the original record and correction history.

Avoid an unsupported entry

No balancing adjustment has been approved.

Keep authority explicit

A write-off requires its applicable basis and authorization.

Name responsibility

Assign the resolution owner and next review step.

Keep the item visible

Record the amount and status in the exception log.

Link the support

Attach the relevant ledger and subledger references.

Distinguish roles

Preparation and independent review are separate responsibilities.

Close accurately

Report the open difference and qualified review status together.

Precision in real exchanges

Purpose: Preserve the unknown
Useful wording: The cause has not been confirmed.

Purpose: Avoid a convenient label
Useful wording: Timing is a possible explanation, not an established one.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which control description is accurate?

A. Fully matched with no unresolved items

B. Written off because the amount is inconvenient

C. Proven fraud based only on the difference

D. Reviewed with an open $1,250 exception; cause under investigation

2. Which action is unsupported?

A. Assign a resolution owner.

B. Post an unapproved $1,250 adjustment solely to force agreement.

C. Preserve both balance records.

D. Correct the misleading status traceably.

3. A colleague needs the term for this meaning: A difference requiring explanation or resolution between compared records. Which term fits?

A. audit trail

B. write-off

C. maker-checker control

D. reconciling item

D Choose the response that fits / continued

4. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "Our procedure lets a reviewer acknowledge work with a documented exception. It does not permit calling every balance matched when one remains unresolved." Omar: [missing response] Tess: "I will preserve the original signed record and document the correction. The status change should not silently remove the earlier wording." Which response belongs in the gap?

A. That leaves an unmatched balance of twelve hundred fifty dollars. We must preserve that difference in the record. The signature does not establish that it has been explained or resolved.

B. Maintain the audit trail. Explain why the description changed and retain the supporting references. Correcting a misleading label improves the record, but it does not itself resolve the accounting difference.

C. Exactly. A write-off requires its applicable basis and authorization. Neither has been established. Keep the difference open while the relevant records are examined, rather than selecting a convenient accounting outcome.

D. Correct the control sign-off accordingly. Reviewed with an open exception is different from fully reconciled. We should describe the permitted review state without using the signature to hide the unfinished item.

Answers and explanations, page 155

> **One useful distinction**
>
> The $1,250 difference is established; its cause is not. Calling it a timing difference requires evidence. Neither the amount nor the existence of a signature authorizes an adjustment, write-off, or fully matched conclusion.

E Conversation

A sign-off cannot erase an unmatched balance

A sign-off cannot erase an unmatched balance

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

control sign-off / segregation of duties / audit trail / resolution owner / control exception / evidence reference / journal entry / timing difference / write-off / unmatched balance

01 **Tess:** The June thirtieth record says fully reconciled, but the ledger shows two hundred fifty thousand and the subledger two hundred forty-eight thousand seven hundred fifty.

02 **Omar:** That leaves an [1] _____ of twelve hundred fifty dollars. We must preserve that difference in the record. The signature does not establish that it has been explained or resolved.

03 **Tess:** The analyst thought it might be a posting-date issue. We do not yet have the records needed to confirm that explanation.

04 **Omar:** Then do not call it a confirmed [2] _____. It is a possibility to investigate. A plausible explanation can guide the next check without becoming the stated cause before the evidence supports it.

05 **Tess:** Our procedure lets a reviewer acknowledge work with a documented exception. It does not permit calling every balance matched when one remains unresolved.

06 **Omar:** Correct the [3] _____ accordingly. Reviewed with an open exception is different from fully reconciled. We should describe the permitted review state without using the signature to hide the unfinished item.

E Conversation / continued

07 **Tess:** I will preserve the original signed record and document the correction. The status change should not silently remove the earlier wording.

08 **Omar:** Maintain the [4] _____. Explain why the description changed and retain the supporting references. Correcting a misleading label improves the record, but it does not itself resolve the accounting difference.

09 **Tess:** The proposed adjustment would make the report balance, but I cannot find a transaction or approval supporting the twelve-hundred-fifty-dollar entry.

10 **Omar:** Do not create a [5] _____ simply to force agreement. Any actual adjustment needs its proper evidence and authority. Otherwise, the apparent match would conceal an unexplained item rather than provide a valid reconciliation.

Conversation continues on the next page.

A sign-off cannot erase an unmatched balance

CONVERSATION / CONTINUED

11 **Tess:** Nor can we write it off just because it is smaller than the full account balance. The amount alone does not provide approval.

12 **Omar:** Exactly. A [6] _____ requires its applicable basis and authorization. Neither has been established. Keep the difference open while the relevant records are examined, rather than selecting a convenient accounting outcome.

13 **Tess:** The note just says investigate. We need a named coordinator and the specific records to obtain before the next review.

14 **Omar:** Assign the [7] _____ through the local process and record the next review step. Ownership, evidence gathering, and resolution are separate facts; an assigned name should not be mistaken for a closed issue.

15 **Tess:** We can link the ledger extract and detailed balance schedule. The next reviewer should see the actual amounts without reconstructing them from our conversation.

16 **Omar:** Add an [8] _____ for each. Preserve the common comparison basis as well. If the balances come from different dates or scopes, that would be a different question requiring its own explanation.

17 **Tess:** The comparison basis matches. The root cause remains unconfirmed.

18 **Omar:** Keep the [9] _____ visible with its amount and status. The control can acknowledge the exception honestly under the stated procedure; it cannot claim that no exception exists.

A sign-off cannot erase an unmatched balance / continued

19 **Tess:** The corrected handoff will show the twelve-hundred-fifty-dollar difference, unconfirmed cause, no approved adjustment, and review acknowledgment with the exception still open.

20 **Omar:** Good. Preserve [10] _____ as the work proceeds. Independent review and any authorized accounting decision must follow the applicable roles. A cleaner-looking balance is not a substitute for an explained and properly approved outcome.

CHECK THE GAPS

1. unmatched balance / **2.** timing difference / **3.** control sign-off / **4.** audit trail / **5.** journal entry / **6.** write-off / **7.** resolution owner / **8.** evidence reference / **9.** control exception / **10.** segregation of duties

Why these answers fit, page 157

F Check accuracy and scope

A sign-off cannot erase an unmatched balance

Return to the case

The 30 June reconciliation shows a $250,000 general-ledger balance and a $248,750 subledger balance on the same stated basis, leaving a $1,250 difference. The cause is unconfirmed. A control record has been signed as fully reconciled, although the unmatched item remains under investigation. Analyst Tess and controller Omar must correct that description through the traceable review process. The local procedure permits a reviewer to acknowledge a documented open exception, but not to label an unresolved difference fully matched. No journal adjustment or write-off has been approved. A timing difference is only one possible explanation, not an established fact.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. What is needed before calling this a timing difference?

A. Evidence establishing the timing explanation
B. The fact that a similar amount cleared last month
C. A reviewer signature without transaction-level support
D. A difference small relative to the total balance

2. Which statement distinguishes two tasks correctly?

A. Changing the label automatically changes the balances.
B. Keeping an exception log proves the cause.
C. A review signature replaces every missing record.
D. Correcting the sign-off description does not itself resolve the underlying balance.

Answers and explanations, page 158

Listen for the distinction

Swap roles for turns 11-20; separate correction of the sign-off from correction of a balance.

Describe the control state instead of defending the signature

A signed record can make a colleague reluctant to raise a remaining difference. Separate acknowledgment of work performed from confirmation that all items match. A precise correction protects the record without assuming misconduct by the person who signed it.

F Say it / transfer to a new case

Describe a second reconciliation break

A same-basis comparison shows a $90,000 ledger balance and an $89,600 subledger balance. The cause is unknown. No adjustment is approved.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

90,000 / 400 / unknown / 89,600

01 **Analyst:** The ledger balance is [1] _____ dollars.

02 **Reviewer:** The subledger balance is [2] _____ dollars.

03 **Analyst:** The unmatched difference is [3] _____ dollars.

04 **Reviewer:** The cause remains [4] _____.

CHECK THE GAPS

1. 90,000 / **2.** 89,600 / **3.** 400 / **4.** unknown

Why these answers fit, page 158

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "The note just says investigate. We need a named coordinator and the specific records to obtain before the next review." Omar: [missing response] Tess: "We can link the ledger extract and detailed balance schedule. The next reviewer should see the actual amounts without reconstructing them from our conversation." Which response belongs in the gap?

A. Assign the resolution owner through the local process and record the next review step. Ownership, evidence gathering, and resolution are separate facts; an assigned name should not be mistaken for a closed issue.

B. Then do not call it a confirmed timing difference. It is a possibility to investigate. A plausible explanation can guide the next check without becoming the stated cause before the evidence supports it.

C. Do not create a journal entry simply to force agreement. Any actual adjustment needs its proper evidence and authority. Otherwise, the apparent match would conceal an unexplained item rather than provide a valid reconciliation.

D. Add an evidence reference for each. Preserve the common comparison basis as well. If the balances come from different dates or scopes, that would be a different question requiring its own explanation.

Answers and explanations, page 159

Review 3 / Meaning and context

Use language from the lessons you have completed. Choose one answer per question.

> **Case file**
>
> Revisit "Fraud Operations and Customer Escalation" and "Operational Risk and Controls". Choose precise terminology, then reconstruct the missing responses using both neighboring turns. The final two questions also revisit earlier conversations.

1. A colleague needs the term for this meaning: A transaction the customer did not make or permit, subject to the applicable definition. Which term fits?

A. unauthorized transaction

B. final finding

C. merchant

D. written confirmation

2. A colleague needs the term for this meaning: A change to accounting records under the appropriate basis and authority. Which term fits?

A. reviewer

B. control deficiency

C. general ledger (GL)

D. adjustment

3. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "Twenty-four divided by forty-five gives approximately fifty-three point three percent. We should not substitute the larger review percentage." Colin: [missing response] Bea: "Do the twenty-four resolved exceptions establish that those payments have reached their final destination? The meeting may ask about customer impact." Which response belongs in the gap?

A. Yes. Pending authorization is an open status here. Those six items cannot be called resolved simply because someone examined them. The review found another step that has not yet been completed.

B. Exactly. A cut-off time belongs to a particular service or cycle. This snapshot gives no applicable cut-off or settlement confirmation, so we must not invent one to make the update sound complete.

C. Correct. The resolution rate describes the queue's defined resolved state. It does not mean that the same percentage of all payment value has moved, because this snapshot counts items rather than money.

D. There are twenty-one. Each unreviewed item belongs in the open group, along with the six awaiting authorization. Fifteen plus six gives twenty-one; counting only untouched items would understate the remaining work.

Review 3 / Meaning and context / continued

4. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "The comparison basis matches. The root cause remains unconfirmed." Omar: [missing response] Tess: "The corrected handoff will show the twelve-hundred-fifty-dollar difference, unconfirmed cause, no approved adjustment, and review acknowledgment with the exception still open." Which response belongs in the gap?

A. That leaves an unmatched balance of twelve hundred fifty dollars. We must preserve that difference in the record. The signature does not establish that it has been explained or resolved.

B. Keep the control exception visible with its amount and status. The control can acknowledge the exception honestly under the stated procedure; it cannot claim that no exception exists.

C. Maintain the audit trail. Explain why the description changed and retain the supporting references. Correcting a misleading label improves the record, but it does not itself resolve the accounting difference.

D. Exactly. A write-off requires its applicable basis and authorization. Neither has been established. Keep the difference open while the relevant records are examined, rather than selecting a convenient accounting outcome.

Answers and explanations, page 176

A Read the situation

LESSON 07 / AUDIT AND REGULATORY EXAMS

Respond to an evidence request with exact scope, honest availability, and traceable period coverage.

A policy describes the control but does not prove it operated

An examiner requests evidence that control R9 operated during March, including records for 3, 10, 17, 24, and 31 March. Coordinator Liv has policy version 2 ready. She has also retrieved completed records for 10 and 24 March; records for the other three requested dates have not yet been located. The absence of retrieved records does not by itself establish whether the control failed or operated. Control owner Yusuf will help locate the evidence and report retrieval status Wednesday at 13:00. Liv must distinguish policy design from operating evidence and must not recreate historical sign-offs as if they were original.

People: Liv, Examination coordinator; Yusuf, Control owner.

Read the record

Choose one answer per question using the facts above.

1. How many requested dated records are retrieved?

A. Two of five
B. Five of five
C. Three of five
D. None

2. What does policy version 2 primarily describe?

A. A completed examiner conclusion
B. A substitute for every historical sign-off
C. The control's documented design or requirements
D. Proof of performance on every requested date

3. What can be concluded about the three unlocated records?

A. Their retrieval is incomplete; operation is not established by that fact alone.
B. The control definitely failed on all three dates.
C. The control definitely operated correctly.
D. The records may be invented to finish the package.

Answers and explanations, page 160

B Vocabulary in use

CORE TERMS

regulatory examination
A supervisory review by the relevant regulatory authority.

coordinate a regulatory examination

examination request
A request for records or explanation within an examination.

respond to an examination request

request reference
The identifier linking a request to the response and evidence.

retain the request reference

control design
The planned structure and requirements of a control.

explain control design

operating effectiveness
Whether a control actually functions as intended over the relevant basis.

assess operating effectiveness

population
The full set of items relevant to a defined review.

define the review population

sample selection
The items chosen from the relevant population for examination.

confirm the sample selection

review period
The dates covered by the requested assessment.

identify the review period

dated evidence
A record tied to an identifiable time or event.

provide dated evidence

execution record
Documentation that a specified activity was performed.

retrieve the execution record

reviewer sign-off
A record of the reviewer's check or approval under the process.

verify the reviewer sign-off

evidence inventory
A list of requested, available, and outstanding supporting records.

maintain an evidence inventory

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

regulatory examination REGULATORY EXAMINATION

coordinate a regulatory examination

Keep the meaning precise: A supervisory review by the relevant regulatory authority.

population POPULATION

define the review population

Keep the meaning precise: The full set of items relevant to a defined review.

B Precision and professional shorthand

EXTEND YOUR RANGE

evidence gap

Missing support for a requested fact or conclusion.

disclose an evidence gap

record custodian

The person or function responsible for keeping the relevant records.

contact the record custodian

test of control

A procedure assessing relevant control design or operation.

perform a test of control

contemporaneous record

A record created at or near the time of the relevant event.

preserve a contemporaneous record

evidence mapping

Linking each request item to its supporting record.

complete evidence mapping

examiner conclusion

The outcome reached by the examiner's assessment.

distinguish the examiner conclusion

retrieval status

The stage of locating and obtaining records.

report retrieval status

walkthrough

A guided examination of how a process is designed or carried out.

conduct a process walkthrough

period coverage

The extent to which evidence represents the required time interval.

assess period coverage

retrospective explanation

A later account describing a past event or missing record.

label a retrospective explanation

response package

The organized material submitted in reply to a request.

assemble the response package

management representation

A statement by management about a matter under review.

qualify a management representation

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

evidence inventory EVIDENCE INVENTORY

maintain an evidence inventory

Keep the meaning precise: A list of requested, available, and outstanding supporting records.

test of control TEST OF CONTROL

perform a test of control

Keep the meaning precise: A procedure assessing relevant control design or operation.

C Phrases that move the work forward

Restate the request

The examiner requested R9 evidence for five specified March dates.

Identify the policy

Policy version 2 is available.

Separate design and operation

The policy describes requirements; it does not prove each execution.

State retrieved records

We have the records for 10 and 24 March.

Name the missing dates

Records for 3, 17, and 31 March are not yet located.

Quantify only what is measured

Retrieval coverage is two of five requested records.

Avoid a performance score

That is not a control-effectiveness percentage.

Preserve uncertainty

Missing retrieved evidence does not by itself prove performance or failure.

Map the package

Link each requested date to its actual evidence.

Contact the custodian

Yusuf will help locate the outstanding records.

Protect historical accuracy

Do not create a later sign-off as though it were original.

Label later explanations

Identify any retrospective account by author, date, and basis.

State the next contact

Retrieval status will be updated Wednesday at 13:00.

Limit the commitment

That is an update time, not a guarantee all records will be found.

Keep the conclusion separate

The examiner's assessment is not ours to invent.

Close the response

Submit the available evidence with an accurate inventory of outstanding items.

Precision in real exchanges

Purpose: State retrieved records
Useful wording: We have the records for 10 and 24 March.

Purpose: Name the missing dates
Useful wording: Records for 3, 17, and 31 March are not yet located.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which package description is accurate?

A. Five original sign-offs reconstructed today
B. Policy version 2 plus records for 10 and 24 March; three requested dates outstanding
C. Complete evidence for every March day
D. Proof of failure on three dates

2. What is the retrieval coverage?

A. 40% of the five requested dated records
B. 40% control effectiveness for all March
C. 60% completed examiner approval
D. 100% because the policy is available

3. A colleague needs the term for this meaning: The planned structure and requirements of a control. Which term fits?

A. dated evidence
B. evidence mapping
C. control design
D. record custodian

D Choose the response that fits / continued

4. Rebuild the exchange from "A policy describes the control but does not prove it operated". Liv: "That gives two out of five, or forty percent retrieval coverage. I should not call it a forty-percent effectiveness result." Yusuf: [missing response] Liv: "Do the missing records prove the control was not performed on those dates? I want to avoid minimizing the gap." Which response belongs in the gap?

A. Correct. The retrieval status update will name any remaining gaps. If we cannot locate a record, we must say so clearly and follow the authorized response process rather than manufacture completeness.

B. Correct. Operating effectiveness is a different assessment. Record availability for this request does not establish the control's success rate, and the five selected dates do not automatically represent every day in March.

C. They establish an evidence gap, not the full explanation. We must investigate and report it honestly. Do not assume performance, but do not claim failure solely because the record has not yet been located.

D. I will coordinate with the record custodian. We need the actual retention and storage context, not a guess. Any retrieval route must preserve the records and follow the applicable access requirements.

Answers and explanations, page 160

> **One useful distinction**
>
> Two retrieved records out of five requested dates is 40% retrieval coverage for that request. It is not a 40% control-effectiveness score, and it does not establish a conclusion about every day in March.

E Conversation

A policy describes the control but does not prove it operated

A policy describes the control but does not prove it operated

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

record custodian / contemporaneous record / evidence gap / evidence mapping / examiner conclusion / Operating effectiveness / retrieval status / retrospective explanation / control design / evidence inventory

01 **Liv:** The examiner wants R9 records for March third, tenth, seventeenth, twenty-fourth, and thirty-first. I have policy version 2 ready.

02 **Yusuf:** The policy describes [1] _____, but the request also needs operating evidence. We must distinguish the intended procedure from records showing what actually happened on each requested date.

03 **Liv:** I found records for the tenth and twenty-fourth. The other three are not yet located.

04 **Yusuf:** Put that in the [2] _____. We have two requested dated records, not five. Keep the available records and missing dates visible rather than describing the package as complete because a policy document is attached.

05 **Liv:** That gives two out of five, or forty percent retrieval coverage. I should not call it a forty-percent effectiveness result.

06 **Yusuf:** Correct. [3] _____ is a different assessment. Record availability for this request does not establish the control's success rate, and the five selected dates do not automatically represent every day in March.

E Conversation / continued

07 **Liv:** Do the missing records prove the control was not performed on those dates? I want to avoid minimizing the gap.

08 **Yusuf:** They establish an [4] _____, not the full explanation. We must investigate and report it honestly. Do not assume performance, but do not claim failure solely because the record has not yet been located.

09 **Liv:** I will map each requested date to the available file or outstanding status. That should help the examiner see what the response actually contains.

10 **Yusuf:** Use [5] _____ with the relevant references. Check that each file belongs to the requested control and date. A similarly named record from another period is not a substitute merely because it is available.

Conversation continues on the next page.

A policy describes the control but does not prove it operated

CONVERSATION / CONTINUED

11 **Liv:** Who can help find the outstanding files? I have checked the shared folder but have not established whether another authorized repository holds them.

12 **Yusuf:** I will coordinate with the [6] _____. We need the actual retention and storage context, not a guess. Any retrieval route must preserve the records and follow the applicable access requirements.

13 **Liv:** Someone offered backdated sign-offs. That would make today's entries look like original March evidence.

14 **Yusuf:** Do not present a new entry as a [7] _____. A later sign-off cannot be passed off as an original March record. We need accurate creation dates, authorship, and the actual basis of any later account.

15 **Liv:** A reviewer might remember performing the check. Could a clearly dated explanation help, even though it is not the original execution record?

16 **Yusuf:** A [8] _____ can be evaluated for what it is. Identify its author, date, and supporting basis. Do not imply it has the same origin as the missing historical document or automatically resolves the request.

17 **Liv:** At Wednesday's update, I will name any dates still outstanding. I cannot promise the search will recover every record.

18 **Yusuf:** Correct. The [9] _____ update will name any remaining gaps. If we cannot locate a record, we must say so clearly and follow the authorized response process rather than manufacture completeness.

A policy describes the control but does not prove it operated / continued

19 **Liv:** The package will include the policy, two dated records, a mapped list of the three outstanding dates, and any properly labeled later explanation.

20 **Yusuf:** Good. Keep the [10] _____ separate from our submission status. Providing a transparent package supports the review, but it does not mean the examiner has accepted the evidence or concluded that the control operated effectively.

CHECK THE GAPS

1. control design / **2.** evidence inventory / **3.** Operating effectiveness / **4.** evidence gap / **5.** evidence mapping / **6.** record custodian / **7.** contemporaneous record / **8.** retrospective explanation / **9.** retrieval status / **10.** examiner conclusion

Why these answers fit, page 161

F Check accuracy and scope

A policy describes the control but does not prove it operated

Return to the case

An examiner requests evidence that control R9 operated during March, including records for 3, 10, 17, 24, and 31 March. Coordinator Liv has policy version 2 ready. She has also retrieved completed records for 10 and 24 March; records for the other three requested dates have not yet been located. The absence of retrieved records does not by itself establish whether the control failed or operated. Control owner Yusuf will help locate the evidence and report retrieval status Wednesday at 13:00. Liv must distinguish policy design from operating evidence and must not recreate historical sign-offs as if they were original.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. Which action would misrepresent the evidence?

A. Identify the three unlocated dates.
B. Create today's sign-off and present it as an original March record.
C. Label a later explanation with its actual date.
D. Preserve the available records.

2. What should Yusuf report Wednesday if records remain missing?

A. The actual retrieval status and outstanding dates
B. That all controls passed because the appointment occurred
C. A guessed examiner conclusion
D. An invented historical signature

Answers and explanations, page 163

Listen for the distinction

Swap roles for turns 11-20; distinguish an original record from a later explanation.

A transparent evidence gap is better than a misleading package

Teams may feel pressure to answer an examination request with whatever looks complete. Map the request to the exact dates and evidence types. A clear account of what is available and missing helps the reviewer understand the actual record without a fabricated claim of completeness.

F Say it / transfer to a new case

Map another evidence request

An examiner requests four April records. Three are retrieved; one remains unlocated. The current policy is available. A retrieval update is due Friday.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

Friday / 75% / four / three

01 **Coordinator:** The number of requested dated records is [1] _____.

02 **Owner:** The number retrieved is [2] _____.

03 **Coordinator:** Retrieval coverage is [3] _____.

04 **Owner:** The next retrieval update is due [4] _____.

CHECK THE GAPS

1. four / **2.** three / **3.** 75% / **4.** Friday

Why these answers fit, page 163

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "A policy describes the control but does not prove it operated". Liv: "Someone offered backdated sign-offs. That would make today's entries look like original March evidence." Yusuf: [missing response] Liv: "A reviewer might remember performing the check. Could a clearly dated explanation help, even though it is not the original execution record?" Which response belongs in the gap?

A. Good. Keep the examiner conclusion separate from our submission status. Providing a transparent package supports the review, but it does not mean the examiner has accepted the evidence or concluded that the control operated effectively.

B. Do not present a new entry as a contemporaneous record. A later sign-off cannot be passed off as an original March record. We need accurate creation dates, authorship, and the actual basis of any later account.

C. A retrospective explanation can be evaluated for what it is. Identify its author, date, and supporting basis. Do not imply it has the same origin as the missing historical document or automatically resolves the request.

D. Put that in the evidence inventory. We have two requested dated records, not five. Keep the available records and missing dates visible rather than describing the package as complete because a policy document is attached.

Answers and explanations, page 164

A Read the situation

LESSON 08 / CUSTOMER COMPLAINTS AND FAIR TREATMENT

Investigate a historical fee question using the applicable period, product, transaction, and waiver conditions.

> **The current fee schedule may not explain a past charge**
>
> Customer Priya asks about a $15 maintenance charge for the June statement cycle. Representative Daniel has a current fee schedule effective 1 August showing a $10 maintenance fee for a particular account product. He has not checked which product Priya held in June, the terms effective for that cycle, or whether any waiver condition applied. He cannot yet establish whether the $15 charge was correct or whether a refund is due. Daniel will obtain the relevant account and historical fee records and update Priya Tuesday at 15:00. The current schedule must not be applied retroactively merely because it is the first document available.

People: Priya, Customer; Daniel, Customer-service representative.

Read the record

Choose one answer per question using the facts above.

1. What charge is disputed?

A. A $150 transfer fee
B. An already approved refund
C. A $15 maintenance charge for the June cycle
D. A confirmed $10 August charge

2. What is the effective date of Daniel's available schedule?

A. 1 August
B. 1 June
C. Every prior year automatically
D. No date is supplied

3. What remains unchecked?

A. June product, applicable historical terms, and waiver eligibility
B. Only the arithmetic difference between $15 and $10
C. Only the amount printed on the August schedule
D. Only whether June precedes August

Answers and explanations, page 165

B Vocabulary in use

CORE TERMS

maintenance fee
A recurring account charge under the applicable terms.

review a maintenance fee

fee schedule
A document listing charges and their conditions.

check the fee schedule

effective date
The date from which specified terms apply.

confirm the effective date

statement cycle
The period covered by a periodic account statement.

identify the statement cycle

account product
The specific type or version of account held by a customer.

verify the account product

historical terms
The terms applicable during a past relevant period.

retrieve historical terms

waiver condition
A requirement that, if met under the terms, removes or reduces a charge.

assess a waiver condition

minimum balance
A required balance threshold under a specified measure and period.

check the minimum-balance condition

average daily balance
A balance measure averaging daily balances over a defined period.

calculate average daily balance

qualifying deposit
A deposit meeting the specified conditions for a benefit or waiver.

identify a qualifying deposit

billing period
The interval to which charges are attributed.

confirm the billing period

posting entry
A recorded account transaction or charge.

trace the posting entry

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

maintenance fee MAINTENANCE FEE

review a maintenance fee

Keep the meaning precise: A recurring account charge under the applicable terms.

historical terms HISTORICAL TERMS

retrieve historical terms

Keep the meaning precise: The terms applicable during a past relevant period.

B Precision and professional shorthand

EXTEND YOUR RANGE

account conversion

A change from one account product or arrangement to another.

review an account conversion

change notice

Communication of altered terms under the applicable process.

retrieve the change notice

fee assessment

The application of a charge under specified rules and facts.

examine the fee assessment

eligibility

Whether conditions for a particular term or benefit are met.

verify waiver eligibility

retroactive application

Applying terms to a period before their stated applicability.

question retroactive application

historical schedule

The charge schedule applicable to a past period.

obtain the historical schedule

service record

Documentation of customer contacts and actions.

update the service record

complaint reference

An identifier linking a complaint to its handling record.

provide a complaint reference

refund decision

A determination about returning a charged amount.

explain the refund decision

account credit

An entry increasing or offsetting the customer's account balance as applicable.

verify an account credit

case resolution

The supported outcome and completion status of a customer case.

document case resolution

further review

Additional examination through the applicable process.

explain further-review options

Say it in context

Stress the highlighted expression. Keep the surrounding words connected; pause at the end of the phrase.

posting entry POSTING ENTRY

trace the posting entry

Keep the meaning precise: A recorded account transaction or charge.

retroactive application RETROACTIVE APPLICATION

question retroactive application

Keep the meaning precise: Applying terms to a period before their stated applicability.

C Phrases that move the work forward

Restate the charge

You are asking about the $15 maintenance charge for June.

Limit its use

That schedule does not automatically explain the June charge.

Find the applicable terms

We will retrieve the fee schedule effective for June.

Avoid a premature defense

I have not established that the charge was correct.

Separate balance measures

The relevant balance measure depends on the actual terms.

Check disclosure

Retrieve the relevant change notice if the terms changed.

Give the next contact

I will update you Tuesday at 15:00.

Keep the complaint open

The fee question remains unresolved.

Name the available document

I have a schedule effective from 1 August.

Check the product

I need to confirm the account product held during that cycle.

Review the waiver

We also need to check whether a waiver condition applied.

Avoid a premature refund

The $5 difference does not by itself establish a refund.

Preserve the history

An account conversion may affect which product terms apply.

Make the next step concrete

I will obtain the historical account and fee records.

Limit the appointment

That is a review update, not a guaranteed credit date.

Close with accountability

The response will explain the applicable period, product, and basis for the outcome.

Precision in real exchanges

Purpose: Check the product
Useful wording: I need to confirm the account product held during that cycle.

Purpose: Find the applicable terms
Useful wording: We will retrieve the fee schedule effective for June.

D Choose the response that fits

Choose one response for each situation. Preserve the facts, the decision boundary, and the purpose of the exchange.

1. Which first reply is accurate?

A. Today's $10 schedule proves you are owed $5.

B. Every $15 fee is automatically correct.

C. The complaint is invalid because the schedule changed.

D. I will check the June product, historical terms, and waiver conditions before deciding the charge.

2. Why does the 1 August date matter?

A. It guarantees every June fee was waived.

B. It proves Priya held the same product in June.

C. It is irrelevant to every fee question.

D. It limits the current schedule's applicability and does not automatically establish June terms.

3. A colleague needs the term for this meaning: The period covered by a periodic account statement. Which term fits?

A. fee assessment

B. statement cycle

C. average daily balance

D. refund decision

D Choose the response that fits / continued

4. Rebuild the exchange from "The current fee schedule may not explain a past charge". Priya: "The five-dollar difference does not automatically establish a refund. We need the relevant records." Daniel: [missing response] Priya: "I expected the balance waiver. My month-end balance was positive, but which balance measure actually applies?" Which response belongs in the gap?

A. I will update the service record and contact you Tuesday at fifteen hundred. If something remains missing, I will identify it. That is an update appointment, not a guaranteed account-credit date.

B. Agreed. The case resolution will need that basis, along with applicable further-review information. For now, the fee question remains open; we have not established whether the charge stands or should be corrected.

C. Correct. A refund decision must follow the actual review. I will not promise a credit merely because two figures differ, and I will not defend the charge without checking its basis.

D. I will check the qualifying deposit definition if that condition is relevant. The review should connect the actual transaction details to the terms, not infer eligibility or ineligibility from a broad description alone.

Answers and explanations, page 165

One useful distinction

The current $10 schedule does not prove the June charge should have been $10. Its effective date is 1 August, and its product coverage still needs checking. A $5 difference alone does not establish a refund.

E Conversation

The current fee schedule may not explain a past charge

The current fee schedule may not explain a past charge

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

case resolution / account conversion / Average daily balance / service record / historical terms / refund decision / account product / statement cycle / qualifying deposit / waiver condition

01 **Priya:** My June statement has a fifteen-dollar maintenance charge. Your current schedule shows ten dollars. Why was I charged more?

02 **Daniel:** I need to check the [1] _____. The schedule I have is effective from August first. It cannot by itself explain June's charge, and I should not assume either that the fee was correct or that it was wrong.

03 **Priya:** I also changed accounts earlier in the year. Could the specific product I held in June affect which fee applied?

04 **Daniel:** Yes. We must confirm the [2] _____ for that cycle. The current schedule covers a particular product. I have not established that it matches the account and terms you held when the June fee was assessed.

05 **Priya:** The five-dollar difference does not automatically establish a refund. We need the relevant records.

06 **Daniel:** Correct. A [3] _____ must follow the actual review. I will not promise a credit merely because two figures differ, and I will not defend the charge without checking its basis.

E Conversation / continued

07 **Priya:** I expected the balance waiver. My month-end balance was positive, but which balance measure actually applies?

08 **Daniel:** We need the actual [4] _____. It may use a specific balance measure or another criterion. A positive balance on one day is not automatically evidence that the relevant condition was met throughout its required basis.

09 **Priya:** If the terms use an average daily balance, that would be different from the balance on the last day of the statement period.

10 **Daniel:** Exactly. [5] _____ and a closing balance are different measures. We must use the measure required by the applicable June terms rather than choose whichever figure is easiest to locate or seems most favorable.

Conversation continues on the next page.

The current fee schedule may not explain a past charge

CONVERSATION / CONTINUED

11 **Priya:** I also received a deposit that month. Please check whether it counted for the waiver instead of assuming every deposit qualifies.

12 **Daniel:** I will check the [6] _____ definition if that condition is relevant. The review should connect the actual transaction details to the terms, not infer eligibility or ineligibility from a broad description alone.

13 **Priya:** Please check the account-change date and fee notice together. I need to know which terms applied during June.

14 **Daniel:** Yes. We will trace any relevant [7] _____ and change notice. That history may help establish the correct product and effective period. We should not apply today's information backward simply because it is the first document available.

15 **Priya:** Please keep the actual complaint tied to the June cycle. I am not asking you to decide whether August's fee is correct.

16 **Daniel:** I will record the [8] _____ and fifteen-dollar posting explicitly. The current ten-dollar schedule is a comparison document, not a substitute for the historical account, fee, and waiver evidence needed to answer your question.

17 **Priya:** When will you update me, even if older records take longer to retrieve?

18 **Daniel:** I will update the [9] _____ and contact you Tuesday at fifteen hundred. If something remains missing, I will identify it. That is an update appointment, not a guaranteed account-credit date.

19 **Priya:** That gives me a clear next step. Please explain the eventual result using the correct product, period, and waiver rules.

20 **Daniel:** Agreed. The [10] _____ will need that basis, along with applicable further-review information. For now, the fee question remains open; we have not established whether the charge stands or should be corrected.

CHECK THE GAPS

1. historical terms / **2.** account product / **3.** refund decision / **4.** waiver condition / **5.** Average daily balance / **6.** qualifying deposit / **7.** account conversion / **8.** statement cycle / **9.** service record / **10.** case resolution

Why these answers fit, page 166

F Check accuracy and scope

The current fee schedule may not explain a past charge

Return to the case

Customer Priya asks about a $15 maintenance charge for the June statement cycle. Representative Daniel has a current fee schedule effective 1 August showing a $10 maintenance fee for a particular account product. He has not checked which product Priya held in June, the terms effective for that cycle, or whether any waiver condition applied. He cannot yet establish whether the $15 charge was correct or whether a refund is due. Daniel will obtain the relevant account and historical fee records and update Priya Tuesday at 15:00. The current schedule must not be applied retroactively merely because it is the first document available.

Choose one answer per question. Use the case facts and keep any uncertainty or limits intact.

1. Which waiver assumption is unsupported?

A. The account product needs confirmation.
B. Different balance measures can produce different results.
C. Any deposit automatically satisfies every qualifying-deposit condition.
D. The applicable waiver wording needs review.

2. What should Tuesday's update do if the review remains incomplete?

A. Identify the actual outstanding records and review status.
B. Invent a refund approval to meet the appointment.
C. Apply the current schedule retroactively without review.
D. Close the complaint because one response was sent.

Answers and explanations, page 168

Listen for the distinction

Swap roles for turns 11-20; separate a qualifying deposit from any deposit.

Take the question seriously before defending the charge

A representative may reach for the current schedule because it is convenient. Restate the actual charge and period, then check the terms that applied. Acknowledge uncertainty without dismissing the complaint or promising a refund before the relevant records are examined.

F Say it / transfer to a new case

Check the relevant fee period

A customer questions a $12 fee for April. The available schedule is effective from 1 July and shows $8. The April product and waiver conditions are unchecked. The next review update is Wednesday.

Complete the four gaps. With a partner, read alternate roles, then switch. Studying alone, read both roles and pause before each response.

WORD AND PHRASE BANK

8 / 1 July / 12 / Wednesday

01 **Representative:** The disputed April charge is [1] _____ dollars.

02 **Customer:** The available schedule takes effect on [2] _____.

03 **Representative:** That schedule shows [3] _____ dollars.

04 **Customer:** The next review update is [4] _____.

CHECK THE GAPS

1. 12 / **2.** 1 July / **3.** 8 / **4.** Wednesday

Why these answers fit, page 168

F Say it / transfer to a new case / continued

Rebuild the exchange

Choose the missing response. Read the completed three-turn exchange aloud, changing roles on the second reading.

1. Rebuild the exchange from "The current fee schedule may not explain a past charge". Priya: "Please check the account-change date and fee notice together. I need to know which terms applied during June." Daniel: [missing response] Priya: "Please keep the actual complaint tied to the June cycle. I am not asking you to decide whether August's fee is correct." Which response belongs in the gap?

A. Yes. We will trace any relevant account conversion and change notice. That history may help establish the correct product and effective period. We should not apply today's information backward simply because it is the first document available.

B. Yes. We must confirm the account product for that cycle. The current schedule covers a particular product. I have not established that it matches the account and terms you held when the June fee was assessed.

C. I need to check the historical terms. The schedule I have is effective from August first. It cannot by itself explain June's charge, and I should not assume either that the fee was correct or that it was wrong.

D. We need the actual waiver condition. It may use a specific balance measure or another criterion. A positive balance on one day is not automatically evidence that the relevant condition was met throughout its required basis.

Answers and explanations, page 169

Review 4 / Meaning and context

Use language from the lessons you have completed. Choose one answer per question.

> **Case file**
>
> Revisit "Audit and Regulatory Exams" and "Customer Complaints and Fair Treatment". Choose precise terminology, then reconstruct the missing responses using both neighboring turns. The final two questions also revisit earlier conversations.

1. A colleague needs the term for this meaning: The identifier linking a request to the response and evidence. Which term fits?

A. retrieval status

B. review period

C. request reference

D. retrospective explanation

2. A colleague needs the term for this meaning: A required balance threshold under a specified measure and period. Which term fits?

A. service record

B. account conversion

C. minimum balance

D. maintenance fee

3. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "The proposed adjustment would make the report balance, but I cannot find a transaction or approval supporting the twelve-hundred-fifty-dollar entry." Omar: [missing response] Tess: "Nor can we write it off just because it is smaller than the full account balance. The amount alone does not provide approval." Which response belongs in the gap?

A. Then do not call it a confirmed timing difference. It is a possibility to investigate. A plausible explanation can guide the next check without becoming the stated cause before the evidence supports it.

B. Good. Preserve segregation of duties as the work proceeds. Independent review and any authorized accounting decision must follow the applicable roles. A cleaner-looking balance is not a substitute for an explained and properly approved outcome.

C. Assign the resolution owner through the local process and record the next review step. Ownership, evidence gathering, and resolution are separate facts; an assigned name should not be mistaken for a closed issue.

D. Do not create a journal entry simply to force agreement. Any actual adjustment needs its proper evidence and authority. Otherwise, the apparent match would conceal an unexplained item rather than provide a valid reconciliation.

Review 4 / Meaning and context / continued

4. Rebuild the exchange from "The current fee schedule may not explain a past charge". Priya: "When will you update me, even if older records take longer to retrieve?" Daniel: [missing response] Priya: "That gives me a clear next step. Please explain the eventual result using the correct product, period, and waiver rules." Which response belongs in the gap?

A. Correct. A refund decision must follow the actual review. I will not promise a credit merely because two figures differ, and I will not defend the charge without checking its basis.

B. I will update the service record and contact you Tuesday at fifteen hundred. If something remains missing, I will identify it. That is an update appointment, not a guaranteed account-credit date.

C. I will check the qualifying deposit definition if that condition is relevant. The review should connect the actual transaction details to the terms, not infer eligibility or ineligibility from a broad description alone.

D. Agreed. The case resolution will need that basis, along with applicable further-review information. For now, the fee question remains open; we have not established whether the charge stands or should be corrected.

Answers and explanations, page 179

Language for the next case

One purchase, two transaction stages

posted balance

The posted balance includes completed account entries: $1,000 less the $120 posted purchase equals $880 before the second purchase posts.

Imran: Start with the posted balance. Before the eighty-dollar purchase posts, it is eight hundred eighty dollars, after the separate one-hundred-twenty-dollar debit.

authorization hold

The authorization hold reduces availability by $80 without yet being a posted debit in the first snapshot; it is not an additional completed purchase.

Imran: It is the authorization hold. It reduces availability, but it has not yet become a posted debit in that first snapshot.

available balance

The available balance remains $800 when the $80 purchase posts and its matching hold is fully released together, with no other items.

Imran: Correct. In the next snapshot, the purchase posts and the matching hold is released. The available balance remains eight hundred under these supplied facts.

transaction reference

The transaction reference and matching records link the authorization to its corresponding posted purchase; appearance of two history lines alone does not establish two debits.

Imran: Use the transaction reference and matching records. A history entry and a posted charge can describe stages of the same purchase.

duplicate debit

A duplicate debit would be an unintended second posted deduction; this case supplies one matched purchase and a released hold, not two posted deductions.

Imran: That is the supported conclusion. A duplicate debit would need a different record pattern and appropriate review, not dismissal based on a familiar amount.

hold release

Hold release removes the reserved authorization amount from the availability calculation; its timing and amount must come from the actual records, not this example's sequence.

Imran: Right. The hold release is recorded in the account history. That doesn't promise when a different hold will clear. Include the snapshot time when you explain the balance.

Read the phrases aloud. Then complete the conversation on the following pages using the word bank.

Conversation

One purchase, two transaction stages

Fictional snapshot: opening posted balance $1,000; a $120 purchase has posted; a separate $80 authorization reduces availability. No other items. In the next snapshot, the matching $80 purchase posts and its hold is fully released at the same time. This sequence does not prescribe real processing times.

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

posted balance / transaction reference / available balance / duplicate debit / hold release / authorization hold

01 **Rosa:** The customer sees an eighty-dollar card item and thinks it has been charged twice. I have the two account snapshots, but their labels are different.

02 **Imran:** Start with the [1] _____. Before the eighty-dollar purchase posts, it is eight hundred eighty dollars, after the separate one-hundred-twenty-dollar debit.

03 **Rosa:** The first snapshot shows eight hundred available. That is eighty less than the posted amount. Where is the difference recorded?

04 **Imran:** It is the [2] _____. It reduces availability, but it has not yet become a posted debit in that first snapshot.

05 **Rosa:** So the first calculation is one thousand minus one hundred twenty for posted funds, then minus eighty for availability. That gives eight hundred.

06 **Imran:** Correct. In the next snapshot, the purchase posts and the matching hold is released. The [3] _____ remains eight hundred under these supplied facts.

Conversation / continued

07 **Rosa:** I had subtracted the posted eighty and then the held eighty again, giving seven hundred twenty. That counts the same purchase twice.

08 **Imran:** Exactly. The hold no longer exists in that second snapshot. The posted balance is now eight hundred, and there is no remaining hold to subtract.

09 **Rosa:** The activity screen may retain a history line for the old authorization. I need to check its status rather than count every visible line as a debit.

10 **Imran:** Use the [4] _____ and matching records. A history entry and a posted charge can describe stages of the same purchase.

Conversation continues on the next page.

One purchase, two transaction stages

CONVERSATION / CONTINUED

11 **Rosa:** Can I tell the customer that any two matching amounts are always one transaction? They might have made two separate eighty-dollar purchases.

12 **Imran:** No. Matching amounts alone are insufficient. Confirm the actual linkage and whether both entries posted before explaining a possible duplicate.

13 **Rosa:** For this case, the linkage and full hold release are supplied. No duplicate posted debit is shown in the second snapshot.

14 **Imran:** That is the supported conclusion. A [5] _____ would need a different record pattern and appropriate review, not dismissal based on a familiar amount.

15 **Rosa:** What if the final purchase amount differs from the authorization, as it sometimes does when the merchant finalizes the bill?

16 **Imran:** Then reconcile the actual posted amount and remaining hold status. The unchanged eight-hundred availability here depends on the amounts matching and release occurring together.

17 **Rosa:** I will not promise the same release time on another account. The customer's actual record and the bank's applicable process would need checking.

18 **Imran:** Right. The [6] _____ is recorded in the account history. That doesn't promise when a different hold will clear. Include the snapshot time when you explain the balance.

19 **Rosa:** My explanation will say: eight hundred eighty posted and eight hundred available first; then eight hundred posted and available after the matching purchase completes.

20 **Imran:** Good. Show the two stages side by side, identify the released hold, and leave any genuinely unmatched or unrecognized transaction to its proper review process.

CHECK THE GAPS

1. posted balance / **2.** authorization hold / **3.** available balance / **4.** transaction reference / **5.** duplicate debit / **6.** hold release

Why these answers fit, page 182

Do not deduct a released hold again

Opening posted balance $600. A $50 debit posts; a separate $70 hold reduces availability. In the next snapshot, that matching $70 purchase posts and the hold fully releases. No other items.

Complete the exchange using each phrase once. Read both roles, then switch roles and repeat with the bank covered.

WORD AND PHRASE BANK

550 / 480 / released / double-count

01 **Officer:** Before the second purchase posts, the posted balance is [1] _____ dollars.

02 **Analyst:** At that stage, the available balance is [2] _____ dollars.

03 **Officer:** When the matching purchase posts, its hold is [3] _____.

04 **Analyst:** Subtracting that released hold again would [4] _____ the purchase.

CHECK THE GAPS

1. 550 / **2.** 480 / **3.** released / **4.** double-count

Why these answers fit, page 182

Keep the distinction audible

Reconcile posted and available balances while distinguishing a hold from a second debit.

Language for the next case

Quote the currency direction explicitly

quote direction

The quote is 1.10 US dollars for each euro, so the EUR 10,000 send amount is multiplied by 1.10 to obtain USD 11,000.

Lewis: The quote direction is one dollar ten per euro. Ten thousand euros therefore requires eleven thousand US dollars before the separate sender fee.

conversion amount

The conversion amount is USD 11,000 for the EUR 10,000 send amount; the separate USD 25 sender fee is added afterward.

Lewis: I will. The conversion amount is eleven thousand dollars. Adding the twenty-five-dollar sender fee gives a total account debit of eleven thousand twenty-five.

sender fee

The sender fee is USD 25 added to the sender's debit in this case, not deducted again from the EUR 10,000 instructed amount.

Lewis: Correct. It is the separately charged sender fee. A different euro charge is deducted along the route under this illustrative quote.

intermediary charge

The known EUR 15 intermediary charge is deducted from the EUR 10,000 sent, leaving EUR 9,985 under the stated no-other-deductions assumption.

Lewis: Exactly. The intermediary charge leaves nine thousand nine hundred eighty-five euros for the beneficiary in this example.

quote validity

Quote validity ends at 14:10 local in the supplied terms; discussing or calculating the quote does not extend its availability.

Lewis: Correct. Check the quote validity before proceeding. I would obtain a current quote rather than reuse the old rate as though it were still available.

payment authorization

Payment authorization is the approved instruction to proceed under the bank's process; reviewing the quote and its arithmetic does not supply it.

Lewis: Yes. Actual payment authorization remains separate. We also need the verified payment details and applicable checks before processing any instruction.

Read the phrases aloud. Then complete the conversation on the following pages using the word bank.

Conversation

Quote the currency direction explicitly

Fictional business wire quote: send EUR 10,000; quoted rate USD 1.10 per EUR; separate sender fee USD 25. The quote expires at 14:10 local. For the supplied illustration only, a known EUR 15 intermediary charge is deducted from the sent amount. No other deductions or conversion; no transfer is authorized.

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

conversion amount / quote validity / intermediary charge / sender fee / payment authorization / quote direction

01 **Mina:** I need the supplier to receive ten thousand euros. Your quote says one point one zero, but I am unsure which currency that number multiplies.

02 **Lewis:** The [1] _____ is one dollar ten per euro. Ten thousand euros therefore requires eleven thousand US dollars before the separate sender fee.

03 **Mina:** So I multiply the euros by one point one, not divide them. Please keep the currency names beside the rate on the confirmation.

04 **Lewis:** I will. The [2] _____ is eleven thousand dollars. Adding the twenty-five-dollar sender fee gives a total account debit of eleven thousand twenty-five.

05 **Mina:** That twenty-five is in dollars, not euros. It should not be subtracted from the supplier's euro amount as well.

06 **Lewis:** Correct. It is the separately charged [3] _____. A different euro charge is deducted along the route under this illustrative quote.

Conversation / continued

07 **Mina:** You have listed fifteen euros as an intermediary charge. That means sending ten thousand does not result in ten thousand arriving under these assumptions.

08 **Lewis:** Exactly. The [4] _____ leaves nine thousand nine hundred eighty-five euros for the beneficiary in this example.

09 **Mina:** Then this quote does not meet the supplier's exact-receipt requirement. I should not approve it just because the send amount matches the invoice.

10 **Lewis:** Agreed. We need an available arrangement and explicit terms that address the required receipt amount. Do not assume a charge instruction alone guarantees the net receipt.

Conversation continues on the next page.

Quote the currency direction explicitly

CONVERSATION / CONTINUED

11 **Mina:** Could you simply increase the send amount by fifteen euros? I would want the revised fees and total before deciding.

12 **Lewis:** We would need a revised quote and confirmed charging basis. The supplied numbers explain this quote; they do not establish that every revised instruction has identical deductions.

13 **Mina:** The current quote expires at fourteen ten local. If I call back after that, the same rate is not assured.

14 **Lewis:** Correct. Check the [5] _____ before proceeding. I would obtain a current quote rather than reuse the old rate as though it were still available.

15 **Mina:** And this conversation has not instructed you to release the money. We have only reconciled what the proposal would debit and deliver.

16 **Lewis:** Yes. Actual [6] _____ remains separate. We also need the verified payment details and applicable checks before processing any instruction.

17 **Mina:** Please read back the three amounts together: euros sent, dollars debited, and euros received under the supplied deduction.

18 **Lewis:** Ten thousand euros sent; eleven thousand twenty-five dollars debited including our separate fee; nine thousand nine hundred eighty-five euros received under the stated assumptions.

19 **Mina:** That makes the shortfall clear. Please investigate the exact-receipt options without treating my request for information as permission to send this quote.

20 **Lewis:** I will. The next proposal should make the rate direction, charges, recipient amount, validity, and required authorization clear before you make a decision.

CHECK THE GAPS

1. quote direction / **2.** conversion amount / **3.** sender fee / **4.** intermediary charge / **5.** quote validity / **6.** payment authorization

Why these answers fit, page 184

Keep sender and recipient currencies separate

Fictional quote: send GBP 2,000 at USD 1.25 per GBP, plus a separate USD 20 sender fee. A known GBP 10 charge is deducted en route. No other deduction or conversion. This is a quote, not authorization.

Complete the exchange using each phrase once. Read both roles, then switch roles and repeat with the bank covered.

WORD AND PHRASE BANK

2,520 / 1,990 / 2,500 / authorization

01 **Officer:** The conversion amount is USD [1] _____.

02 **Customer:** Including the sender fee, my debit would be USD [2] _____.

03 **Officer:** The recipient would receive GBP [3] _____ under these assumptions.

04 **Customer:** Reviewing this quote does not provide payment [4] _____.

CHECK THE GAPS

1. 2,500 / **2.** 2,520 / **3.** 1,990 / **4.** authorization

Why these answers fit, page 184

Keep the distinction audible

Read back an exchange quote with currencies, fees, recipient amount, and approval status.

Language for the next case

A mid-period principal change

principal balance

The principal balance was $100,000 for twenty days and $150,000 only for the last ten, so the closing balance cannot be applied to the whole period.

Nabil: But that principal balance was only outstanding for ten days. Split the calculation at the balance change instead of using the closing figure throughout.

accrual intervals

The accrual intervals separate twenty days at $100,000 from ten days at $150,000; summing their interest gives $583.333... before final rounding.

Nabil: Correct. Add the two accrual intervals without overlapping or omitting a day. Together they give five hundred eighty-three dollars and one-third of a dollar.

simple interest

Simple interest here accrues on the stated principal at the fixed annual rate without adding accrued interest to principal for compounding.

Nabil: Right. This is simple interest, with no fees or compounding. Do not label the six percent an all-in annual percentage cost for a different loan.

day-count convention

The Actual/360 convention uses actual elapsed days over a 360-day year denominator; it does not replace every month's actual length with thirty days.

Nabil: Then divide by three hundred sixty under the supplied day-count convention. That interval contributes three hundred thirty-three dollars and one-third of a dollar before rounding.

unrounded interest

Unrounded interest is retained through the interval calculation and summed before rounding, following this exercise's explicit final-rounding rule.

Nabil: Yes. Preserve unrounded interest in the working calculation. Our stipulated rule rounds the total, not each daily amount separately.

value date

The value date establishes when a balance change affects the relevant calculation under the agreement; it must be reconciled rather than inferred from a later screen-posting date.

Nabil: Yes. The value date and transaction record would matter. Here those facts are already reconciled, so we can concentrate on the interval calculation.

Read the phrases aloud. Then complete the conversation on the following pages using the word bank.

Conversation

A mid-period principal change

Fictional loan: fixed 6% annual simple rate, Actual/360 basis. Principal is $100,000 for 20 actual days, then $150,000 for 10 actual days. The intervals do not overlap. No fees or compounding; round only the final sum to cents. All dates and approvals are already reconciled for this calculation.

Complete the numbered gaps. Use each bank entry once; some entries contain several words.

WORD AND PHRASE BANK

simple interest / day-count convention / unrounded interest / principal balance / accrual intervals / value date

01 **Ava:** The draft interest charge is seven hundred fifty dollars. It applies the closing principal of one hundred fifty thousand to all thirty days.

02 **Nabil:** But that [1] _____ was only outstanding for ten days. Split the calculation at the balance change instead of using the closing figure throughout.

03 **Ava:** The first interval has one hundred thousand outstanding for twenty actual days. At six percent, I multiply one hundred thousand by zero point zero six by twenty.

04 **Nabil:** Then divide by three hundred sixty under the supplied [2] _____. That interval contributes three hundred thirty-three dollars and one-third of a dollar before rounding.

05 **Ava:** For the remaining ten days, one hundred fifty thousand times six percent times ten divided by three hundred sixty gives two hundred fifty dollars.

06 **Nabil:** Correct. Add the two [3] _____ without overlapping or omitting a day. Together they give five hundred eighty-three dollars and one-third of a dollar.

Conversation / continued

07 **Ava:** Rounded once at the end, the charge is five hundred eighty-three dollars and thirty-three cents. The draft overstates it by one hundred sixty-six dollars and sixty-seven cents.

08 **Nabil:** Yes. Preserve [4] _____ in the working calculation. Our stipulated rule rounds the total, not each daily amount separately.

09 **Ava:** Actual/360 does not mean the principal changed on day thirty or that every month has thirty days. It specifies the denominator and actual-day numerator.

10 **Nabil:** Exactly. The supplied intervals happen to total thirty actual days. Another period needs its actual day count and the agreement's convention, not an automatic thirty-day assumption.

Conversation continues on the next page.

A mid-period principal change

CONVERSATION / CONTINUED

11 **Ava:** We are using a fixed annual rate here. There is no daily benchmark reset or interest-on-interest calculation hidden in these numbers.

12 **Nabil:** Right. This is [5] _____, with no fees or compounding. Do not label the six percent an all-in annual percentage cost for a different loan.

13 **Ava:** If the source records disagreed about when the extra fifty thousand became effective, we would need to resolve that before using these intervals.

14 **Nabil:** Yes. The [6] _____ and transaction record would matter. Here those facts are already reconciled, so we can concentrate on the interval calculation.

15 **Ava:** Would dividing by three hundred sixty-five produce a different answer even with the same balances, rate, and actual days?

16 **Nabil:** It would. That is why the denominator belongs in the explanation. We must follow the stated agreement basis, not select whichever calculation looks more familiar.

17 **Ava:** I will attach the two principal amounts, twenty and ten days, six-percent annual rate, and the three-hundred-sixty denominator to the correction.

18 **Nabil:** Also show the original draft and corrected total. The review record should explain the changed input treatment rather than merely replace one amount with another.

19 **Ava:** The corrected charge is five hundred eighty-three dollars and thirty-three cents. We changed the principal intervals, not the rate.

20 **Nabil:** Good. Route the corrected calculation through the applicable checking process. Completing the arithmetic does not itself authorize an account posting or amend the loan terms.

CHECK THE GAPS

1. principal balance / **2.** day-count convention / **3.** accrual intervals / **4.** unrounded interest / **5.** simple interest / **6.** value date

Why these answers fit, page 186

Use each principal for its own days

Fictional fixed-rate loan: 4.8% annual simple interest, Actual/360. Principal $50,000 for 15 days, then $80,000 for another 15 days. No overlap, fees, or compounding; round the final sum to cents.

Complete the exchange using each phrase once. Read both roles, then switch roles and repeat with the bank covered.

WORD AND PHRASE BANK

160 / 360 / 100 / 260

01 **Analyst:** Interest for the first interval is [1] _____ dollars.

02 **Reviewer:** Interest for the second interval is [2] _____ dollars.

03 **Analyst:** The combined interest is [3] _____ dollars.

04 **Reviewer:** The annual denominator under these supplied terms is [4] _____.

CHECK THE GAPS

1. 100 / **2.** 160 / **3.** 260 / **4.** 360

Why these answers fit, page 186

Keep the distinction audible

Explain simple loan interest using the stated day-count basis and each actual principal interval.

01 / Answers and explanations

A / Read the situation

A1. What is missing from A62?

A. Requested ownership information

The brief supplies signatory details but leaves the requested ownership information incomplete.

Return to the exercise, page 4

A2. What does the local process require before approval here?

B. Completion of the required review

The stated process makes review completion a prerequisite for this application, without guaranteeing approval afterward.

Return to the exercise, page 4

A3. What does Thursday at 11:00 represent?

B. A review-status update

Zoya promises a status update, not account approval or verification of missing information.

Return to the exercise, page 4

D / Response choices

D1. Which explanation is accurate?

B. We have signatory details, but the requested ownership information is incomplete.

The accurate statement distinguishes the information supplied from the separate ownership gap without inventing universal rules.

Return to the exercise, page 8

D2. What can Zoya promise?

B. A specific missing-information list and a Thursday status update

Zoya can provide the stated communication steps, but the brief gives no authority to guarantee approval or bypass review.

Return to the exercise, page 8

01 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: An organization recognized as a distinct person under applicable law. Which term fits?

D. legal entity

A Not here. verification status: The current stage of checking relevant information. The usual combination is "report verification status".

B Not here. customer risk profile: The assessed characteristics relevant to the customer's risk context. The usual combination is "maintain the customer risk profile".

C Not here. account mandate: Instructions defining who may operate an account and under what authority. The usual combination is "review the account mandate".

D Correct. legal entity: An organization recognized as a distinct person under applicable law. The usual combination is "identify the legal entity".

Return to the exercise, page 8

D4. Rebuild the exchange from "Explain the missing ownership information without promising approval". Ken: "Could you open the account now? We can promise to send the remaining information later." Zoya: [missing response] Ken: "Please send a specific list. Our records team needs to know which ownership details are missing and which documents you already hold." Which response belongs in the gap?

C. Under this local process, the required customer due diligence review must be complete before this application can be approved. I cannot replace that step with a promise that the information will arrive later.

A Not here. This line belongs to turn 2, after Ken says: "We supplied the people authorized to sign. Why is A62 still pending? We need to start using the business account this week." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 20, after Ken says: "I will use the verified channel, supply the specified ownership records, and keep the distinction between submission and approval clear internally." It addresses that point, not the missing turn in the supplied exchange.

C Correct. This is Zoya's response in turn 6. It connects Ken's preceding point with Ken's follow-up. The stated local process requires this customer review before approval; the conversation cannot bypass it.

D Not here. This line belongs to turn 4, after Ken says: "Our director can sign for the company. Does identifying her also settle the ownership question?" It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 8

E / Conversation

1. ownership structure

Turn 2. Ownership structure identifies ownership interests; permission to sign does not establish those interests.

01 / Answers and explanations / continued

2. authorized signatory

Turn 4. A signatory can act under the mandate without necessarily meeting the applicable ownership definition.

3. customer due diligence

Turn 6. The stated local process requires this customer review before approval; the conversation cannot bypass it.

4. outstanding requirement

Turn 8. The outstanding requirement identifies a specific gap, allowing a focused request instead of unnecessary duplication.

5. risk-based procedure

Turn 10. A risk-based procedure depends on relevant customer circumstances and requirements, not identical rules for every account.

6. verification status

Turn 12. Verification status describes the checks; receiving documents does not establish their verification or approval.

7. exception review

Turn 14. An exception needs authorized review; urgency or a frontline discussion does not approve a departure.

8. nature and purpose

Turn 16. Nature and purpose describes intended account use, distinct from the customer's ownership and signing authority.

9. account application

Turn 18. An account application is a request; a status update does not establish that it is approved.

10. approval authority

Turn 20. Approval authority identifies the permitted decision-maker; completed paperwork does not replace that person's decision.

Return to the conversation, page 10

01 / Answers and explanations / continued

F / Accuracy and scope

F1. Which statement improperly generalizes the case?

D. Every additional account always requires identical new ownership collection.

The case does not establish a universal repeat-collection rule, and current U.S. relief can affect additional-account requirements.

Return to the exercise, page 14

F2. What does a completed information package establish by itself?

D. Information is supplied for review, not automatic approval.

Submission, verification, and approval are distinct stages, so completed paperwork alone does not establish acceptance.

Return to the exercise, page 14

F / Guided speaking

1. B14

Officer: The application reference is B14.

Turn 1. B14 is the specific account-application identifier supplied in this case.

2. ownership chart

Applicant: The missing document is the ownership chart.

Turn 2. The brief identifies the ownership chart as missing while signatory details are already supplied.

3. Hana

Officer: The review coordinator is Hana.

Turn 3. Hana is explicitly responsible for coordinating the stated review.

4. Monday at 10:00

Applicant: The next status update is Monday at 10:00.

Turn 4. Monday at ten is an update appointment, not a guaranteed approval time.

Return to the conversation, page 15

01 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "Explain the missing ownership information without promising approval". Ken: "Uploading does not mean the account is ready. Who can review a possible exception?" Zoya: [missing response] Ken: "The form also asks how we expect to use the account. That is separate from identifying who owns or signs for the company." Which response belongs in the gap?

D. Any exception review must follow the applicable authorized process. I cannot approve a bypass in this conversation. If a relevant question needs escalation, I will route it rather than invent an exception.

A Not here. This line belongs to turn 4, after Ken says: "Our director can sign for the company. Does identifying her also settle the ownership question?" It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 12, after Ken says: "The upload screen says complete. Does that mean submitted, verified, or approved? Those would mean different things to my team." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 6, after Ken says: "Could you open the account now? We can promise to send the remaining information later." It addresses that point, not the missing turn in the supplied exchange.

D Correct. This is Zoya's response in turn 14. It connects Ken's preceding point with Ken's follow-up. An exception needs authorized review; urgency or a frontline discussion does not approve a departure.

Return to the exercise, page 15

02 / Answers and explanations

A / Read the situation

A1. What does T82 identify?

B. Activity differing from the recorded customer profile

The alert identifies a difference requiring review, while its explanation remains unestablished.

Return to the exercise, page 17

A2. What is wrong with the draft note?

C. It states wrongdoing as established without the supporting finding.

The supplied facts do not establish money laundering, so the accusatory conclusion overstates the evidence.

Return to the exercise, page 17

A3. What reporting decision is supplied?

A. None

The case deliberately provides no reporting decision, and the analyst must not invent one.

Return to the exercise, page 17

D / Response choices

D1. Which internal note fits the case?

A. T82 identifies transfers differing from the profile; business purpose unestablished; referred for authorized review.

The appropriate note describes the observed difference, missing context, and review action without inventing a finding or report.

Return to the exercise, page 21

D2. What should the reviewer not use as proof?

C. The customer's accent or nationality

Accent or nationality is not evidence that the observed transactions constitute wrongdoing.

Return to the exercise, page 21

02 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: A signal identifying activity for further review. Which term fits?

A. monitoring alert

A Correct. monitoring alert: A signal identifying activity for further review. The usual combination is "investigate a monitoring alert".

B Not here. suspicious activity: Activity meeting the relevant concern or reporting assessment under applicable requirements. The usual combination is "evaluate suspicious activity".

C Not here. confidentiality restriction: A limit on access or disclosure of protected information. The usual combination is "observe confidentiality restrictions".

D Not here. source attribution: Identification of where information came from. The usual combination is "retain source attribution".

Return to the exercise, page 21

D4. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "If I remove the accusation, how do I make clear that the concern still needs review?" Aisha: [missing response] Sam: "The transaction records and profile are available. Any explanation we receive later should be distinguished from what the system already records." Which response belongs in the gap?

D. Preserve the unusual activity concern without choosing either outcome. Neutral wording can be precise about why review is needed while leaving the explanation open. It does not require us to pretend the difference is irrelevant.

A Not here. This line belongs to turn 18, after Sam says: "I will list the alert, records, profile comparison, sources, and unresolved explanation, without asserting a criminal finding." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 14, after Sam says: "The customer-facing team may still need help with an ordinary service question. We should not put reporting information into a general customer note." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 10, after Sam says: "I will send the factual handoff to the authorized AML reviewer. Does the existence of an alert itself mean a report has been filed?" It addresses that point, not the missing turn in the supplied exchange.

D Correct. This is Aisha's response in turn 6. It connects Sam's preceding point with Sam's follow-up. Unusual activity differs from the relevant pattern and requires evaluation; it is neither automatic wrongdoing nor automatic clearance.

Return to the exercise, page 21

E / Conversation

1. neutral description

Turn 2. A neutral description records the observed difference without converting an unresolved concern into a proven offense.

02 / Answers and explanations / continued

2. business purpose

Turn 4. Business purpose is the relevant explanation for the activity; it remains unestablished rather than necessarily absent or illicit.

3. unusual activity

Turn 6. Unusual activity differs from the relevant pattern and requires evaluation; it is neither automatic wrongdoing nor automatic clearance.

4. source attribution

Turn 8. Source attribution distinguishes records from statements or assumptions, allowing reviewers to assess each item's basis.

5. reporting decision

Turn 10. A reporting decision follows the applicable assessment process; the existence of a monitoring alert does not establish one.

6. confidentiality restriction

Turn 12. The confidentiality restriction protects SAR information, including existence or nonexistence, from unauthorized disclosure.

7. authorized channel

Turn 14. An authorized channel limits information to the permitted review route rather than a broadly visible service note.

8. review rationale

Turn 16. The review rationale explains the evidence-based reason for further assessment without substituting a label for analysis.

9. case escalation

Turn 18. Case escalation routes the concern to the proper review level; it is an action rather than an established adverse finding.

10. alert disposition

Turn 20. Alert disposition records the actual review outcome; it must not be guessed while assessment remains incomplete.

Return to the conversation, page 23

02 / Answers and explanations / continued

F / Accuracy and scope

F1. Which disclosure is inappropriate through an unauthorized channel?

D. Whether a SAR exists for the customer

Information revealing SAR existence or nonexistence is confidential and must not be disclosed through unauthorized channels.

Return to the exercise, page 27

F2. What should the record preserve?

D. Sources, observed facts, uncertainty, and the review rationale

The complete record links evidence to the review question instead of substituting a score, partial summary, or assumption.

Return to the exercise, page 27

F / Guided speaking

1. U19

Analyst: The alert reference is U19.

Turn 1. U19 is the specific monitoring-alert identifier supplied in the case.

2. unconfirmed

Reviewer: The business purpose remains unconfirmed.

Turn 2. The brief does not establish the explanation for the changed activity.

3. Noor

Analyst: The assigned reviewer is Noor.

Turn 3. Noor is explicitly responsible for the authorized review.

4. decision

Reviewer: This alert alone does not establish a reporting decision.

Turn 4. An alert does not establish a reporting decision, and none is supplied here.

Return to the conversation, page 28

02 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "The customer-facing team may still need help with an ordinary service question. We should not put reporting information into a general customer note." Aisha: [missing response] Sam: "The handoff should say why we need another review. I can name the profile difference and the missing business-purpose explanation." Which response belongs in the gap?

A. Keep protected information in the appropriate authorized channel. Customer communication must follow its authorized process without revealing confidential reporting information. Do not use a convenient shared field as a shortcut around access restrictions.

A Correct. This is Aisha's response in turn 14. It connects Sam's preceding point with Sam's follow-up. An authorized channel limits information to the permitted review route rather than a broadly visible service note.

B Not here. This line belongs to turn 8, after Sam says: "The transaction records and profile are available. Any explanation we receive later should be distinguished from what the system already records." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 10, after Sam says: "I will send the factual handoff to the authorized AML reviewer. Does the existence of an alert itself mean a report has been filed?" It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 18, after Sam says: "I will list the alert, records, profile comparison, sources, and unresolved explanation, without asserting a criminal finding." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 28

03 / Answers and explanations

A / Read the situation

A1. Which agreement version governs this package?

D. Approved version 3

The brief identifies approved version 3; an attachment, upload order, or unassessed similarity cannot change that status.

Return to the exercise, page 32

A2. What does the supporting certificate reference?

D. Version 2

The certificate references version 2, creating the unresolved mismatch with version 3.

Return to the exercise, page 32

A3. What is the affected drawdown status under the stated process?

B. Not authorized while C4 remains unresolved

The local process leaves the affected drawdown unauthorized pending resolution of the specific condition.

Return to the exercise, page 32

D / Response choices

D1. Which checklist correction is supported?

C. Mark C4 unresolved pending authorized assessment of the version mismatch.

The evidence does not yet establish C4 satisfaction for version 3, so the specific condition requires review.

Return to the exercise, page 36

D2. Which statement invents a waiver?

D. The client wants funding today, so C4 is waived.

A requested funding date does not supply the authority or decision needed to waive a condition.

Return to the exercise, page 36

03 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: A condition that must be satisfied or appropriately waived before a specified action. Which term fits?

B. condition precedent

A Not here. exception log: A record of unresolved departures or discrepancies. The usual combination is "update the exception log".

B Correct. condition precedent: A condition that must be satisfied or appropriately waived before a specified action. The usual combination is "verify a condition precedent".

C Not here. executed document: A document signed or otherwise completed as required for its execution. The usual combination is "retain the executed document".

D Not here. collateral: Property or rights supporting repayment under an agreed arrangement. The usual combination is "identify the collateral".

Return to the exercise, page 36

D4. Rebuild the exchange from "A checked condition points to the wrong agreement version". Ravi: "The team wants funding today. Can I change the certificate's version number to match?" Mae: [missing response] Ravi: "I will correct the checklist status and note the exact package and condition. The requested funding date will remain a request, not an authorization." Which response belongs in the gap?

A. Preserve the supporting certificate as received. Do not edit its reference to make the checklist look consistent. We need the relevant assessment and any properly issued replacement or other authorized resolution.

A Correct. This is Mae's response in turn 6. It connects Ravi's preceding point with Ravi's follow-up. The supporting certificate is evidence with an actual reference; silently changing it would conceal the mismatch instead of resolving it.

B Not here. This line belongs to turn 2, after Ravi says: "C4 is checked complete in L73, but its certificate refers to agreement version 2. The approved package uses version 3." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 10, after Ravi says: "Someone suggested calling the issue waived because the client agrees to provide another certificate later. That does not sound like an authorized decision." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 8, after Ravi says: "I will correct the checklist status and note the exact package and condition. The requested funding date will remain a request, not an authorization." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 36

E / Conversation

1. document discrepancy

Turn 2. The document discrepancy is the observed mismatch between the certificate and approved agreement, not a conclusion about the entire loan's validity.

03 / Answers and explanations / continued

2. condition precedent

Turn 4. The condition precedent is the requirement relevant to the proposed action; its satisfaction must be assessed against the applicable agreement.

3. supporting certificate

Turn 6. The supporting certificate is evidence with an actual reference; silently changing it would conceal the mismatch instead of resolving it.

4. drawdown

Turn 8. Drawdown is the use or disbursement of facility funds; it remains unauthorized under the stated process while C4 is unresolved.

5. waiver

Turn 10. A waiver requires the applicable authority and decision; a client's promise or operational preference does not establish one.

6. version control

Turn 12. Version control preserves which document issue applies and prevents a prior version from being silently treated as the approved one.

7. exception log

Turn 14. The exception log records the specific unresolved discrepancy and its status, not an unsupported conclusion about every loan document.

8. document index

Turn 16. The document index links the condition, relevant records, and decision while preserving the original evidence and its history.

9. release authorization

Turn 18. Release authorization permits the disbursement; resolving one document condition does not automatically supply every remaining approval.

10. funding request

Turn 20. The funding request expresses the desired disbursement; it remains distinct from the evidence review and actual authority to release funds.

Return to the conversation, page 38

03 / Answers and explanations / continued

F / Accuracy and scope

F1. What should happen to the original certificate?

B. Preserve it with its actual reference and obtain the necessary assessment.

The original is evidence and must remain traceable while the mismatch is assessed.

Return to the exercise, page 42

F2. What does resolving a document question not automatically establish?

B. A separate release authorization unless the applicable process provides it

Document satisfaction and funding authorization are distinct matters under the stated process and must not be conflated.

Return to the exercise, page 42

F / Guided speaking

1. N26

Officer: The package reference is N26.

Turn 1. N26 is the package identifier given for this separate documentation case.

2. 5

Reviewer: The approved agreement version is 5.

Turn 2. Version 5 is the approved agreement, not the older certificate reference.

3. 4

Officer: The certificate refers to version 4.

Turn 3. Version 4 is the actual reference on the supporting certificate.

4. D2

Reviewer: The affected condition is D2.

Turn 4. D2 is the condition whose satisfaction remains unresolved because of the mismatch.

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03 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "A checked condition points to the wrong agreement version". Ravi: "I will flag C4 rather than mark the entire facility defective. We have identified one reference mismatch, not reviewed every document." Mae: [missing response] Ravi: "Once the reviewer decides what is needed, I will link that decision to the evidence. I will not remove the old certificate from the record." Which response belongs in the gap?

A. Use the exception log to identify C4 and the pending assessment. Keep the scope precise. We have a document-reference question affecting a condition, not evidence that every part of the facility is defective.

A Correct. This is Mae's response in turn 14. It connects Ravi's preceding point with Ravi's follow-up. The exception log records the specific unresolved discrepancy and its status, not an unsupported conclusion about every loan document.

B Not here. This line belongs to turn 16, after Ravi says: "Once the reviewer decides what is needed, I will link that decision to the evidence. I will not remove the old certificate from the record." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 10, after Ravi says: "Someone suggested calling the issue waived because the client agrees to provide another certificate later. That does not sound like an authorized decision." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 12, after Ravi says: "I will send the document references to the appropriate reviewer. We should keep both versions available so the question can be assessed accurately." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 43

04 / Answers and explanations

A / Read the situation

A1. How many exceptions are resolved?

D. 24

Only twenty-four reviewed items are resolved; the other six reviewed items still await authorization.

Return to the exercise, page 45

A2. How many exceptions remain open?

B. 21

Six reviewed but unresolved items plus fifteen unreviewed items give twenty-one open exceptions.

Return to the exercise, page 45

A3. What does 11:00 represent?

D. The next queue snapshot

Eleven hundred is the next status report, not a guarantee of resolution, authorization, or settlement.

Return to the exercise, page 45

D / Response choices

D1. Which breakdown reconciles to 45?

A. 24 resolved, six awaiting authorization, fifteen unreviewed

The mutually exclusive groups sum to forty-five without double-counting the reviewed subset.

Return to the exercise, page 50

D2. Which rate is approximately 66.7%?

A. Review rate

Thirty reviewed divided by forty-five total exceptions gives approximately sixty-six point seven percent.

Return to the exercise, page 50

04 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: A funds transfer through the relevant wire-payment system. Which term fits?

B. wire transfer

A Not here. repair: Correction of a payment instruction through authorized procedures. The usual combination is "route a payment repair".

B Correct. wire transfer: A funds transfer through the relevant wire-payment system. The usual combination is "track a wire transfer".

C Not here. routing information: Details directing the payment through the relevant institutions or system. The usual combination is "validate routing information".

D Not here. reviewed item: An item examined under the review process, possibly still unresolved. The usual combination is "count reviewed items".

Return to the exercise, page 50

D4. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "How many exceptions are still open in total? I initially thought only the fifteen unreviewed items remained." Colin: [missing response] Bea: "I want a clear percentage as well as counts. Thirty divided by forty-five is approximately sixty-six point seven percent." Which response belongs in the gap?

C. There are twenty-one. Each unreviewed item belongs in the open group, along with the six awaiting authorization. Fifteen plus six gives twenty-one; counting only untouched items would understate the remaining work.

A Not here. This line belongs to turn 4, after Bea says: "I had read thirty reviewed as thirty finished. Show the six awaiting approval separately so the meeting does not repeat that mistake." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 2, after Bea says: "The report says thirty items reviewed. Can I tell the morning meeting that the exception queue is cleared?" It addresses that point, not the missing turn in the supplied exchange.

C Correct. This is Colin's response in turn 6. It connects Bea's preceding point with Bea's follow-up. An unreviewed item is one of the fifteen not examined; open items also include the six reviewed but unresolved cases.

D Not here. This line belongs to turn 12, after Bea says: "Do the twenty-four resolved exceptions establish that those payments have reached their final destination? The meeting may ask about customer impact." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 50

E / Conversation

1. queue snapshot

Turn 2. The queue snapshot fixes the population and status at 10:00, preventing a review count from becoming an all-clear claim.

04 / Answers and explanations / continued

2. Pending authorization

Turn 4. Pending authorization identifies reviewed items that still require approval and therefore remain unresolved in this queue.

3. unreviewed item

Turn 6. An unreviewed item is one of the fifteen not examined; open items also include the six reviewed but unresolved cases.

4. review rate

Turn 8. Review rate measures examined items over the full population, so thirty of forty-five is approximately 66.7%.

5. resolution rate

Turn 10. Resolution rate uses the twenty-four exceptions meeting the defined resolution condition, producing approximately 53.3% of the forty-five-item queue.

6. settlement

Turn 12. Settlement is a downstream payment state requiring its actual evidence; resolving a queue exception does not confirm it.

7. resolved exception

Turn 14. A resolved exception has actually met the queue's condition; expected authorization does not satisfy that condition in advance.

8. cut-off time

Turn 16. A cut-off time applies to a specified processing cycle or service; it is not a universal promise about every payment's settlement.

9. payment release

Turn 18. Payment release is the authorized sending to a next stage; it must be verified separately and not inferred from a reporting appointment.

10. exception queue

Turn 20. The exception queue is the defined population requiring attention; its status must preserve all three groups and their common timestamp.

Return to the conversation, page 52

04 / Answers and explanations / continued

F / Accuracy and scope

F1. Which statement improperly strengthens the evidence?

D. All 24 underlying payments have settled because their exceptions are resolved.

Exception resolution is not evidence of underlying payment settlement, which the snapshot does not confirm.

Return to the exercise, page 55

F2. What must the next report preserve?

B. A common timestamp, denominator, and distinct stage labels

Comparable counts need the same snapshot basis and clear stages rather than mixed timestamps or unsupported outcome claims.

Return to the exercise, page 55

F / Guided speaking

1. nine

Analyst: The resolved count is nine.

Turn 1. Nine items are explicitly resolved, not all twelve reviewed items.

2. eleven

Supervisor: The open count is eleven.

Turn 2. Three awaiting authorization plus eight unreviewed gives eleven open exceptions.

3. 60%

Analyst: The review rate is 60%.

Turn 3. Twelve reviewed divided by twenty total exceptions equals sixty percent.

4. 45%

Supervisor: The resolution rate is 45%.

Turn 4. Nine resolved divided by twenty total exceptions equals forty-five percent.

Return to the conversation, page 56

04 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "The approver expects to act shortly. I will leave those six open until the actual decision, even if it arrives before the meeting." Colin: [missing response] Bea: "If we report a processing deadline, we should specify which system and stage it concerns. There is no universal time for every payment." Which response belongs in the gap?

D. Right. A resolved exception must meet the stated condition, not an expectation. Keep the approval dependency explicit until its actual status changes under the authorized process.

A Not here. This line belongs to turn 8, after Bea says: "I want a clear percentage as well as counts. Thirty divided by forty-five is approximately sixty-six point seven percent." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 4, after Bea says: "I had read thirty reviewed as thirty finished. Show the six awaiting approval separately so the meeting does not repeat that mistake." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 2, after Bea says: "The report says thirty items reviewed. Can I tell the morning meeting that the exception queue is cleared?" It addresses that point, not the missing turn in the supplied exchange.

D Correct. This is Colin's response in turn 14. It connects Bea's preceding point with Bea's follow-up. A resolved exception has actually met the queue's condition; expected authorization does not satisfy that condition in advance.

Return to the exercise, page 56

05 / Answers and explanations

A / Read the situation

A1. What is the original notice date?

A. 9 September

Nine September is when the bank received the notice; posting and internal handoff dates are different.

Return to the exercise, page 59

A2. Which barriers must Amir correct in this case?

B. Requiring merchant resolution or a police report before beginning the applicable investigation

The supplied U.S. consumer dispute must not be blocked by those stated prerequisites to initiating error resolution.

Return to the exercise, page 59

A3. What outcome has been established?

D. No final finding or credit decision is supplied.

The brief leaves both the final finding and credit decision unspecified.

Return to the exercise, page 59

D / Response choices

D1. Which message corrects the process?

A. We will preserve your 9 September notice and not require those prerequisites to begin the applicable investigation.

The correct message preserves the original notice and removes the improper initiation barriers in this case.

Return to the exercise, page 63

D2. What does provisional credit mean?

B. Temporary credit distinct from a final decision

Provisional credit is temporary during the applicable investigation and does not itself decide the final outcome.

Return to the exercise, page 63

05 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: A transaction challenged by the customer for a stated reason. Which term fits?

C. disputed transaction

A Not here. notification requirement: An obligation to communicate specified information under the applicable process. The usual combination is "verify notification requirements".

B Not here. investigation: Examination of relevant facts to determine the dispute outcome. The usual combination is "begin the applicable investigation".

C Correct. disputed transaction: A transaction challenged by the customer for a stated reason. The usual combination is "record the disputed transaction".

D Not here. supporting information: Relevant details or records assisting the investigation. The usual combination is "request supporting information".

Return to the exercise, page 63

D4. Rebuild the exchange from "Give one accurate explanation of the disputed-transaction process". June: "I can confirm the amount and merchant description. Please check my first report so this does not become a new intake each time." Amir: [missing response] June: "I did not make or permit this transaction. Will you record that without assuming the result before the investigation?" Which response belongs in the gap?

B. I will review the transaction descriptor and your recorded explanation. We need relevant missing information. A familiar merchant name alone does not answer the dispute.

A Not here. This line belongs to turn 10, after June says: "Another message mentioned temporary credit. Does that mean the bank has already decided to give me the money permanently?" It addresses that point, not the missing turn in the supplied exchange.

B Correct. This is Amir's response in turn 6. It connects June's preceding point with June's follow-up. The transaction descriptor is the displayed identifying text and helps locate the disputed entry without establishing whether it was authorized.

C Not here. This line belongs to turn 8, after June says: "I did not make or permit this transaction. Will you record that without assuming the result before the investigation?" It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 16, after June says: "Before discussing account details, I will use the bank's verified service route. I will not share a PIN or one-time code in this conversation." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 63

E / Conversation

1. process correction

Turn 2. Process correction removes the inaccurate initiation barriers without deciding the transaction's merits or promising a refund.

05 / Answers and explanations / continued

2. notice date

Turn 4. The notice date is September ninth, when the bank received the report; a later handoff does not restart it.

3. transaction descriptor

Turn 6. The transaction descriptor is the displayed identifying text and helps locate the disputed entry without establishing whether it was authorized.

4. unauthorized transaction

Turn 8. Unauthorized transaction describes the customer's reported concern subject to the applicable definition and factual investigation.

5. Provisional credit

Turn 10. Provisional credit is temporary during investigation and must not be described as a final permanent refund decision.

6. error resolution

Turn 12. Error resolution has requirements for investigation and communication; an open case is not permission to delay indefinitely.

7. written confirmation

Turn 14. Written confirmation requirements must be explained accurately within the applicable process, not invented as a universal barrier to investigation.

8. Customer authentication

Turn 16. Customer authentication uses the approved identity-checking process; it does not justify requesting secret credentials in this conversation.

9. handoff

Turn 18. The handoff transfers accurate context and responsibility while preserving the original notice, reported facts, and corrected process instructions.

10. interim update

Turn 20. An interim update reports progress without substituting for the final finding or altering applicable investigation and credit obligations.

Return to the conversation, page 65

05 / Answers and explanations / continued

F / Accuracy and scope

F1. Which date is the posting date?

B. 7 September

Seven September is explicitly when the disputed transaction posted to the account.

Return to the exercise, page 69

F2. Which request should Amir avoid?

B. Asking June to disclose a PIN or one-time code in this conversation

Secret access credentials must be protected; approved authentication should not become a request to disclose them here.

Return to the exercise, page 69

F / Guided speaking

1. 240

Specialist: The disputed amount is 240 dollars.

Turn 1. Two hundred forty dollars is the transaction amount supplied for this dispute.

2. 2 May

Customer: The posting date was 2 May.

Turn 2. Two May is the transaction posting date, distinct from notice and handoff.

3. 4 May

Specialist: The original notice date remains 4 May.

Turn 3. Four May is when the bank received notice; the later handoff does not replace it.

4. 6 May

Customer: The internal handoff occurred on 6 May.

Turn 4. Six May is the internal transfer date, not a new original notice date.

Return to the conversation, page 70

05 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "Give one accurate explanation of the disputed-transaction process". June: "Please explain any written-confirmation requirement clearly. Another vague instruction should not block the investigation." Amir: [missing response] June: "Before discussing account details, I will use the bank's verified service route. I will not share a PIN or one-time code in this conversation." Which response belongs in the gap?

A. Any written confirmation request must be explained accurately under the applicable process. It should identify what is needed and its significance, without recreating the improper police-report or merchant-resolution prerequisite you were given.

A Correct. This is Amir's response in turn 14. It connects June's preceding point with June's follow-up. Written confirmation requirements must be explained accurately within the applicable process, not invented as a universal barrier to investigation.

B Not here. This line belongs to turn 12, after June says: "I understand that the outcome is open, but I need the team to follow the correct timetable rather than leave the case pending indefinitely." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 20, after June says: "Then an update will tell me the actual review and credit status, rather than imply that either temporary credit or a new contact decides the outcome." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 2, after June says: "I reported the three-hundred-eighty-dollar debit on September ninth. One agent said to resolve it with the merchant; another demanded a police report." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 70

06 / Answers and explanations

A / Read the situation

A1. What is the unmatched amount?

C. $1,250

Two hundred fifty thousand minus two hundred forty-eight thousand seven hundred fifty equals twelve hundred fifty.

Return to the exercise, page 72

A2. What is established about the cause?

B. It remains unconfirmed.

The brief explicitly leaves the cause unconfirmed and identifies timing only as a possibility.

Return to the exercise, page 72

A3. What does the local procedure allow?

B. Acknowledgment of a documented open exception without calling it fully matched

The local process distinguishes review acknowledgment from claiming that an unresolved difference has been matched.

Return to the exercise, page 72

D / Response choices

D1. Which control description is accurate?

D. Reviewed with an open $1,250 exception; cause under investigation

The accurate status preserves the reviewed work and the outstanding difference without inventing its cause or resolution.

Return to the exercise, page 77

D2. Which action is unsupported?

B. Post an unapproved $1,250 adjustment solely to force agreement.

No adjustment is authorized, and forcing agreement without a basis would conceal rather than explain the difference.

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06 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: A difference requiring explanation or resolution between compared records. Which term fits?

D. reconciling item

A Not here. audit trail: Records allowing an action or decision to be traced. The usual combination is "preserve the audit trail".

B Not here. write-off: Removal of a recorded amount under the applicable accounting decision. The usual combination is "approve a write-off".

C Not here. maker-checker control: A process in which one person prepares and another independently checks the relevant action. The usual combination is "apply a maker-checker control".

D Correct. reconciling item: A difference requiring explanation or resolution between compared records. The usual combination is "investigate a reconciling item".

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D4. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "Our procedure lets a reviewer acknowledge work with a documented exception. It does not permit calling every balance matched when one remains unresolved." Omar: [missing response] Tess: "I will preserve the original signed record and document the correction. The status change should not silently remove the earlier wording." Which response belongs in the gap?

D. Correct the control sign-off accordingly. Reviewed with an open exception is different from fully reconciled. We should describe the permitted review state without using the signature to hide the unfinished item.

A Not here. This line belongs to turn 2, after Tess says: "The June thirtieth record says fully reconciled, but the ledger shows two hundred fifty thousand and the subledger two hundred forty-eight thousand seven hundred fifty." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 8, after Tess says: "I will preserve the original signed record and document the correction. The status change should not silently remove the earlier wording." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 12, after Tess says: "Nor can we write it off just because it is smaller than the full account balance. The amount alone does not provide approval." It addresses that point, not the missing turn in the supplied exchange.

D Correct. This is Omar's response in turn 6. It connects Tess's preceding point with Tess's follow-up. The control sign-off must state its actual meaning, distinguishing acknowledgment with an open exception from a fully matched conclusion.

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06 / Answers and explanations / continued

E / Conversation

1. unmatched balance

Turn 2. The unmatched balance is the established 1,250-dollar difference on the stated common basis, not an explanation of its cause.

2. timing difference

Turn 4. A timing difference needs supporting evidence; it remains only one possible explanation in this case.

3. control sign-off

Turn 6. The control sign-off must state its actual meaning, distinguishing acknowledgment with an open exception from a fully matched conclusion.

4. audit trail

Turn 8. The audit trail preserves the original and subsequent correction so reviewers can trace what changed and why.

5. journal entry

Turn 10. A journal entry records an accounting event or adjustment; no unsupported balancing entry is authorized merely to force agreement.

6. write-off

Turn 12. A write-off requires the applicable accounting basis and authorization; relative size alone does not establish either.

7. resolution owner

Turn 14. The resolution owner coordinates follow-up on the difference; naming that person does not itself establish its cause or closure.

8. evidence reference

Turn 16. An evidence reference connects the stated balances and conclusions to the actual records, making the reconciliation reviewable.

9. control exception

Turn 18. The control exception is the unresolved condition in the process; recording it honestly does not determine whether or how it will be resolved.

06 / Answers and explanations / continued

10. segregation of duties

Turn 20. Segregation of duties keeps preparation, checking, and approval appropriately distinct rather than letting urgency bypass the required roles.

Return to the conversation, page 79

F / Accuracy and scope

F1. What is needed before calling this a timing difference?

A. Evidence establishing the timing explanation

Timing is a hypothesis until relevant records establish this difference's cause; precedent, sign-off, and size do not do so.

Return to the exercise, page 83

F2. Which statement distinguishes two tasks correctly?

D. Correcting the sign-off description does not itself resolve the underlying balance.

Record correction and substantive reconciliation resolution are separate actions requiring their own basis.

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F / Guided speaking

1. 90,000

Analyst: The ledger balance is 90,000 dollars.

Turn 1. Ninety thousand is the supplied general-ledger amount for this separate comparison.

2. 89,600

Reviewer: The subledger balance is 89,600 dollars.

Turn 2. Eighty-nine thousand six hundred is the supplied supporting balance.

3. 400

Analyst: The unmatched difference is 400 dollars.

Turn 3. Ninety thousand minus eighty-nine thousand six hundred equals four hundred dollars.

4. unknown

Reviewer: The cause remains unknown.

Turn 4. The case does not establish a timing, error, or other explanation.

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06 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "The note just says investigate. We need a named coordinator and the specific records to obtain before the next review." Omar: [missing response] Tess: "We can link the ledger extract and detailed balance schedule. The next reviewer should see the actual amounts without reconstructing them from our conversation." Which response belongs in the gap?

A. Assign the resolution owner through the local process and record the next review step. Ownership, evidence gathering, and resolution are separate facts; an assigned name should not be mistaken for a closed issue.

A Correct. This is Omar's response in turn 14. It connects Tess's preceding point with Tess's follow-up. The resolution owner coordinates follow-up on the difference; naming that person does not itself establish its cause or closure.

B Not here. This line belongs to turn 4, after Tess says: "The analyst thought it might be a posting-date issue. We do not yet have the records needed to confirm that explanation." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 10, after Tess says: "The proposed adjustment would make the report balance, but I cannot find a transaction or approval supporting the twelve-hundred-fifty-dollar entry." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 16, after Tess says: "We can link the ledger extract and detailed balance schedule. The next reviewer should see the actual amounts without reconstructing them from our conversation." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 84

07 / Answers and explanations

A / Read the situation

A1. How many requested dated records are retrieved?

A. Two of five

The records for 10 and 24 March are retrieved; three other requested dates remain unlocated.

Return to the exercise, page 88

A2. What does policy version 2 primarily describe?

C. The control's documented design or requirements

A policy describes intended control arrangements and is distinct from evidence that the control actually operated.

Return to the exercise, page 88

A3. What can be concluded about the three unlocated records?

A. Their retrieval is incomplete; operation is not established by that fact alone.

Unlocated evidence leaves a gap but does not alone prove either performance or failure.

Return to the exercise, page 88

D / Response choices

D1. Which package description is accurate?

B. Policy version 2 plus records for 10 and 24 March; three requested dates outstanding

The description accurately identifies available material and outstanding requested records without fabricating completeness or performance.

Return to the exercise, page 92

D2. What is the retrieval coverage?

A. 40% of the five requested dated records

Two retrieved records divided by five requested dates gives forty percent retrieval coverage only.

Return to the exercise, page 92

07 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: The planned structure and requirements of a control. Which term fits?

C. control design

A Not here. dated evidence: A record tied to an identifiable time or event. The usual combination is "provide dated evidence".

B Not here. evidence mapping: Linking each request item to its supporting record. The usual combination is "complete evidence mapping".

C Correct. control design: The planned structure and requirements of a control. The usual combination is "explain control design".

D Not here. record custodian: The person or function responsible for keeping the relevant records. The usual combination is "contact the record custodian".

Return to the exercise, page 92

D4. Rebuild the exchange from "A policy describes the control but does not prove it operated". Liv: "That gives two out of five, or forty percent retrieval coverage. I should not call it a forty-percent effectiveness result." Yusuf: [missing response] Liv: "Do the missing records prove the control was not performed on those dates? I want to avoid minimizing the gap." Which response belongs in the gap?

B. Correct. Operating effectiveness is a different assessment. Record availability for this request does not establish the control's success rate, and the five selected dates do not automatically represent every day in March.

A Not here. This line belongs to turn 18, after Liv says: "At Wednesday's update, I will name any dates still outstanding. I cannot promise the search will recover every record." It addresses that point, not the missing turn in the supplied exchange.

B Correct. This is Yusuf's response in turn 6. It connects Liv's preceding point with Liv's follow-up. Operating effectiveness concerns actual control performance; the percentage of retrieved records is not a score of that performance.

C Not here. This line belongs to turn 8, after Liv says: "Do the missing records prove the control was not performed on those dates? I want to avoid minimizing the gap." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 12, after Liv says: "Who can help find the outstanding files? I have checked the shared folder but have not established whether another authorized repository holds them." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 92

E / Conversation

1. control design

Turn 2. Control design states how the control should work; the policy alone does not establish operation on the requested dates.

07 / Answers and explanations / continued

2. evidence inventory

Turn 4. The evidence inventory lists available and outstanding records, preserving the two retrieved dates and three remaining gaps.

3. Operating effectiveness

Turn 6. Operating effectiveness concerns actual control performance; the percentage of retrieved records is not a score of that performance.

4. evidence gap

Turn 8. An evidence gap means support is missing; it does not by itself prove either that the control operated or that it failed.

5. evidence mapping

Turn 10. Evidence mapping links each requested item to its supporting record or explicit outstanding status, preventing a misleading package-level claim.

6. record custodian

Turn 12. The record custodian is responsible for relevant records and can assist retrieval without inventing evidence or guaranteeing its existence.

7. contemporaneous record

Turn 14. A contemporaneous record was created at or near the event; a new sign-off cannot be represented as original March evidence.

8. retrospective explanation

Turn 16. A retrospective explanation is a later account that must be labeled as such, not substituted deceptively for historical evidence.

9. retrieval status

Turn 18. Retrieval status reports what has actually been located; the update appointment does not guarantee that every missing record will be found.

10. examiner conclusion

Turn 20. The examiner conclusion follows the actual supervisory assessment; the team must not invent approval from its own document submission.

Return to the conversation, page 94

07 / Answers and explanations / continued

F / Accuracy and scope

F1. Which action would misrepresent the evidence?

B. Create today's sign-off and present it as an original March record.

A later record must not be presented as contemporaneous evidence that was created in March.

Return to the exercise, page 98

F2. What should Yusuf report Wednesday if records remain missing?

A. The actual retrieval status and outstanding dates

The promise concerns an accurate status update even if the evidence-retrieval work remains incomplete.

Return to the exercise, page 98

F / Guided speaking

1. four

Coordinator: The number of requested dated records is four.

Turn 1. Four is the requested population for this separate evidence-retrieval task.

2. three

Owner: The number retrieved is three.

Turn 2. Three records are actually available; the fourth remains unlocated.

3. 75%

Coordinator: Retrieval coverage is 75%.

Turn 3. Three retrieved divided by four requested equals seventy-five percent, not a control-effectiveness score.

4. Friday

Owner: The next retrieval update is due Friday.

Turn 4. Friday is the status-update commitment, not a guarantee of complete evidence or examiner approval.

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07 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "A policy describes the control but does not prove it operated". Liv: "Someone offered backdated sign-offs. That would make today's entries look like original March evidence." Yusuf: [missing response] Liv: "A reviewer might remember performing the check. Could a clearly dated explanation help, even though it is not the original execution record?" Which response belongs in the gap?

B. Do not present a new entry as a contemporaneous record. A later sign-off cannot be passed off as an original March record. We need accurate creation dates, authorship, and the actual basis of any later account.

A Not here. This line belongs to turn 20, after Liv says: "The package will include the policy, two dated records, a mapped list of the three outstanding dates, and any properly labeled later explanation." It addresses that point, not the missing turn in the supplied exchange.

B Correct. This is Yusuf's response in turn 14. It connects Liv's preceding point with Liv's follow-up. A contemporaneous record was created at or near the event; a new sign-off cannot be represented as original March evidence.

C Not here. This line belongs to turn 16, after Liv says: "A reviewer might remember performing the check. Could a clearly dated explanation help, even though it is not the original execution record?" It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 4, after Liv says: "I found records for the tenth and twenty-fourth. The other three are not yet located." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 99

08 / Answers and explanations

A / Read the situation

A1. What charge is disputed?

C. A $15 maintenance charge for the June cycle

Priya asks about fifteen dollars charged for the June statement cycle.

Return to the exercise, page 101

A2. What is the effective date of Daniel's available schedule?

A. 1 August

The schedule is explicitly effective from 1 August and is not automatically applicable to June.

Return to the exercise, page 101

A3. What remains unchecked?

A. June product, applicable historical terms, and waiver eligibility

The missing evidence concerns the actual account and applicable terms, not arithmetic or the order of months.

Return to the exercise, page 101

D / Response choices

D1. Which first reply is accurate?

D. I will check the June product, historical terms, and waiver conditions before deciding the charge.

The accurate reply identifies the relevant period and facts without using current terms to invent a historical conclusion.

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D2. Why does the 1 August date matter?

D. It limits the current schedule's applicability and does not automatically establish June terms.

Effective dates help identify which terms apply; the current document alone does not establish the earlier cycle's rules.

Return to the exercise, page 105

08 / Answers and explanations / continued

D3. A colleague needs the term for this meaning: The period covered by a periodic account statement. Which term fits?

B. statement cycle

A Not here. fee assessment: The application of a charge under specified rules and facts. The usual combination is "examine the fee assessment".

B Correct. statement cycle: The period covered by a periodic account statement. The usual combination is "identify the statement cycle".

C Not here. average daily balance: A balance measure averaging daily balances over a defined period. The usual combination is "calculate average daily balance".

D Not here. refund decision: A determination about returning a charged amount. The usual combination is "explain the refund decision".

Return to the exercise, page 105

D4. Rebuild the exchange from "The current fee schedule may not explain a past charge". Priya: "The five-dollar difference does not automatically establish a refund. We need the relevant records." Daniel: [missing response] Priya: "I expected the balance waiver. My month-end balance was positive, but which balance measure actually applies?" Which response belongs in the gap?

C. Correct. A refund decision must follow the actual review. I will not promise a credit merely because two figures differ, and I will not defend the charge without checking its basis.

A Not here. This line belongs to turn 18, after Priya says: "When will you update me, even if older records take longer to retrieve?" It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 20, after Priya says: "That gives me a clear next step. Please explain the eventual result using the correct product, period, and waiver rules." It addresses that point, not the missing turn in the supplied exchange.

C Correct. This is Daniel's response in turn 6. It connects Priya's preceding point with Priya's follow-up. A refund decision needs the applicable facts and terms; a numerical difference between schedules does not establish an error or entitlement.

D Not here. This line belongs to turn 12, after Priya says: "I also received a deposit that month. Please check whether it counted for the waiver instead of assuming every deposit qualifies." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 105

E / Conversation

1. historical terms

Turn 2. Historical terms establish what applied in June; the current schedule does not automatically govern that earlier cycle.

08 / Answers and explanations / continued

2. account product

Turn 4. Account product identifies the specific account arrangement held during the relevant period, which can affect applicable charges and conditions.

3. refund decision

Turn 6. A refund decision needs the applicable facts and terms; a numerical difference between schedules does not establish an error or entitlement.

4. waiver condition

Turn 8. A waiver condition defines eligibility under the terms; a positive balance at one point does not establish every possible balance requirement.

5. Average daily balance

Turn 10. Average daily balance averages the defined daily balances over a period; it is not interchangeable with a single closing balance.

6. qualifying deposit

Turn 12. A qualifying deposit meets the actual terms; receiving some deposit does not necessarily satisfy a specified waiver criterion.

7. account conversion

Turn 14. Account conversion changes the account arrangement and may affect which terms apply; its timing needs evidence rather than assumption.

8. statement cycle

Turn 16. The statement cycle identifies the period disputed; the June complaint must not be replaced with an unrelated August fee question.

9. service record

Turn 18. The service record preserves the complaint and follow-up; an update appointment does not establish a refund or completed review.

10. case resolution

Turn 20. Case resolution must reflect a supported outcome addressing the actual historical fee question, not merely the sending of an acknowledgment.

Return to the conversation, page 107

08 / Answers and explanations / continued

F / Accuracy and scope

F1. Which waiver assumption is unsupported?

C. Any deposit automatically satisfies every qualifying-deposit condition.

Qualifying deposits are defined by the actual terms, so not every deposit necessarily satisfies the condition.

Return to the exercise, page 110

F2. What should Tuesday's update do if the review remains incomplete?

A. Identify the actual outstanding records and review status.

The commitment is to communicate the real status, not manufacture an outcome before the evidence is complete.

Return to the exercise, page 110

F / Guided speaking

1. 12

Representative: The disputed April charge is 12 dollars.

Turn 1. Twelve dollars is the actual fee in the disputed April cycle.

2. 1 July

Customer: The available schedule takes effect on 1 July.

Turn 2. One July is the stated effective date, not proof of the earlier April terms.

3. 8

Representative: That schedule shows 8 dollars.

Turn 3. Eight dollars is the amount on the later schedule, not an established April entitlement.

4. Wednesday

Customer: The next review update is Wednesday.

Turn 4. Wednesday is the communication appointment, not a guaranteed fee correction.

Return to the conversation, page 111

08 / Answers and explanations / continued

F / Rebuild the exchange

1. Rebuild the exchange from "The current fee schedule may not explain a past charge". Priya: "Please check the account-change date and fee notice together. I need to know which terms applied during June." Daniel: [missing response] Priya: "Please keep the actual complaint tied to the June cycle. I am not asking you to decide whether August's fee is correct." Which response belongs in the gap?

A. Yes. We will trace any relevant account conversion and change notice. That history may help establish the correct product and effective period. We should not apply today's information backward simply because it is the first document available.

A Correct. This is Daniel's response in turn 14. It connects Priya's preceding point with Priya's follow-up. Account conversion changes the account arrangement and may affect which terms apply; its timing needs evidence rather than assumption.

B Not here. This line belongs to turn 4, after Priya says: "I also changed accounts earlier in the year. Could the specific product I held in June affect which fee applied?" It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 2, after Priya says: "My June statement has a fifteen-dollar maintenance charge. Your current schedule shows ten dollars. Why was I charged more?" It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 8, after Priya says: "I expected the balance waiver. My month-end balance was positive, but which balance measure actually applies?" It addresses that point, not the missing turn in the supplied exchange.

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Review 1 / Explanations

Cumulative review

1. A colleague needs the term for this meaning: The arrangement of ownership interests in an entity. Which term fits?

A. ownership structure

A Correct. ownership structure: The arrangement of ownership interests in an entity. The usual combination is "document the ownership structure".

B Not here. outstanding requirement: A requested or applicable condition that has not yet been satisfied. The usual combination is "identify an outstanding requirement".

C Not here. control person: An individual meeting the applicable responsibility or control criterion. The usual combination is "identify the control person".

D Not here. expected activity: The anticipated account use relevant to understanding the relationship. The usual combination is "describe expected activity".

Return to the exercise, page 30

2. A colleague needs the term for this meaning: Activity differing from an expected or relevant pattern and requiring context. Which term fits?

D. unusual activity

A Not here. review rationale: The documented reasoning for an assessment or next step. The usual combination is "explain the review rationale".

B Not here. Anti-Money Laundering (AML): Measures addressing the misuse of financial services to conceal or facilitate illicit funds. The usual combination is "conduct an AML review".

C Not here. supporting records: Documents or data relevant to assessing the observed activity. The usual combination is "preserve supporting records".

D Correct. unusual activity: Activity differing from an expected or relevant pattern and requiring context. The usual combination is "assess unusual activity".

Return to the exercise, page 30

Review 1 / Explanations / continued

3. Rebuild the exchange from "Explain the missing ownership information without promising approval". Ken: "Are these requirements identical for every company and every account? A colleague said the rules had changed for some account openings." Zoya: [missing response] Ken: "The upload screen says complete. Does that mean submitted, verified, or approved? Those would mean different things to my team." Which response belongs in the gap?

C. They depend on the applicable rules and risk-based procedure. Current requirements and relief must be assessed in context. This is your first business-account application here; I should not generalize its requirements to every additional account or entity.

A Not here. This line belongs to turn 18, after Ken says: "When will I hear from you? An accurate pending status would still help our planning." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 8, after Ken says: "Please send a specific list. Our records team needs to know which ownership details are missing and which documents you already hold." It addresses that point, not the missing turn in the supplied exchange.

C Correct. This is Zoya's response in turn 10. It connects Ken's preceding point with Ken's follow-up. A risk-based procedure depends on relevant customer circumstances and requirements, not identical rules for every account.

D Not here. This line belongs to turn 2, after Ken says: "We supplied the people authorized to sign. Why is A62 still pending? We need to start using the business account this week." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 30

Review 1 / Explanations / continued

4. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "I will list the alert, records, profile comparison, sources, and unresolved explanation, without asserting a criminal finding." Aisha: [missing response] Sam: "When the authorized review is complete, its actual result can be recorded with the supporting rationale and the appropriate confidentiality controls." Which response belongs in the gap?

A. That supports case escalation through the approved process. Make clear what you observed and what assessment is still needed. Referral status must not be presented as an outcome that has already been reached.

A Correct. This is Aisha's response in turn 18. It connects Sam's preceding point with Sam's follow-up. Case escalation routes the concern to the proper review level; it is an action rather than an established adverse finding.

B Not here. This line belongs to turn 8, after Sam says: "The transaction records and profile are available. Any explanation we receive later should be distinguished from what the system already records." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 14, after Sam says: "The customer-facing team may still need help with an ordinary service question. We should not put reporting information into a general customer note." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 10, after Sam says: "I will send the factual handoff to the authorized AML reviewer. Does the existence of an alert itself mean a report has been filed?" It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 30

Review 2 / Explanations

Cumulative review

1. A colleague needs the term for this meaning: Use or disbursement of funds under a loan facility. Which term fits?

C. drawdown

A Not here. execution copy: The version prepared or used for formal signing. The usual combination is "confirm the execution copy".

B Not here. security document: A document establishing or recording relevant collateral rights. The usual combination is "verify the security document".

C Correct. drawdown: Use or disbursement of funds under a loan facility. The usual combination is "authorize a drawdown".

D Not here. version control: Management of document issues and their applicable status. The usual combination is "maintain version control".

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2. A colleague needs the term for this meaning: The queue's recorded status at a particular time. Which term fits?

B. queue snapshot

A Not here. settlement: The discharge of the payment obligation through the relevant system. The usual combination is "verify settlement status".

B Correct. queue snapshot: The queue's recorded status at a particular time. The usual combination is "timestamp the queue snapshot".

C Not here. payment instruction: A request specifying a transfer of funds. The usual combination is "validate a payment instruction".

D Not here. originator: The party initiating the payment under the relevant arrangement. The usual combination is "identify the originator".

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Review 2 / Explanations / continued

3. Rebuild the exchange from "An unusual-activity alert is a question, not a verdict". Sam: "I will send the factual handoff to the authorized AML reviewer. Does the existence of an alert itself mean a report has been filed?" Aisha: [missing response] Sam: "An unrelated colleague asked whether a SAR exists. Bank employment alone does not authorize that disclosure." Which response belongs in the gap?

B. No. A reporting decision is separate from an alert. No reporting decision is recorded in this handoff. Do not infer filing or nonfiling status from the presence of T82 or from this review conversation.

A Not here. This line belongs to turn 18, after Sam says: "I will list the alert, records, profile comparison, sources, and unresolved explanation, without asserting a criminal finding." It addresses that point, not the missing turn in the supplied exchange.

B Correct. This is Aisha's response in turn 10. It connects Sam's preceding point with Sam's follow-up. A reporting decision follows the applicable assessment process; the existence of a monitoring alert does not establish one.

C Not here. This line belongs to turn 14, after Sam says: "The customer-facing team may still need help with an ordinary service question. We should not put reporting information into a general customer note." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 6, after Sam says: "If I remove the accusation, how do I make clear that the concern still needs review?" It addresses that point, not the missing turn in the supplied exchange.

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Review 2 / Explanations / continued

4. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "Let us provide another snapshot at eleven hundred. That gives the team a clear next contact without promising that all items will disappear." Colin: [missing response] Bea: "My headline will say forty-five total, twenty-four resolved, six reviewed awaiting authorization, and fifteen unreviewed, all as of ten hundred." Which response belongs in the gap?

C. Agreed. We can report any verified payment release information separately if available. Eleven hundred is our next information update, not an authorization event or a guarantee that every open exception will be resolved.

A Not here. This line belongs to turn 10, after Bea says: "Twenty-four divided by forty-five gives approximately fifty-three point three percent. We should not substitute the larger review percentage." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 16, after Bea says: "If we report a processing deadline, we should specify which system and stage it concerns. There is no universal time for every payment." It addresses that point, not the missing turn in the supplied exchange.

C Correct. This is Colin's response in turn 18. It connects Bea's preceding point with Bea's follow-up. Payment release is the authorized sending to a next stage; it must be verified separately and not inferred from a reporting appointment.

D Not here. This line belongs to turn 4, after Bea says: "I had read thirty reviewed as thirty finished. Show the six awaiting approval separately so the meeting does not repeat that mistake." It addresses that point, not the missing turn in the supplied exchange.

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Review 3 / Explanations

Cumulative review

1. A colleague needs the term for this meaning: A transaction the customer did not make or permit, subject to the applicable definition. Which term fits?

A. unauthorized transaction

A Correct. unauthorized transaction: A transaction the customer did not make or permit, subject to the applicable definition. The usual combination is "report an unauthorized transaction".

B Not here. final finding: The determination reached after the relevant investigation. The usual combination is "explain the final finding".

C Not here. merchant: The seller or service provider associated with a card transaction. The usual combination is "identify the merchant".

D Not here. written confirmation: A written account confirming a previously reported matter when applicable. The usual combination is "explain written-confirmation requirements".

Return to the exercise, page 86

2. A colleague needs the term for this meaning: A change to accounting records under the appropriate basis and authority. Which term fits?

D. adjustment

A Not here. reviewer: The person checking the work under the relevant process. The usual combination is "identify the reviewer".

B Not here. control deficiency: A weakness in control design or operation under the relevant assessment. The usual combination is "assess a control deficiency".

C Not here. general ledger (GL): The main accounting record of balances and entries. The usual combination is "reconcile the general ledger".

D Correct. adjustment: A change to accounting records under the appropriate basis and authority. The usual combination is "authorize an adjustment".

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Review 3 / Explanations / continued

3. Rebuild the exchange from "Reviewed is not the same as resolved". Bea: "Twenty-four divided by forty-five gives approximately fifty-three point three percent. We should not substitute the larger review percentage." Colin: [missing response] Bea: "Do the twenty-four resolved exceptions establish that those payments have reached their final destination? The meeting may ask about customer impact." Which response belongs in the gap?

C. Correct. The resolution rate describes the queue's defined resolved state. It does not mean that the same percentage of all payment value has moved, because this snapshot counts items rather than money.

A Not here. This line belongs to turn 4, after Bea says: "I had read thirty reviewed as thirty finished. Show the six awaiting approval separately so the meeting does not repeat that mistake." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 16, after Bea says: "If we report a processing deadline, we should specify which system and stage it concerns. There is no universal time for every payment." It addresses that point, not the missing turn in the supplied exchange.

C Correct. This is Colin's response in turn 10. It connects Bea's preceding point with Bea's follow-up. Resolution rate uses the twenty-four exceptions meeting the defined resolution condition, producing approximately 53.3% of the forty-five-item queue.

D Not here. This line belongs to turn 6, after Bea says: "How many exceptions are still open in total? I initially thought only the fifteen unreviewed items remained." It addresses that point, not the missing turn in the supplied exchange.

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Review 3 / Explanations / continued

4. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "The comparison basis matches. The root cause remains unconfirmed." Omar: [missing response] Tess: "The corrected handoff will show the twelve-hundred-fifty-dollar difference, unconfirmed cause, no approved adjustment, and review acknowledgment with the exception still open." Which response belongs in the gap?

B. Keep the control exception visible with its amount and status. The control can acknowledge the exception honestly under the stated procedure; it cannot claim that no exception exists.

A Not here. This line belongs to turn 2, after Tess says: "The June thirtieth record says fully reconciled, but the ledger shows two hundred fifty thousand and the subledger two hundred forty-eight thousand seven hundred fifty." It addresses that point, not the missing turn in the supplied exchange.

B Correct. This is Omar's response in turn 18. It connects Tess's preceding point with Tess's follow-up. The control exception is the unresolved condition in the process; recording it honestly does not determine whether or how it will be resolved.

C Not here. This line belongs to turn 8, after Tess says: "I will preserve the original signed record and document the correction. The status change should not silently remove the earlier wording." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 12, after Tess says: "Nor can we write it off just because it is smaller than the full account balance. The amount alone does not provide approval." It addresses that point, not the missing turn in the supplied exchange.

Return to the exercise, page 86

Review 4 / Explanations

Cumulative review

1. A colleague needs the term for this meaning: The identifier linking a request to the response and evidence. Which term fits?

C. request reference

A Not here. retrieval status: The stage of locating and obtaining records. The usual combination is "report retrieval status".

B Not here. review period: The dates covered by the requested assessment. The usual combination is "identify the review period".

C Correct. request reference: The identifier linking a request to the response and evidence. The usual combination is "retain the request reference".

D Not here. retrospective explanation: A later account describing a past event or missing record. The usual combination is "label a retrospective explanation".

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2. A colleague needs the term for this meaning: A required balance threshold under a specified measure and period. Which term fits?

C. minimum balance

A Not here. service record: Documentation of customer contacts and actions. The usual combination is "update the service record".

B Not here. account conversion: A change from one account product or arrangement to another. The usual combination is "review an account conversion".

C Correct. minimum balance: A required balance threshold under a specified measure and period. The usual combination is "check the minimum-balance condition".

D Not here. maintenance fee: A recurring account charge under the applicable terms. The usual combination is "review a maintenance fee".

Return to the exercise, page 113

Review 4 / Explanations / continued

3. Rebuild the exchange from "A sign-off cannot erase an unmatched balance". Tess: "The proposed adjustment would make the report balance, but I cannot find a transaction or approval supporting the twelve-hundred-fifty-dollar entry." Omar: [missing response] Tess: "Nor can we write it off just because it is smaller than the full account balance. The amount alone does not provide approval." Which response belongs in the gap?

D. Do not create a journal entry simply to force agreement. Any actual adjustment needs its proper evidence and authority. Otherwise, the apparent match would conceal an unexplained item rather than provide a valid reconciliation.

A Not here. This line belongs to turn 4, after Tess says: "The analyst thought it might be a posting-date issue. We do not yet have the records needed to confirm that explanation." It addresses that point, not the missing turn in the supplied exchange.

B Not here. This line belongs to turn 20, after Tess says: "The corrected handoff will show the twelve-hundred-fifty-dollar difference, unconfirmed cause, no approved adjustment, and review acknowledgment with the exception still open." It addresses that point, not the missing turn in the supplied exchange.

C Not here. This line belongs to turn 14, after Tess says: "The note just says investigate. We need a named coordinator and the specific records to obtain before the next review." It addresses that point, not the missing turn in the supplied exchange.

D Correct. This is Omar's response in turn 10. It connects Tess's preceding point with Tess's follow-up. A journal entry records an accounting event or adjustment; no unsupported balancing entry is authorized merely to force agreement.

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Review 4 / Explanations / continued

4. Rebuild the exchange from "The current fee schedule may not explain a past charge". Priya: "When will you update me, even if older records take longer to retrieve?" Daniel: [missing response] Priya: "That gives me a clear next step. Please explain the eventual result using the correct product, period, and waiver rules." Which response belongs in the gap?

B. I will update the service record and contact you Tuesday at fifteen hundred. If something remains missing, I will identify it. That is an update appointment, not a guaranteed account-credit date.

A Not here. This line belongs to turn 6, after Priya says: "The five-dollar difference does not automatically establish a refund. We need the relevant records." It addresses that point, not the missing turn in the supplied exchange.

B Correct. This is Daniel's response in turn 18. It connects Priya's preceding point with Priya's follow-up. The service record preserves the complaint and follow-up; an update appointment does not establish a refund or completed review.

C Not here. This line belongs to turn 12, after Priya says: "I also received a deposit that month. Please check whether it counted for the waiver instead of assuming every deposit qualifies." It addresses that point, not the missing turn in the supplied exchange.

D Not here. This line belongs to turn 20, after Priya says: "That gives me a clear next step. Please explain the eventual result using the correct product, period, and waiver rules." It addresses that point, not the missing turn in the supplied exchange.

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Additional case 1 / Explanations

Extended conversation

1. posted balance

Turn 2. The posted balance includes completed account entries: $1,000 less the $120 posted purchase equals $880 before the second purchase posts.

2. authorization hold

Turn 4. The authorization hold reduces availability by $80 without yet being a posted debit in the first snapshot; it is not an additional completed purchase.

3. available balance

Turn 6. The available balance remains $800 when the $80 purchase posts and its matching hold is fully released together, with no other items.

4. transaction reference

Turn 10. The transaction reference and matching records link the authorization to its corresponding posted purchase; appearance of two history lines alone does not establish two debits.

5. duplicate debit

Turn 14. A duplicate debit would be an unintended second posted deduction; this case supplies one matched purchase and a released hold, not two posted deductions.

6. hold release

Turn 18. Hold release removes the reserved authorization amount from the availability calculation; its timing and amount must come from the actual records, not this example's sequence.

Return to the conversation, page 116

Transfer exchange

1. 550

Officer: Before the second purchase posts, the posted balance is 550 dollars.

Turn 1. The opening six hundred less the first posted fifty-dollar debit gives five hundred fifty.

Additional case 1 / Explanations / continued

2. 480

Analyst: At that stage, the available balance is 480 dollars.

Turn 2. The five-hundred-fifty posted balance less the seventy-dollar hold leaves four hundred eighty available.

3. released

Officer: When the matching purchase posts, its hold is released.

Turn 3. The case explicitly releases the matched hold when the purchase posts, so it is no longer deducted separately.

4. double-count

Analyst: Subtracting that released hold again would double-count the purchase.

Turn 4. The posted seventy already reflects the purchase; deducting the released reservation again counts the same amount twice.

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Additional case 2 / Explanations

Extended conversation

1. quote direction

Turn 2. The quote is 1.10 US dollars for each euro, so the EUR 10,000 send amount is multiplied by 1.10 to obtain USD 11,000.

2. conversion amount

Turn 4. The conversion amount is USD 11,000 for the EUR 10,000 send amount; the separate USD 25 sender fee is added afterward.

3. sender fee

Turn 6. The sender fee is USD 25 added to the sender's debit in this case, not deducted again from the EUR 10,000 instructed amount.

4. intermediary charge

Turn 8. The known EUR 15 intermediary charge is deducted from the EUR 10,000 sent, leaving EUR 9,985 under the stated no-other-deductions assumption.

5. quote validity

Turn 14. Quote validity ends at 14:10 local in the supplied terms; discussing or calculating the quote does not extend its availability.

6. payment authorization

Turn 16. Payment authorization is the approved instruction to proceed under the bank's process; reviewing the quote and its arithmetic does not supply it.

Return to the conversation, page 121

Transfer exchange

1. 2,500

Officer: The conversion amount is USD 2,500.

Turn 1. Two thousand pounds multiplied by 1.25 dollars per pound gives 2,500 dollars.

Additional case 2 / Explanations / continued

2. 2,520

Customer: Including the sender fee, my debit would be USD 2,520.

Turn 2. The separate twenty-dollar sender fee is added to the 2,500-dollar conversion amount.

3. 1,990

Officer: The recipient would receive GBP 1,990 under these assumptions.

Turn 3. The stated ten-pound route charge reduces the two-thousand-pound send amount to 1,990 pounds.

4. authorization

Customer: Reviewing this quote does not provide payment authorization.

Turn 4. The case explicitly supplies a quote only, so the calculation is not an approved transfer instruction.

Return to the conversation, page 124

Additional case 3 / Explanations

Extended conversation

1. principal balance

Turn 2. The principal balance was $100,000 for twenty days and $150,000 only for the last ten, so the closing balance cannot be applied to the whole period.

2. day-count convention

Turn 4. The Actual/360 convention uses actual elapsed days over a 360-day year denominator; it does not replace every month's actual length with thirty days.

3. accrual intervals

Turn 6. The accrual intervals separate twenty days at $100,000 from ten days at $150,000; summing their interest gives $583.333... before final rounding.

4. unrounded interest

Turn 8. Unrounded interest is retained through the interval calculation and summed before rounding, following this exercise's explicit final-rounding rule.

5. simple interest

Turn 12. Simple interest here accrues on the stated principal at the fixed annual rate without adding accrued interest to principal for compounding.

6. value date

Turn 14. The value date establishes when a balance change affects the relevant calculation under the agreement; it must be reconciled rather than inferred from a later screen-posting date.

Return to the conversation, page 126

Transfer exchange

1. 100

Analyst: Interest for the first interval is 100 dollars.

Turn 1. Fifty thousand times 0.048 times fifteen divided by 360 equals one hundred dollars.

Additional case 3 / Explanations / continued

2. 160

Reviewer: Interest for the second interval is 160 dollars.

Turn 2. Eighty thousand times 0.048 times fifteen divided by 360 equals one hundred sixty dollars.

3. 260

Analyst: The combined interest is 260 dollars.

Turn 3. The two non-overlapping intervals contribute one hundred plus one hundred sixty dollars, totaling two hundred sixty.

4. 360

Reviewer: The annual denominator under these supplied terms is 360.

Turn 4. Actual/360 uses the actual days in each interval over the stipulated three-hundred-sixty-day denominator.

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Find a phrase by purpose

Account Opening and KYC

Identify the application: We are reviewing business-account application A62.

Name the supplied information: We have the authorized-signatory details.

Name the gap: The requested ownership information remains incomplete.

Full phrase bank, page 7

AML Monitoring and Suspicious Activity

Identify the item: We are reviewing monitoring alert T82.

Describe the observation: The transfers differ from the activity recorded in the customer profile.

Name the missing context: The business purpose has not been established.

Full phrase bank, page 20

Loan Operations and Documentation

Name the package: We are reviewing loan package L73.

Identify the approved issue: The package uses agreement version 3.

State the conflicting reference: The certificate refers to version 2.

Full phrase bank, page 35

Payment Operations and Exceptions

Timestamp the report: This is the queue snapshot at 10:00 local time.

Give the population: There are 45 exceptions in this snapshot.

State completed review: Thirty items have been reviewed.

Full phrase bank, page 49

Find a phrase by purpose / continued

Fraud Operations and Customer Escalation

Acknowledge the conflict: You received two different process explanations.

Correct the barriers: We should not make those prerequisites to initiating the applicable investigation.

Preserve the notice: The bank received your report on 9 September.

Full phrase bank, page 62

Operational Risk and Controls

State the comparison: The ledger shows $250,000 and the subledger $248,750.

Confirm the basis: Both balances use the same stated comparison basis.

Calculate the difference: The unmatched amount is $1,250.

Full phrase bank, page 76

Audit and Regulatory Exams

Restate the request: The examiner requested R9 evidence for five specified March dates.

Identify the policy: Policy version 2 is available.

Separate design and operation: The policy describes requirements; it does not prove each execution.

Full phrase bank, page 91

Customer Complaints and Fair Treatment

Restate the charge: You are asking about the $15 maintenance charge for June.

Name the available document: I have a schedule effective from 1 August.

Limit its use: That schedule does not automatically explain the June charge.

Full phrase bank, page 104

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All cases, organizations, figures, and conversations are fictional teaching material, not transcripts. Communication practice does not replace qualified advice or current workplace procedures.

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> **Companion course**
>
> The website offers the eight-lesson course and related practice. This book can be used independently. No audio access or external account is needed for its exercises.
>
> https://englishladder.com/efsp-banking-operations.html

Trace the transaction. Explain the status. Protect the record.

Eight banking exchanges: complete account-opening checks, describe a monitoring alert, reconcile loan-document versions, report payment exceptions, clarify a disputed transaction, investigate a ledger difference, supply control evidence, and explain a fee review.

Account Opening and KYC

An authorized signatory can operate an account under its mandate without necessarily being its beneficial owner. Supplying signatory details does not automatically answer the ownership question requested in this application.

AML Monitoring and Suspicious Activity

An alert is not proof of criminal conduct and does not itself establish a reporting decision. A review can preserve concern without asserting wrongdoing or assuming that the activity has an innocent explanation.

Loan Operations and Documentation

The certificate mismatch leaves C4 unresolved; it does not automatically invalidate the entire facility. Satisfaction, waiver, and release authorization are different decisions, each requiring its applicable authority and evidence.

Payment Operations and Exceptions

Thirty reviewed out of 45 is approximately 66.7%; 24 resolved out of 45 is approximately 53.3%. The difference is six reviewed items awaiting authorization. Open items total 21, not just the 15 unreviewed.

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